Telecom Services

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

AIDC's next battleground: networks

The expansion of AI data centers is driving not only additional data center capacity but also the expansion of network infrastructure. AI training workloads are likely to be distributed across non-Seoul metropolitan areas where large-scale power can be secured, while inference workloads are more likely to be deployed in the Seoul metropolitan area and other locations close to users due to their sensitivity to latency. This will increase the importance of data center interconnects (DCIs), backbone networks, dedicated lines, and submarine cables. In the AIDC era, telecom operators' competitiveness will begin with connectivity, the ability to connect multiple AI hubs as if they were a single infrastructure platform.

Greater connectivity will translate into increased demand for telecom equipment. As the unit of AI computing expands from individual servers to racks and clusters, both the number of connections per GPU and bandwidth requirements will increase. Accordingly, networks will advance from 400G to 800G and 1.6T, while growth in the number of connections and bandwidth is expected to benefit the optical transceiver and co-packaged optics (CPO) value chains.

This report therefore follows the progression from the geographical dispersion of AIDCs and the expansion of inference workloads, to rising connectivity demand, and ultimately to the upgrade of telecom equipment driven by increased GPU connectivity and bandwidth requirements.

Company	Rating	TP (won)
SKT	BUY (M)	118,000 (M)
KT	BUY (M)	73,000 (M)
LG U+	BUY (M)	21,000 (M)
Taihan Fiberoptics	Not Rated (I)	- (I)
OE Solutions	Not Rated (I)	- (I)

Part I. Time to broaden AIDC investment landscape

1. AIDC's next battleground: networks

Market interest in AI data centers initially focused on power infrastructure. Securing sufficient electricity was a prerequisite for building large-scale AIDCs, while the long lead times required for transmission/substation facilities and transformers directly constrained the timing of data center construction and operation. As a result, the earnings and valuations of companies related to power generation facilities, transformers, and distribution equipment were the first to rise.

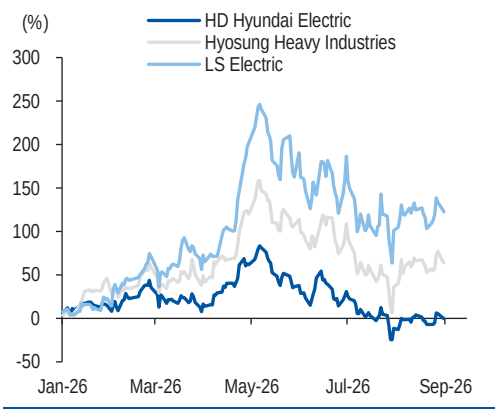
As of Aug 31, 2026, LS Electric had risen 264.7%, Hyosung Heavy Industries 139.0%, and HD Hyundai Electric 58.6%. for an average return of +154.1%. Their respective 2026E P/Es were 57.8x, 35.4x, and 29.5x, for an average of 40.9x. Although their P/Es fall substantially when 2027 earnings growth is factored in, they still remain in the low-30x range and cannot be considered inexpensive. This suggests that market expectations for the industry's strong growth potential have already been largely priced in.

By contrast, Korea's three major telecom operators recorded an average one-year share price return of +24.5%, with an average 2026E P/E of 11.0x. Their 2027E P/Es also remain largely in the high-single-digit to mid-teen range. Although direct comparisons of absolute multiples are difficult given differences in ROE and business structure across industries, these figures provide a meaningful indication of how much AIDC growth has been priced into each industry. The differences among individual companies are particularly pronounced. SK Telecom's share price has risen 73.8% over the past year as the value of its AIDC business has become more tangible, while KT and LG U+ posted returns of -1.3% and +0.9%, respectively. Re-ratings have begun for selected companies in the network segment, but it has yet to spread across the broader industry.

The structural growth potential of power infrastructure has not diminished. At this point, however, the key consideration is not the industry's absolute growth rate, but the gap between its prospective growth rate and that already reflected in current share prices.

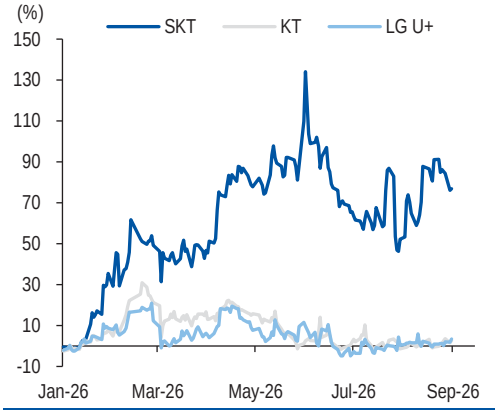
We therefore believe investors need to broaden their perspective on AIDC investment. In doing so, we focus on networks.

Relative returns of 3 power equip firms YTD



Source: FnGuide Quantiwise, Yuanta Securities

Relative returns of 3 telecom operators YTD



Source: FnGuide Quantiwise, Yuanta Securities

2. AIDC competitiveness: from securing power to power productivity

The initial competitiveness of AI data centers centered on securing power. Going forward, however, the focus will shift to how much AI compute and how many tokens can be generated from said power.

NVIDIA's DSX Reference Design integrates not only compute, but also networking, storage, power, cooling, and operational software into a single system. Its optimization objectives are also the lowest token cost and the highest tokens per watt. In other words, power and networking are not facilities required sequentially, but core elements that simultaneously determine AIDC performance.

The same shift is evident in data center locations. Training-oriented AIDCs can be distributed outside the Seoul-metro region, where large-scale power can be more readily secured. For inference, however, latency is critical. Thus, it must be located in metropolitan-area and edge locations near users. Both access to power and network connectivity therefore determine a data center's location and competitiveness.

Ultimately, AIDC competitiveness is expanding from how much power can be secured to how much computing and how many tokens can be generated reliably from that power.

In this process, the economic value of connectivity will inevitably rise as well.

3. Connectivity: AIDC dispersion and inference growth enhance value of connectivity

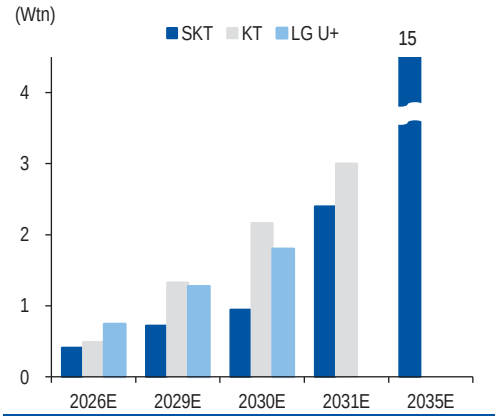
The first pillar of network demand is connectivity between data centers.

Training-oriented AIDCs can be distributed across non-metropolitan areas where large-scale power is easier to secure. Inference, by contrast, needs to be located in the Seoul metropolitan area or at edge hubs close to users. As training and inference workloads become increasingly separated by location, the architecture will shift away from a single data center handling all computing workloads toward a structure connecting multiple hubs.

Accordingly, traditional north-south traffic between users and servers will be supplemented by east-west traffic among GPUs, racks, and data centers. This is why backbone networks, dedicated lines, DCIs, and submarine cables are becoming increasingly important. Demand growth is already visible in Korea. Submarine cable demand connecting Korea is forecast to increase from 92Tbps in 2026 to 295Tbps in 2031, while AI-related demand is expected to grow roughly eightfold from 24Tbps to 198Tbps over the same period. AI is thus expected to account for most of the overall increase in demand.

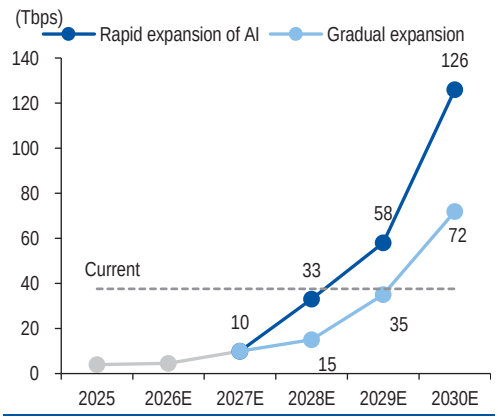
Telecom operators' AIDC competitiveness therefore cannot be assessed solely by the data center capacity they own. What matters is their simultaneous ownership of backbone networks, enterprise lines, and submarine cables capable of connecting metropolitan-area AIDCs with non-metropolitan AI factories, edge locations, and overseas regions.

AIDC business value forecasts by telco



Source: Yuanta Securities

Domestic wireless backbone traffic forecast



Source: Ministry of Science and ICT, Yuanta Securities

4. Telecom equipment: surging connectivity and bandwidth demand

As AI computing shifts from individual GPUs toward a scale-out architecture that combines multiple GPUs and racks into a single computing resource, telecom equipment is becoming increasingly important. As GPU performance improves, both inter-GPU data traffic and bandwidth requirements increase, simultaneously driving growth in the number of GPUs, connections, switch ports, and bandwidth per port. For inference workloads in particular, increased KV cache transfers and inter-GPU communication mean that network latency directly translates into GPU idle time. This is expected to increase the need for 1.6T optical interconnects beyond the current 400G and 800G standards. If scale-across connectivity between inference-oriented AIDCs in the Seoul metro area and training-oriented AIDCs in non-metropolitan regions expands, this will create additional DCI demand. The adoption of co-packaged optics (CPO) is also unlikely to replace existing demand for optical communications. Instead, it converts electrical links within switches into optical links. Fiber connections between racks and clusters will remain necessary, and will likely be accompanied by an increase in the fiber count of optical cables.

Ultimately, the key driver of the telecom equipment market is not simply the proliferation of data centers, but the simultaneous growth of GPUs × connections × bandwidth. We expect this to drive both higher volumes and more advanced specs for optical transceivers and optical fiber.

5. Focus on gap between growth and what the market has priced in

Th power infrastructure industry has already emerged as one of the key beneficiaries of AIDC growth. By contrast, while the importance of networking and cooling is rising rapidly, their value chains span multiple industries and the pace of technological change is astounding. This makes market valuations relatively complex.

Telecom equipment companies, in particular, should not be seen as undervalued simply because absolute P/Es appear low. Conversely, firms in the early stages of an earnings turnaround may appear expensive on a P/E basis because earnings remain depressed. What matters is not the current level of earnings, but to what extent share prices already reflect the growth in AIDC revenue exposure and estimated earnings growth for 2027-2028.

When assessing investment candidates, investors need to take into account not merely which firms are laggards, but AIDC revenue exposure, customer qualification and order wins, 2027-2028 earnings growth, and the extent to which these factors are reflected in current valuations.

Power was the first area to be recognized by the market.

We now need to broaden the scope of AIDC analysis from connectivity to network equipment. The key is not to identify the next industry, but to find areas of growth within the already unfolding AIDC expansion where valuations have yet to fully catch up.

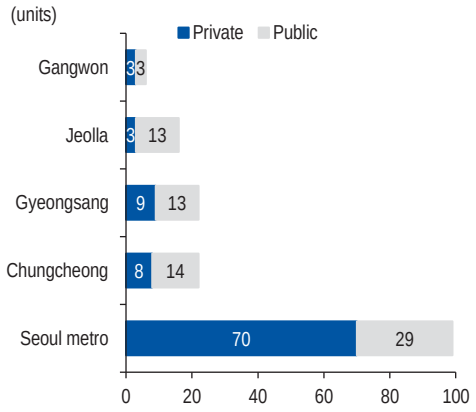
Part II. Telcos with AIDC competitiveness

1. Changing determinants of data center location competitiveness

Going forward, the data center market is likely to see a division of roles, with non-metropolitan areas handling training workloads while the Seoul metro region handles inference. Traditional data centers developed as conventional real estate projects based on a landlord-tenant structure. As with housing, location was therefore the most important factor. The location competitiveness of a data center depends on its power infrastructure and network connectivity.

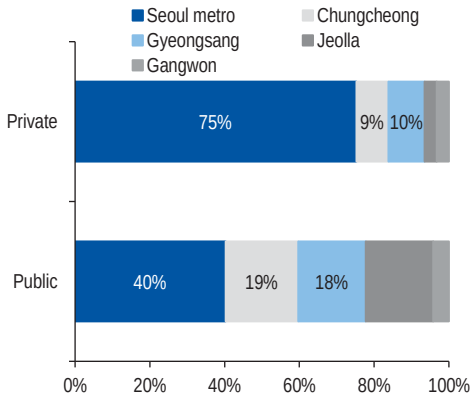
Traditional data centers were located near areas generating cloud-based data traffic, with competitiveness determined by the ability to minimize latency. **As of 2024, 99 (60%) of Korea's 165 data centers were located in the Seoul metro region. The concentration is even higher for private-sector data centers, at 75.3%.** This indicates a strong preference for metropolitan-area data centers among latency-sensitive users with high data traffic, given their advantages in infrastructure, customer demand, workforce availability, and network latency.

Number of data centers by region



Source: Korea Energy Economics Institute, Yuanta Securities

Shares of private- and public-sector data centers

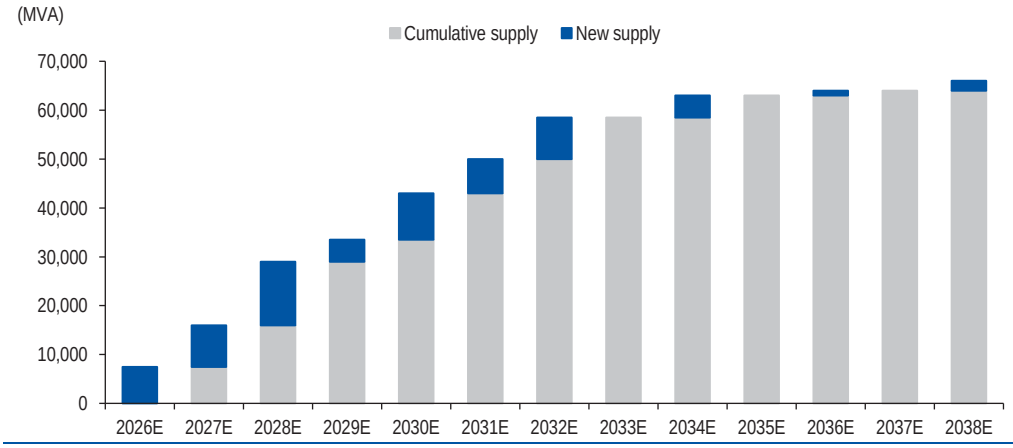


Source: Korea Energy Economics Institute, Yuanta Securities

However, as AI has recently emerged as the key driver of data center demand, location competitiveness is increasingly driven by different criteria. AI training requires vast amounts of power but is relatively insensitive to latency. The Seoul metro area has a low power self-sufficiency, while approvals to connect to the power grid are already constrained. Power self-sufficiency of Seoul and Gyeonggi Province stand at just 10.4% and 62.5%, respectively. Applications for power grid impact assessments related to metropolitan-area data center development have already surged, creating a tangible bottleneck. Moreover, the government's plans to build new substations have effectively failed to account for demand from private-sector data centers.

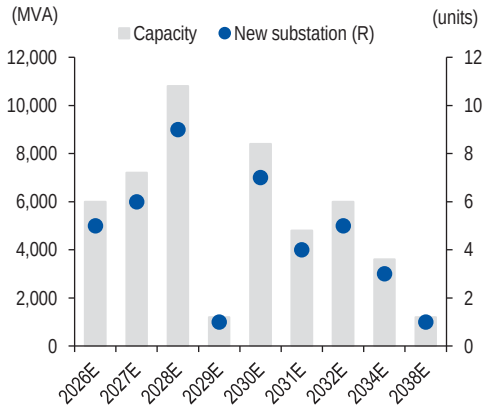
Although 125 new substations are planned in the Seoul metropolitan area through 2038, most appear to have been allocated to strategic high-tech industries. The supply of new metropolitan-area substations is concentrated through to around 2030, reflecting the government's policies to foster strategic high-tech industries, which include: 1) securing 10GW for the Yongin National Semiconductor Cluster; 2) building power infrastructure for high-tech industrial complexes and third-generation new towns in the southern Seoul metropolitan area. Thus, these plans seem to barely reflect demand from new metropolitan-area data centers. Large-scale AIDC projects currently under development are consequently spreading to non-metropolitan regions where power is easier to secure. Regions capable of linking AIDCs to renewable energy and power purchase agreements (PPAs) are emerging as attractive locations for new projects. In other words, **the primary determinant of location competitiveness has shifted from proximity to data traffic to access to power.**

Metropolitan-area power supply forecast



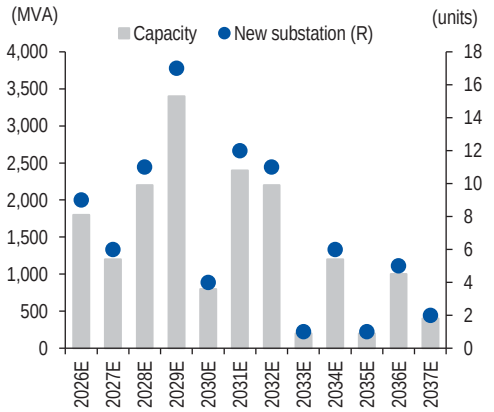
Source: KEPCO, CBRE Research, Yuanta Securities

New 345kV substation supply plan for Seoul



Note: Seoul metropolitan area
Source: KEPCO, CBRE Research, Yuanta Securities

New 154kV substation supply plan for the Seoul



Note: Seoul metropolitan area
Source: KEPCO, CBRE Research, Yuanta Securities

Allocation of new substations in Seoul metropolitan area by purpose

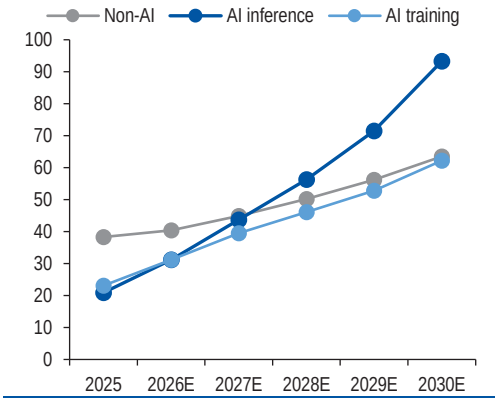
	No. of substatio	Supply capacity	Primary allocation purpose	Share
Semiconductor clusters	41	38,400	Power supply for Yongin National System Semiconductor Industrial Complex and Wonsam Industrial Complex	33.1%
Third-generation new towns	52	18,600	Residential electricity for large-scale developments, including Namyangju Wangsuk, Hanam Gyosan, and Goyang Changneung	41.9%
Existing power grid	23	7,000	Replacement of aging facilities and stabilization of urban distribution networks	18.5%
Other	8	2,000	—	6.5%
Total	**124**	**66,000**	Total new capacity planned for Seoul metropolitan area in 2026–2038	**100.0%**

Source: 11th Long-Term Transmission and Substation Facilities Plan, Yuanta Securities

2. Latency constraints of AI workloads

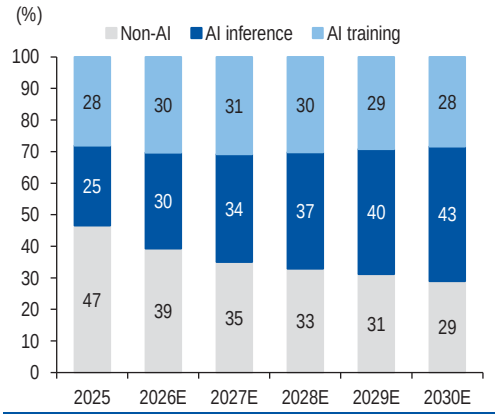
However, this shift in data center location competitiveness is unlikely to be permanent, as AI workloads are transitioning from training to inference. **Inference's share of total AI demand is projected to increase from 25% in 2025 to 43% in 2030 and surpass training demand from 2027.** The location requirements for AI inference workloads, however, are the exact opposite of those for training. AI inference for real-time services (such as robotics, autonomous driving, and financial services) is extremely sensitive to physical distance from users and, consequently, latency. It must therefore be located near densely populated urban areas. Training infrastructure can be distributed across non-metropolitan regions where electricity is abundant and inexpensive, while inference infrastructure must be located close to areas where data traffic is generated.

Global data center demand by workload



Source: McKinsey & Company, Yuanta Securities

Global data center workload mix



Source: McKinsey & Company, Yuanta Securities

In the coming era of AI inference, when real-time AI services such as on-device AI, robotics, and autonomous driving become widespread, ultra-low latency of less than 20ms will be a key determinant of service quality. AI training consists of asynchronous workloads processed by thousands of GPUs, and therefore, does not require an immediate response and is less sensitive to latency. In the long run, the availability and capacity of power supply will determine the location of training infrastructure. Robotics, autonomous driving, and conversational AI, however, involve synchronous workloads that must respond in real time to inputs from the physical world. Latency will therefore determine service quality. As discussed above, AI inference is expected to grow faster than AI training and account for the largest share of data center workloads from 2028.

Network latency is subject not only to server performance but also to the physical limits imposed by the speed of light through optical fiber and round-trip time (RTT). Light travels through optical fiber at approximately 200,000km per second, or 200km per millisecond. Because data must make a round trip between endpoints, the effective physical-distance limit is halved to approximately 100km per millisecond.

After factoring in equipment-related delays from routers, switches, and base station backhaul, the straight-line distance between a data center and an end-user device must be limited to approximately 50–100km to achieve end-to-end (E2E) latency of less than 10 milliseconds. **The Seoul metro area therefore offers the most advantageous locations for real-time AI inference services, which will likely account for the largest share of AI workloads.**

Latency requirements and physical-distance limits by AI service

Service	Permissible latency	Approximate	Optimal location
Physical AI and robotics	Less than 5ms	Within 20km	Central Seoul
Autonomous driving and real-time edge AI	Less than 10ms	Within 50km	Major hubs in the Seoul metropolitan area
Real-time inference, including conversational LLMs	Less than 20ms	Within 100km	Greater Seoul metropolitan area
AI training	No material constraint	No material constraint	Non-metropolitan regions

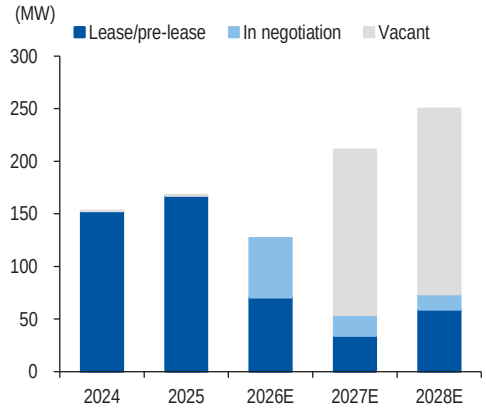
Source: ITU, 3GPP, DIGI, Yuanta Securities

3. Rising values of data centers

As supply constraints intensify, the value of data centers in the Seoul metropolitan area is also rising. In 2024, IGIS Asset Management sold its Hanam IDC, with a power intake capacity of 40MW, to Macquarie Korea Infrastructure Fund for W734bn. Actis's Epoch Anyang Center, which has the same 40MW power intake capacity, is currently being sold for W840bn. Both data centers have secured high-quality anchor tenants—including global cloud service providers and major Korean IT companies—under long-term contracts covering more than 90% of their capacity. This suggests that the premium for metropolitan-area data centers with secure access to power and a stable customer base is increasing.

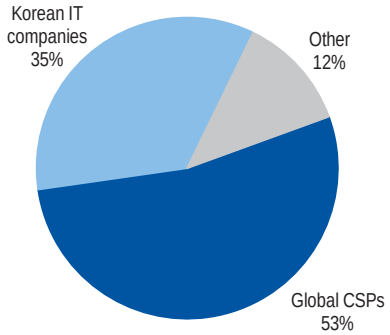
The absorption rates of data centers in the Seoul metropolitan area reached 99.7% in 2024 and 99.4% in 2025, with the current vacancy rate estimated at a record low of less than 5%. In addition, **data centers scheduled for completion in 2027-2028 have either already secured pre-leasing agreements or are currently in lease negotiations. Whereas leases were previously signed around the time of completion, tenants must now secure capacity even before construction begins.** This indicates a supplier-driven market. Global CSPs and major Korean IT firms account for 88% of total leasing demand and are rapidly absorbing new data center supply as they adopt AI models.

Data center supply, absorption in Seoul (IT load)



Note: Seoul metro area
Source: CBRE Research, Yuanta Securities

Leasing demand AIDCs in Seoul (IT load)



Note: Seoul metro area
Source: CBRE Research, Yuanta Securities

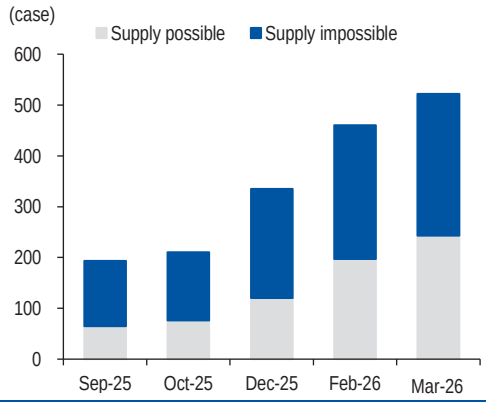
4. Korea's three telecom firms well positioned

If data center demand shifts toward inference, operators with data centers in the Seoul metropolitan area are likely to take the lead. We believe Korea's three major telecom operators are well positioned to gain an advantage in the domestic data center market, based on their competitive locations and connectivity capabilities.

Obtaining additional permits to build data centers in the Seoul metro area has become virtually impossible. Since the Special Act on the Promotion of Distributed Energy took effect in 2024, applications for power grid impact assessments in the Seoul metropolitan area have continued to increase, but securing approval remains difficult.

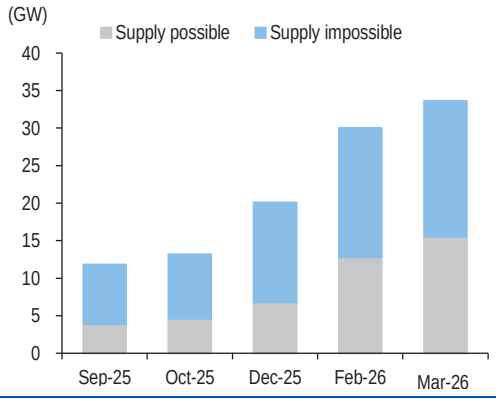
As of Mar 2026, 279 of the 522 applications submitted for preliminary technical review (18,050MW out of a total 33,592MW, or 53.7% by capacity) were deemed unable to receive power. The bottleneck is even more severe at the final review stage. Out of 243 cases that passed the first phase, 24 proceeded to the main review, and 10 received final supply approval, resulting in a final approval rate of just 1.9% against total applications. **With new entry practically blocked, the competitiveness of existing data centers is likely to continue strengthening.**

Cumulative number of applications for first phase technical review of power grid impact assessment



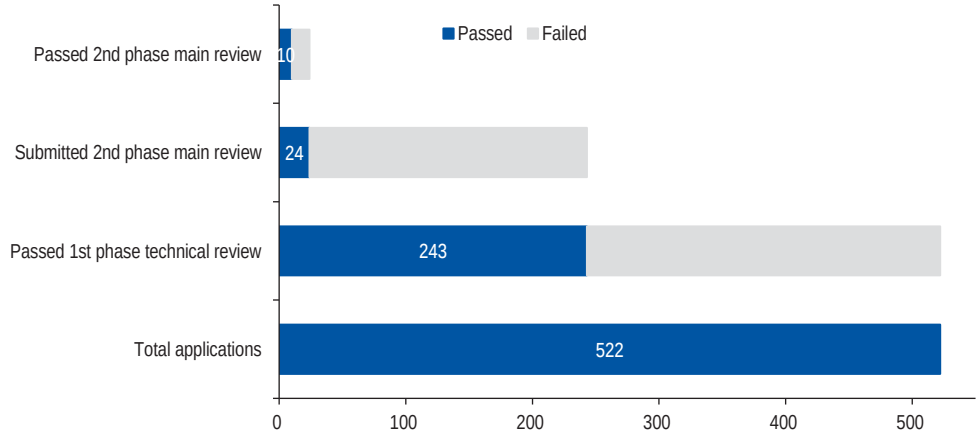
Source: CBRE Research, Yuanta Securities

Cumulative capacity of applications for first phase technical review of power grid impact assessment



Source: CBRE Research, Yuanta Securities

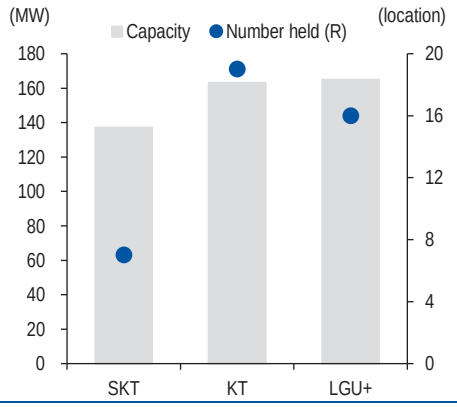
Number of cases passing each phase of power grid impact assessment



Source: CBRE Research, Yuanta Securities

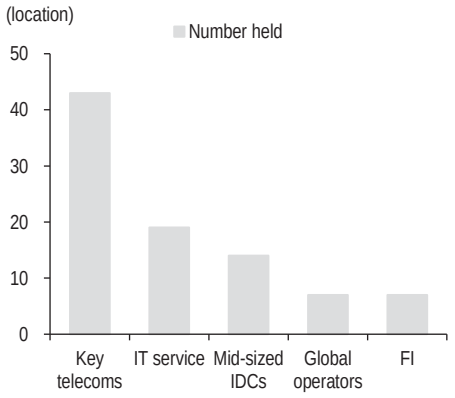
The data center capacity currently held by the three telcos is estimated at around 550MW (based on receiving capacity; LG U+ capacity converted using a PUE 1.5). SKT has 137MW (receiving capacity), KT 163MW (receiving capacity), and LG U+ 165MW (IT load). Given that the total receiving capacity of domestic data centers stands at around 1.9GW, the market share of the three telcos is about 29%. Most of their data centers are located in the Seoul metropolitan area including in Mokdong, Bundang, Gangnam, Ilsan, Gasan, Pyeongchon, and Sangam, giving them a strong locational advantage. Some capacity expansions are underway as well. SKT converted its Gasan data center into an AIDC, and LG U+'s Paju AIDC Phase 1 is scheduled for completion in Jun 2027. KT decided to expand its Yeouido DC, with completion targeted for Jun 2027. With new construction in the Seoul metropolitan area practically impossible, tenants are highly likely to absorb price hikes for metropolitan AIDCs and maintain their usage in the area, rather than relocating servers to non-metropolitan areas and accepting greater latency risk. As mentioned above, real-time AI inference services are physically constrained from leaving the metropolitan area. As such, we expect the AIDC usage fees of the three telcos to rise structurally with each contract renewal.

Comparison of data centers held by three telcos



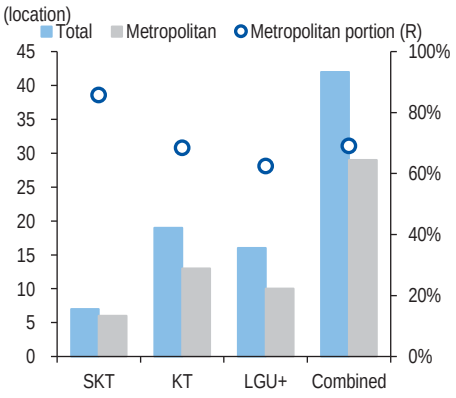
Note: SKT, KT based on receiving capacity, LG U+ based on IT load; Source: Samil PwC, Yuanta Securities

Number of data centers held by major operators



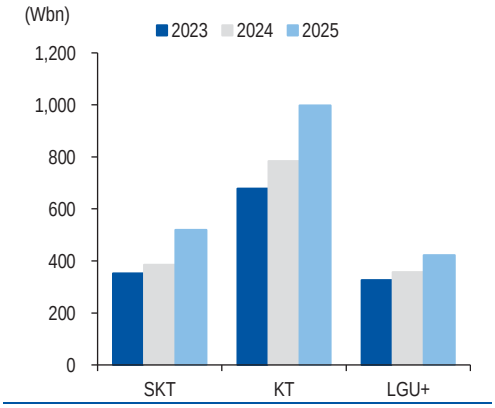
Source: Samil PwC, Korea Data Center Council, Yuanta Securities

Three telcos' metropolitan data centers



Source: company data, Yuanta Securities

AIDC-related sales by telco

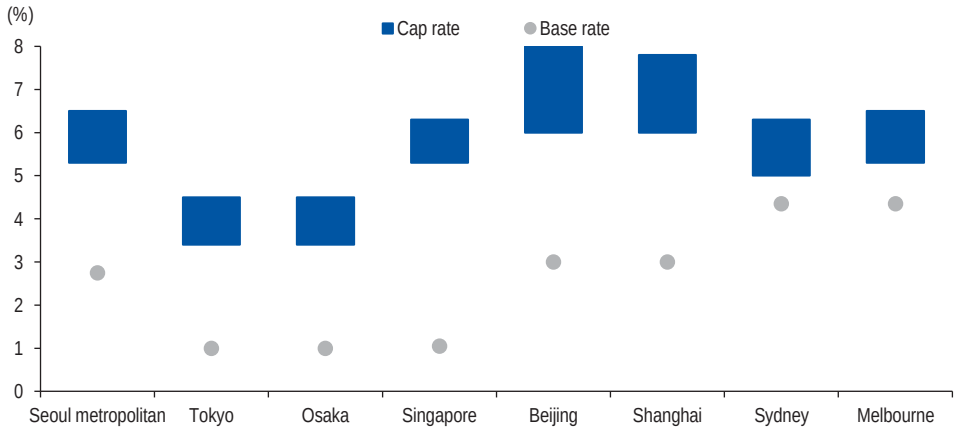


Source: company data, Yuanta Securities

We expect the three telcos to sustain their data center competitiveness going forward. This is because data center profitability is driven by operations, not asset appreciation. In fact, capitalization rates (cap rates) for data centers in Seoul metropolitan area stand at 5.3-6.5%, similar to major APAC cities including Singapore (5.3-6.3%) and Sydney (5.0-6.3%). This suggests limited scope for financial investors to generate capital gains from rising data center asset values. Given that data centers must manage operations and attract tenants, the competitiveness of the three telcos becomes even more prominent. 1) By owning backbone networks, corporate lines, and submarine cables, they offer both space and connectivity. 2) They have over 20 years of accumulated zero-downtime operational experience and a stable customer base including global Big Tech.

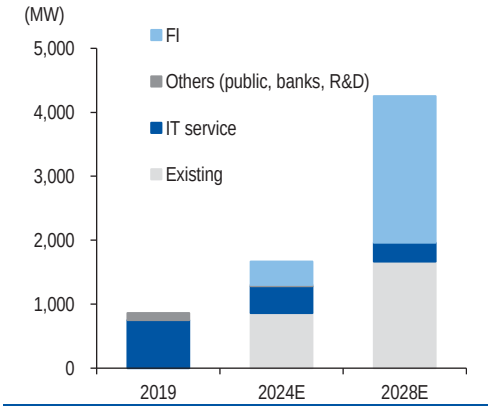
Although the core competitiveness of a data center lies in its floor space and power infrastructure, a communication network that can process traffic also plays an important role. The three telcos are key telecom operators that directly own backbone networks, corporate lines, and submarine cables, and are capable of providing both data centers and networks. Since FI-developed data centers still require a separate network contract, this will likely emerge as a competitive edge for the three major telcos.

Cap rate comparison of hyperscale data centers in major APAC cities



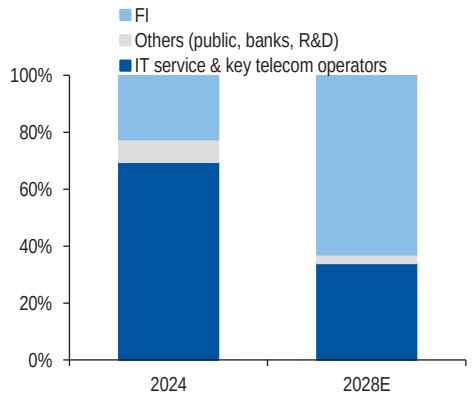
Source: CBRE Research, Yuanta Securities

Metro data center supply forecast by investor



Source: Savills, Yuanta Securities

Metro data center portion forecast by investor

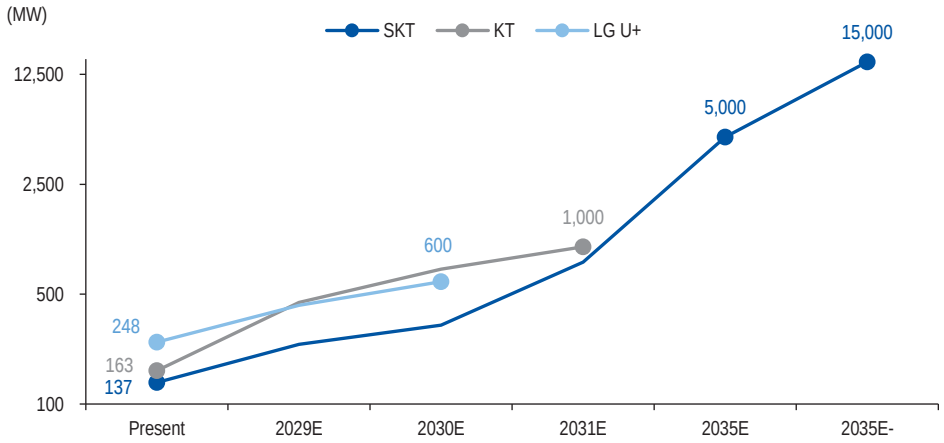


Source: Savills, Yuanta Securities

5. Differentiated AIDC strategies taking shape

Although metropolitan data center supply has recently been expanding primarily through financial investors, we believe this represents an opportunity for the three telcos to expand their business rather a threat to their competitiveness. The share of metropolitan data center capacity backed by financial investors is expected to expand to 63% by 2028, up from 23% in 2024. As such, telcos are expected to quickly absorb surging AI demand by moving beyond colocation to expand through leasing and DBO (design, build, operate) methods. In June-July, the three telcos presented somewhat aggressive AIDC capacity targets, with SKT targeting 5GW by 2035 and 15GW in the long term, KT 500MW in 2030 and 1GW in 2031, and LG U+ 400MW (IT load) by 2030. Given current combined capacities, achieving these solely through the conventional colocation model is not feasible. Therefore, **development through leasing, DBO models, and attracting external investors is inevitable.**

AIDC build capacity targets by telco (based on receiving capacity)



Source: company data, Yuanta Securities

SKT established SK Hyper, a specialized AIDC business development firm, in July, and decided to establish SK Horizon by spinning off SK Broadband's data center and submarine cable businesses. SKT plans to expand capacity to 5GW through phased expansions by 2035, aiming to bring new facilities onstream in 2029. Starting with the Ulsan AIDC, SKT has adopted **a regional strategy to sequentially build GW-class AIDCs** in four to five hubs in Chungcheong and Honam regions. Achieving this scale with internal funds alone is impossible. This is why SK Hyper's role is to secure land, build/operate substations, and attract customers. This strategy involves varying funding structures per project based on partners including in-house investments, long-term contracts with global customers, and project financing. **It is a developer model of securing anchor customers first to increase cash flow visibility, and raising external funds per project based on this. A key differentiator over competitors is SKT's group-wide vertical integration** in AIDC development including land (owned by affiliates), power (SK Gas, SK MU etc.), EPC (SK Ecoplant), and cooling oil (SK Enmove).

KT presented a target to secure an additional 1GW based on actual demand by 2031. Of this, 113MW is under construction, leaving a further 887MW to be secured. With 1,017MW in the planning/development phase, there is high visibility on achieving the 1GW additional supply target. KT also **plans to establish about 20 new locations** for the 1GW capacity **through a mix of ownership and leases**. Moreover, it plans to **expand AI edge infrastructure** by leveraging around 3,500 telecom facilities nationwide to respond to AI inference. Given the chronic shortage of power and available sites in the Seoul metro area, KT plans to expand aggressively to secure market demand ahead of competitors. In non-metropolitan areas, it plans to add capacity only after securing actual demand, based on direct landing station connections and power/land competitiveness. For the AI infrastructure business, KT's 2031 revenue targets are W4.4tn for AIDC (vs W0.7tn in 2026) and W0.4tn for submarine cables (vs W0.2tn).

For 2020, LG U+ targets 400MW in AIDC capacity and W5tn in cumulative orders. The company will utilize the **Paju AIDC, the largest in the metropolitan area, along with Pyeongchon Centers 1 & 2 as core hubs.** Phase 1 of Paju (capacity 30MW, investment W615.6bn), scheduled for completion in Jun 2027, is understood to have already completed contracts. The company recently announced the construction of Phase 2, comprising two buildings and 60MW of capacity, with W1.25tn to be invested up to Nov 2028. It plans to make investments by **combining DBO and leasing on top of its own AIDCs to improve capital efficiency and ease the cash flow burden.**

AIDC build strategies by telco

	SKT	KT	LG U+
Current capacity	137MW	163MW	165MW
Target capacity	5GW by 2035, 15GW post-2035	1GW by 2031	400MW by 2030
Promoting entity	**Establishment of SK Hyper, SK Horizon**	**Subsidiary KT Cloud**	**LG U+**
Funding method	**PF, partners, etc.**	**Capex + lease**	**Capex + lease, DBO, partnerships**
Regional strategy	**GW-class in Ulsan, Chungcheong, Honam**	**Dual-track (metropolitan, non-metropolitan)**	**Concentrated in metropolitan (Paju, Pyeongchon)**

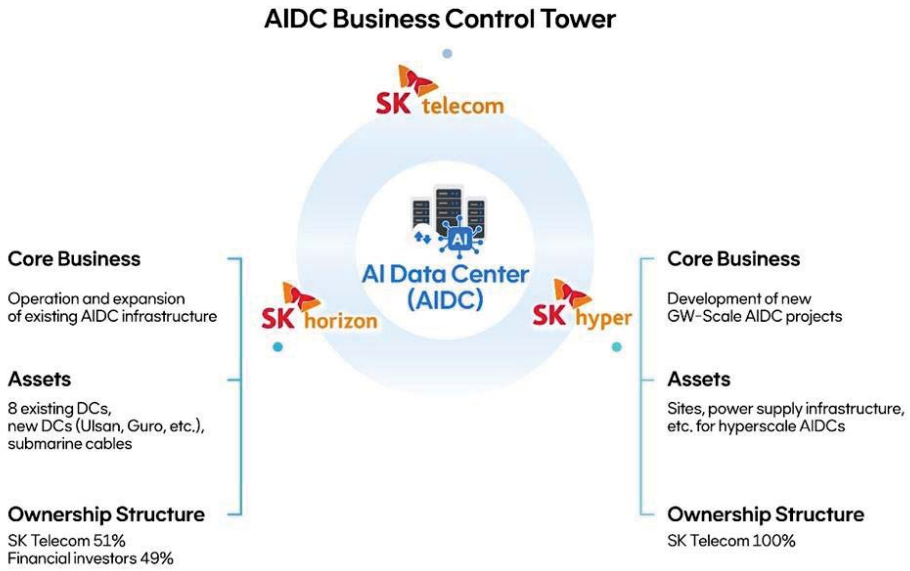
Source: company data, Yuanta Securities

All three telcos are utilizing external funding and DBO models to rapidly expand AIDCs, but their detailed business strategies diverge in terms of: 1) the entity driving development; 2) financing methods; and 3) geographic focus.

1. Lead entity

SKT chose to establish separate companies dedicated to AIDC. In July, SK established SK Hyper, a specialized AIDC business development firm. In August, it decided to spin off SK Broadband to establish SK Horizon, which will be responsible for the data center (including CDN) and submarine cable businesses. The AIDC business has been reorganized into a triangular structure. SKT will oversee the overall AIDC strategy and collaboration with global Big Tech. SK Horizon will operate the existing eight data centers in Seocho, Ilsan (two), Bundang, Gasan, Centum, Yangju, and Pangyo, which have a combined capacity of 140MW, as well as the 318MW of AIDC capacity under construction in Ulsan (103MW) and Guro (75MW) and the submarine cable (SJC2, E2A, etc.) businesses. Meanwhile, SK Hyper will handle the development of the new GW-class AIDC pipeline. In contrast, KT and LG U+ plan to maintain their existing structures. KT will expand centered on its subsidiary KT Cloud and LG U+ centered on its enterprise infrastructure business.

SK Telecom: AIDC business structure



Source: SK Telecom, Yuanta Securities

2. Financing

SKT has begun raising capital in earnest through SK Horizon. SKT will sell 24.48mn shares of its SK Horizon holdings to KKR and the IMM consortium for W1.9tn. Then, SK Horizon will issue 15.62mn new shares to raise W1.2tn. After the transaction, SK Horizon will be 51% owned by SKT, 29% by KKR, and 20% by the IMM consortium. SK Hyper also plans to build AIDCs by establishing SPCs for each project and raising funds through strategic partners, financial investors, and project finance.

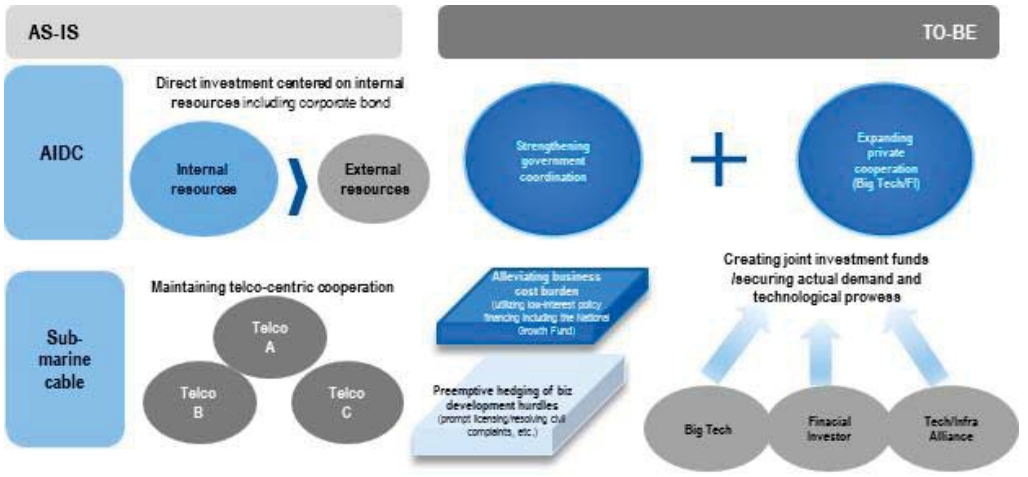
SKT and SK Horizon old share disposal and new share issuance

Selling (issuing) entity	Transaction	Counterparty	Amount	Confirmation
SKT	Old share sale	KKR-IMM consortium	W1.88tn	Confirmed (disclosure completed)
SK Horizon	New share issuance		W1.2tn	Expected (separate disclosure expected)

Source: company data, Yuanta Securities

KT does not intend to own the entire 1GW of capacity targeted for 2031, but plans to secure it through a combination of internal ownership and leased capacity. The burden of lease expenses should be limited, as the cost will likely be offset by colocation revenue. KT plans to invest W5tn over five years. Funding will also shift from relying mainly on internal resources including corporate bonds to utilizing policy financing including the National Growth Fund, and collaborating with Big Tech and financial investors to create joint investment funds.

KT: data center strategy



Source: KT, Yuanta Securities

LG U+ is forming strategic ties with asset management firms. After signing an operating contract with Koramco Asset Management for the Gasan DC in Feb 2026, LG U+ signed an MOU in June to build a cooperative relationship spanning investment, development, and operation of data centers, marking the full-scale expansion of the DBO business. This is a typical asset-light model that secures operating revenue without external funding, with LG U+ operating the AIDC developed by Koramco.

3. Region

SKT is focusing on developing GW-class clusters in non-metropolitan areas. The Ulsan AIDC currently under construction is the first hyperscale AIDC to secure AWS as an anchor tenant, with a total project scale of W7tn. The company has adopted a regional strategy of sequentially building GW-class facilities in four to five hubs, including the Chungcheong and Honam regions. This approach likely targets training demand that requires securing large-scale power.

KT strategically maps regions to workloads—metropolitan for inference and non-metropolitan areas for training. In metropolitan areas, given severe shortages of power and suitable sites, it will expand aggressively to secure demand ahead of competitors, and provide customized clusters per target customer group including the Yeouido cluster for the financial sector. In non-metropolitan areas, where demand is limited, it will expand capacity after securing actual demand, and supply training AIDCs targeting neo-clouds and global CSPs based on its differentiator of direct connections to landing stations. Moreover, KT plans to create multi-layer metropolitan coverage with AI network clusters that connect DCs within a 10km radius with ultra-low latency, and AI edge infrastructure using 3,500 local telecom facilities.

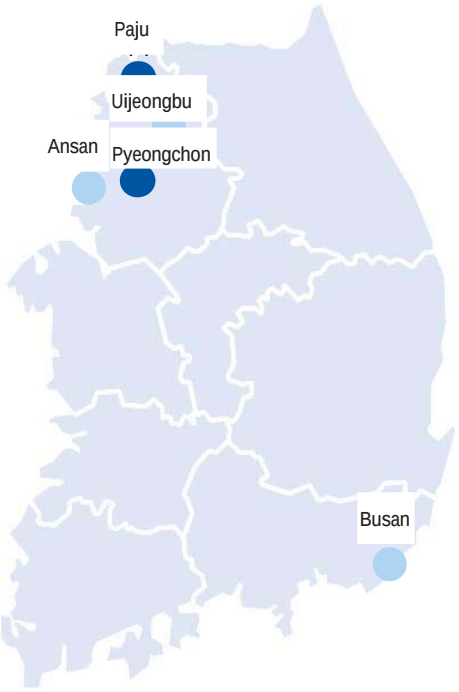
LG U+ is running a dual-track model of internal investments centered on the metropolitan area and outsourced operations and DBO businesses nationwide. Its own AIDCs will concentrate on the metropolitan area, using Paju and Pyeongchon Centers 1 and 2 as key hubs. However, once cooperation with Koramco begins in earnest, regional coverage is expected to expand. Koramco is expanding its pipeline under a plan to invest W10tn in data centers through 2032. In addition to the currently operating Gasan DC, it is developing a 40MW-class facility in Ansan with Brookfield subsidiary DCI, a 40MW-class facility in Jangnim, Busan, and a 100MW-class project in Uijeongbu.

SKT: sequentially building GW-class AIDCs in non-metropolitan areas



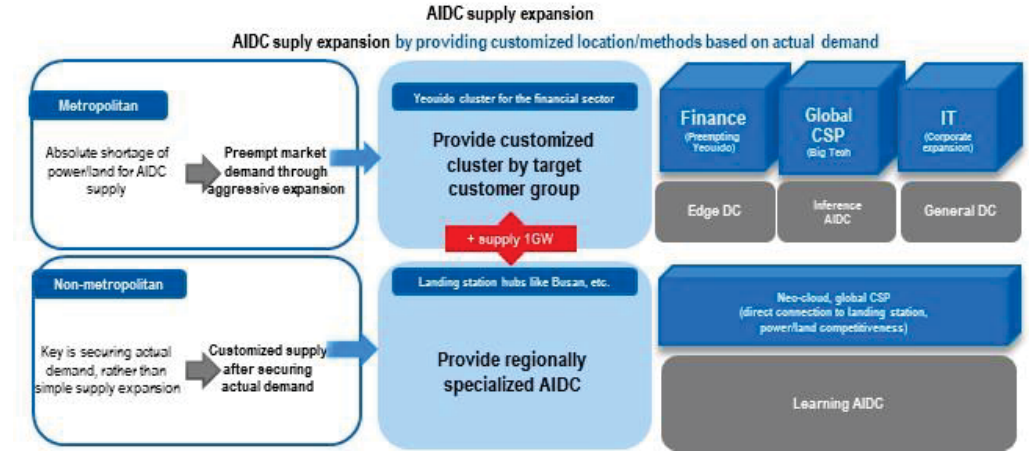
Source: media reports, company data, Yuanta Securities

LG U+ and Koramco Asset: key AIDC development regions



Source: media reports, company data, Yuanta Securities

KT: metropolitan and non-metropolitan AIDC strategy



Source: KT, Yuanta Securities

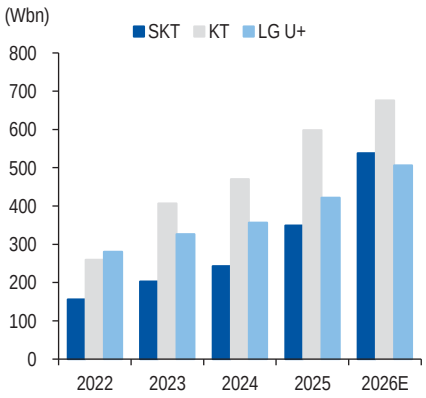
The AIDC strategies of the three telcos have changed from the past. Previously, their data center strategies largely followed a single colocation-centered model, where they built in the Seoul metro area with internal funds and then leased the floor space. However, they are now diverging in terms of funding methods, such as splitting business entities, selling stakes, leasing, and partnering with asset management firms, as well as in terms of regional focus between the metropolitan and non-metropolitan area. We believe this is because the pace and scale of AI demand growth cannot be handled by existing methods. SKT stands out in terms of funding scale and target capacity, but securing anchor tenants corresponding to the scale and project-specific funding are crucial. Meanwhile, KT has limited downside risk as it operates on the premise of already secured demand. LG U+ has a lower capital burden, but should see upside in terms profitability.

6. Valuing telcos' AIDC businesses

In valuing these AIDC businesses, we have prioritized colocation centered on floor space leasing, as pricing and margins are already established in the market. We believe it is more appropriate to reflect the value of GPU-as-a-Service (GPUaaS) and token businesses once these business models materialize. The three telcos have presented various new businesses based on AIDCs, including GPUaaS and token factories. In fact, SKT already recognizes GPUaaS as revenue, while KT will launch its token factory business from 3Q26, targeting threefold annual revenue growth from 2027 to 2029. However, these businesses remain at an early stage, their billing systems and cost structures are not yet clear, and their earnings contribution is minimal.

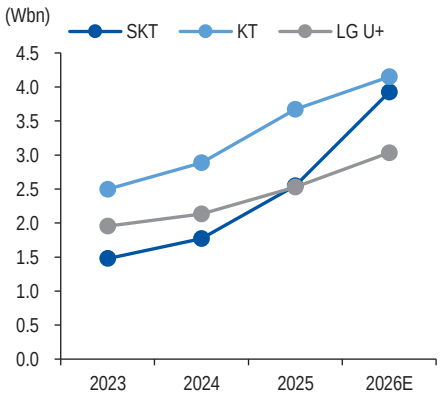
We estimate AIDC revenue for the telcos' respective target dates at W15tn for SKT (2035), W3tn for KT (2031), and W1.8tn for LG U+ (2030). We applied a current revenue per MW of W3bn. The average floor space rental rate for 1MW or more at metropolitan data centers was approximately W2.9bn per MW in 2025, and new contracts in Guro for 2025 are estimated at the the W3bn level. The average floor space rental rate of the three telcos is estimated to be at a similar level. The average rent rose by an annual average of 9.4% from W1.7bn per MW in 2019 to W2.9bn in 2025. After the launch of ChatGPT, growth expanded to 10.1% from 2022 to 2025. Given power grid bottlenecks and falling vacancy rates in the metropolitan area, the upward trend in floor space rent is highly likely to continue for some time. Therefore, our estimates are conservative, applying current rates without reflecting future hikes.

AIDC revenue by telco



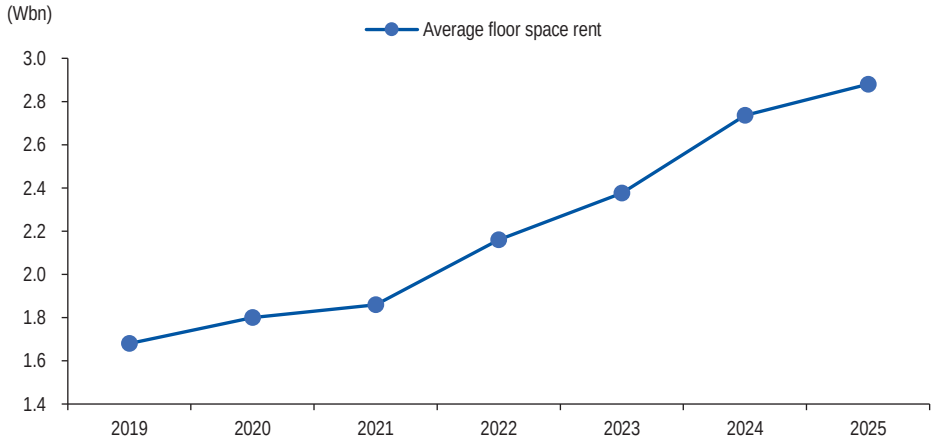
Note: SKT and KT are our estimate
Source: company data, Yuanta Securities

AIDC revenue per MW by telco



Note: based on our estimate
Source: company data, Yuanta Securities

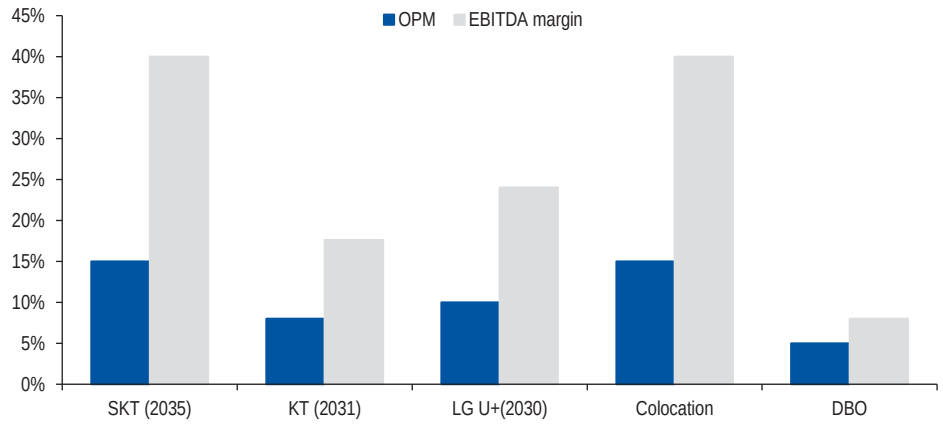
Metropolitan data center average floor space rent per MW



Source: CBRE Research, Yuanta Securities

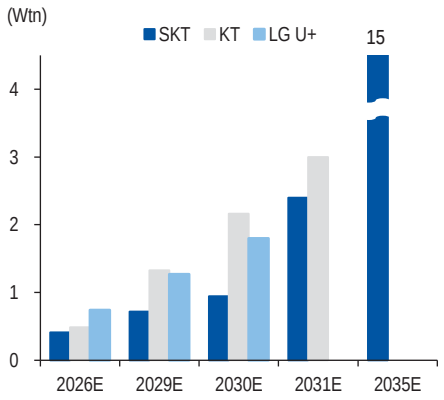
We estimate AIDC EBITDA margins for their respective target dates at 40% for SKT, 17.6% for KT, and 24.0% for LG U+. Currently, domestic OPM for AIDCs is estimated at 15% for colocation, and 5% for leased-capacity and DBO models. Depreciation costs are assumed to be 25% and 3% of revenue, respectively. We expect profitability at the three telcos to diverge in line with differing investment methods. For global colocation players and domestic telcos, depreciation relative to revenue likely stands at 20-25% (Equinix 20-22%, Digital Realty 25-28%) during the stabilization phase with utilization of over 80%. Since the three telcos' AIDC investments proceed after securing anchor tenants or advance demand, we do not expect significant difficulty in raising utilization after capacity expansions.

AIDC margin estimates by telco



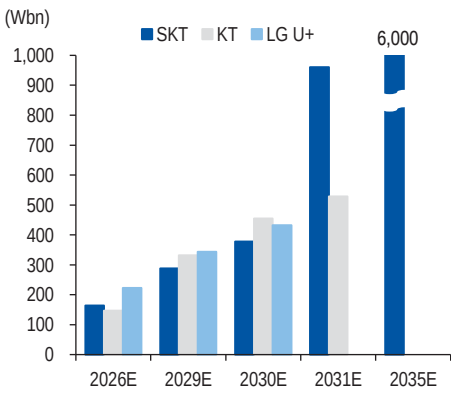
Source: Yuanta Securities

AIDC revenue forecast by telco



Source: Yuanta Securities

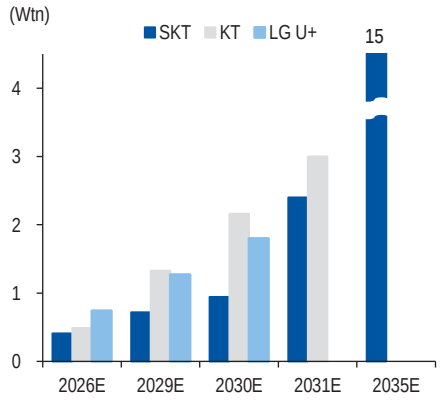
AIDC EBITDA forecast by telco



Source: Yuanta Securities

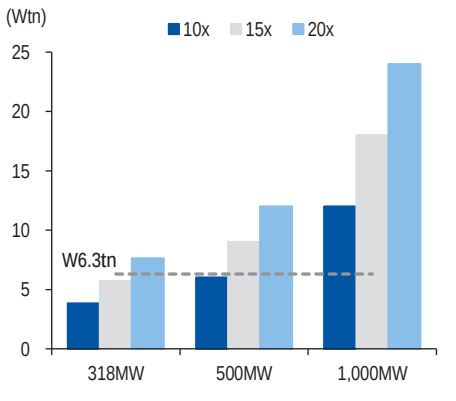
The estimate the value of the telcos' AIDC businesses at their respective target dates at W15tn for SKT, W5.3tn for KT, and W4.3tn for LG U+. We applied a multiple of 10x to estimated EBITDA. Global data centers including Equinix are trading at multiples of 15-20x. Equinix's 2027 EBITDA margin is estimated at 51.1% and EBITDA multiple at 19.6x. SK Horizon's equity value is estimated at W6.3tn. Based on the 318MW capacity including Ulsan (103MW) and Guro (75MW), the multiple stands at 16.5x, likely pricing in long-term 1GW expansion hopes for the Ulsan AIDC. Therefore, given our conservative approach, factoring in rising floor space rents points to even greater share upside.

AIDC business value forecast by telco



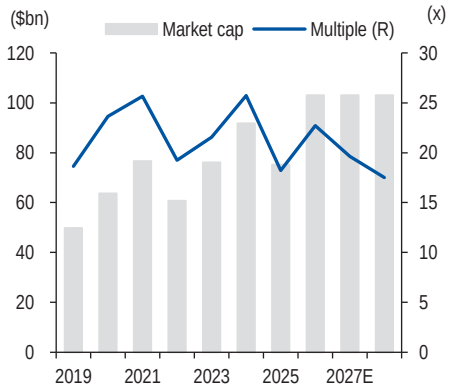
Source: Yuanta Securities

SK Horizon AIDC multiple estimates by capacity



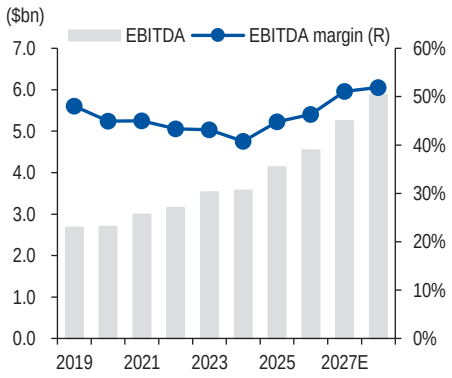
Source: Yuanta Securities

Equinix: market cap and EBITDA multiple



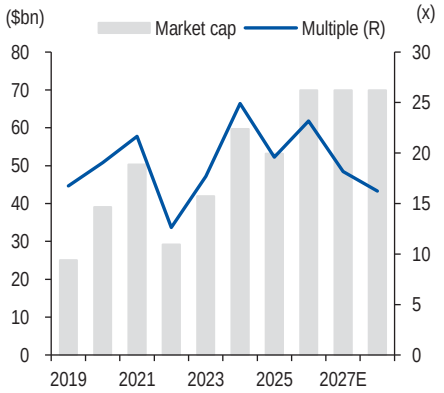
Source: Bloomberg, Yuanta Securities

Equinix: EBITDA and EBITDA margin



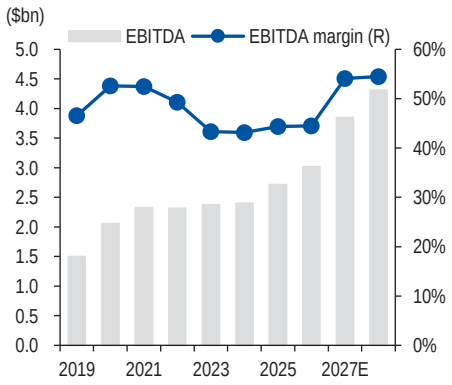
Source: Bloomberg, Yuanta Securities

Digital Realty: market cap and EBITDA multiple



Source: Bloomberg, Yuanta Securities

Digital Realty: EBITDA and EBITDA margin



Source: Bloomberg, Yuanta Securities

Part III. The essence of telecom: connectivity

1. Rising data traffic

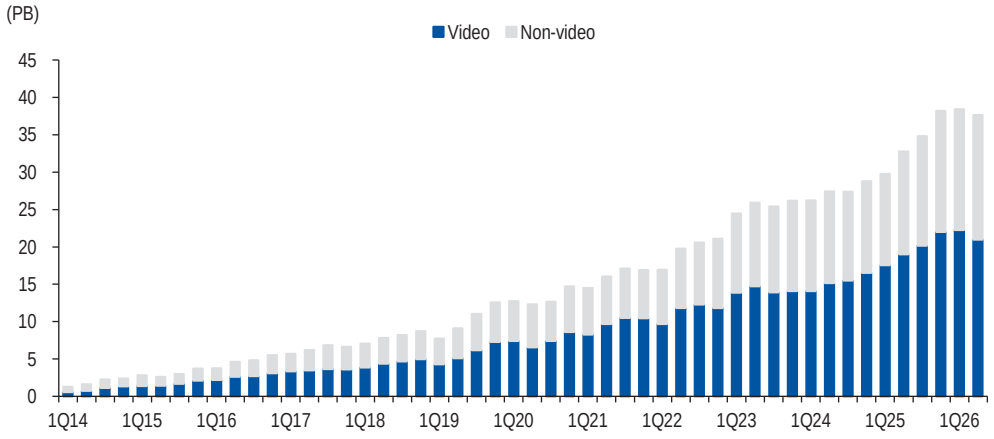
Both wireline and wireless data usage are expected to rise. Through the 3G era, data consumption centered primarily on text and images. Following the commercialization of 4G, however, high-definition video streaming became widespread, with video's share of total traffic rising to 58%. Average monthly data usage per subscriber rose from around 500MB in 2012 to 26.1GB in Apr 2026. In particular, average data traffic per 5G subscriber stands at 37.1GB, more than 3.5x the peak of 10.6GB recorded by 4G subscribers. By expanding available bandwidth and making streaming services widely accessible, advances in 5G network technology have driven growth in data traffic.

AI agents are expected to generate substantial traffic for training and inference, while physical AI will require real-time, ultra-low-latency connectivity for large volumes of data used in precision control. These developments should drive rapid growth in both wireline and wireless data traffic.

The spread of generative AI already appears to be accelerating data traffic growth. Average monthly data usage per 5G subscriber had remained at around 27GB after its commercialization in 2019, but has continued to rise since generative AI began gaining widespread adoption in 2025.

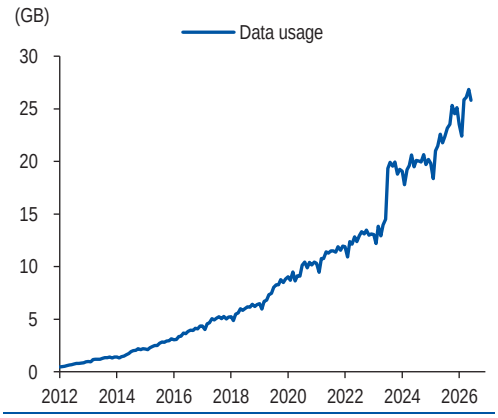
Traditional text-based searches generated traffic measured in kilobytes. With the spread of generative AI-based search, users are conducting more searches to cross-check information, while multimodal responses are increasing traffic volumes from kilobytes to megabytes and even gigabytes.

Video and non-video data traffic



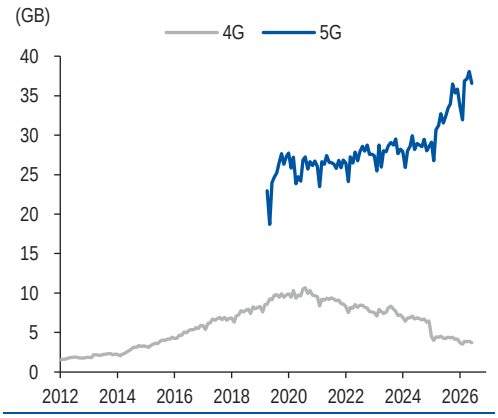
Source: Ministry of Science and ICT, Yuanta Securities

Wireless data usage per subscriber



Source: Ministry of Science and ICT, Yuanta Securities

Avg monthly data usage per 4G and 5G subscriber

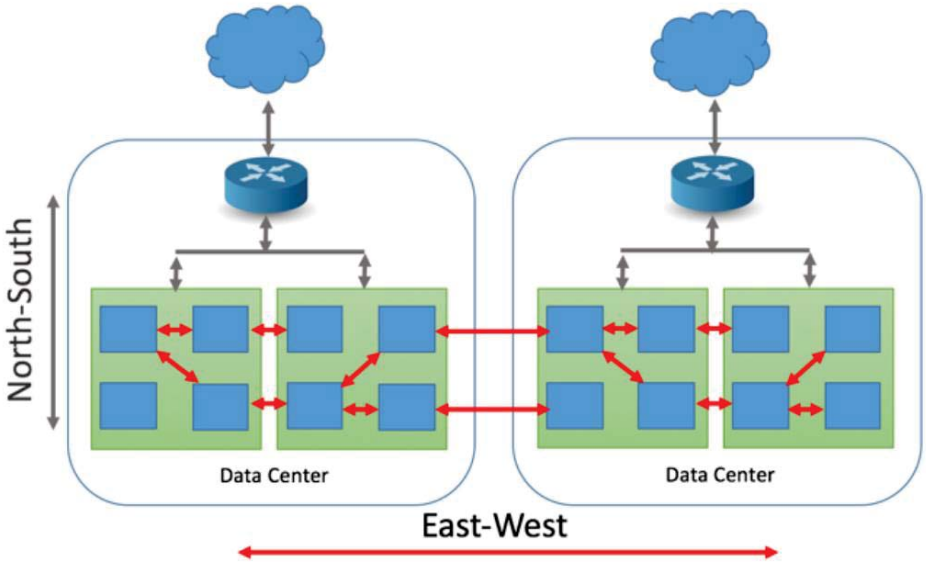


Source: Ministry of Science and ICT, Yuanta Securities

2. Telecom infrastructure expansion gets underway

Demand for backbone networks and dedicated lines will increase as AI drives data traffic growth and constraints on power supply and permitting push data centers into areas outside the Seoul metro region. AI workloads cannot be handled by a single data center. Training combines thousands of GPUs to process workloads, while inference requires models and data distributed across multiple locations to be connected in real time. Traffic patterns will therefore change as well. Traditional telecom networks were centered on downstream north-south traffic used to deliver content. With AI services, however, upstream traffic generated as users upload data will also increase substantially, accompanied by east-west traffic between data centers. This is expected to drive demand for backbone networks and dedicated data center interconnect (DCI) lines.

North-south and east-west traffic architecture



Source: SUSE, Yuanta Securities

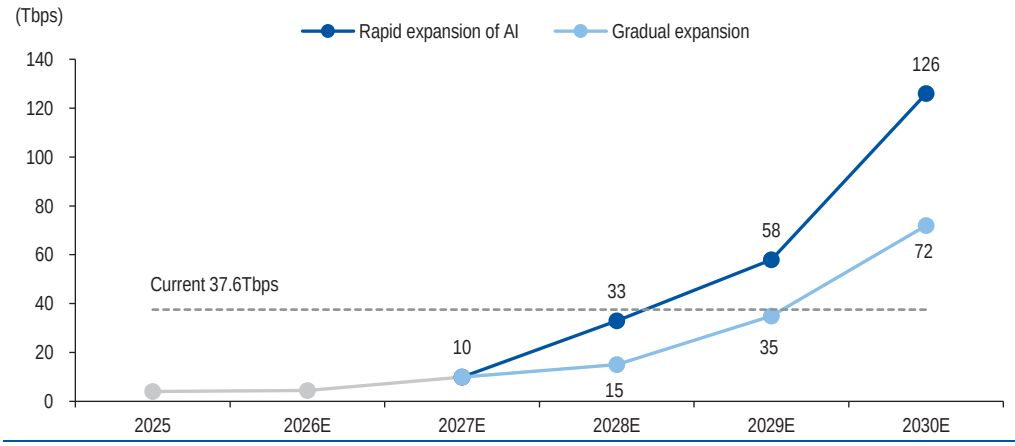
Comparison of telecom networks for traditional data centers and AIDCs

	Traditional data center	AIDC and DCI networks
Primary traffic direction	North-south: vertical, external ↔ internal	East-west: horizontal, between internal GPUs and between data centers
Traffic characteristics	Intermittent bursts, primarily downstream	Continuous, ultra-high-bandwidth, lossless and low-latency traffic
Core infrastructure requirements	Edge firewalls and L4–L7 load balancers	Ultra-high-speed, ultra-low-latency dedicated DCI lines, DWDM optical transport, and RoCEv2/InfiniBand
Beneficiaries	Conventional internet service provider networks	Optical transceivers, dedicated DCI line operators, and backbone switch manufacturers

Source: ITU, 3GPP, DIGI, SUSE, Yuanta Securities

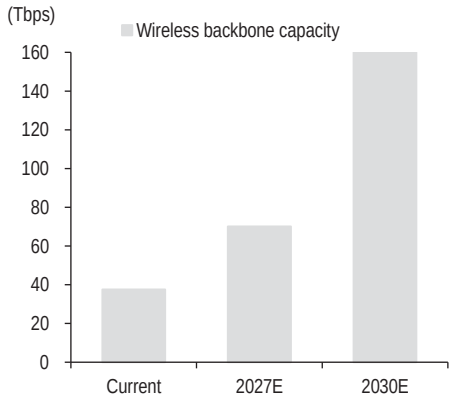
The government is also emphasizing the expansion of wireline and wireless telecom infrastructure. In Dec 2025, the Ministry of Science and ICT announced its "Hyper AI Network Strategy," **under which it plans to investment pre-emptively in anticipation of Korea's backbone network reaching capacity in 2029**. The government plans to more than quadruple wireless backbone capacity from the current 37.6Tbps to 70Tbps in 2027 and 160Tbps in 2030. It also aims to raise the optical conversion rate from the current 91% to 94% in 2027 and 98% in 2030. To expand connectivity not only within Korea but also with global networks, the government plans to nearly double submarine cable capacity from 120Tbps to 220Tbps. It also intends to strengthen network resilience by diversifying cable landing stations—which are currently concentrated along the southeast coast—to the west and south coasts.

Forecast for domestic wireless backbone traffic



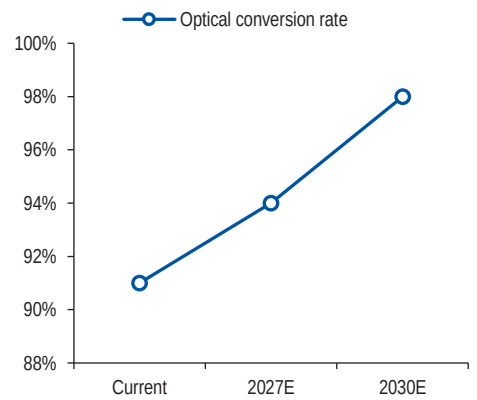
Source: Ministry of Science and ICT, Yuanta Securities

Korea's wireless backbone capacity and targets



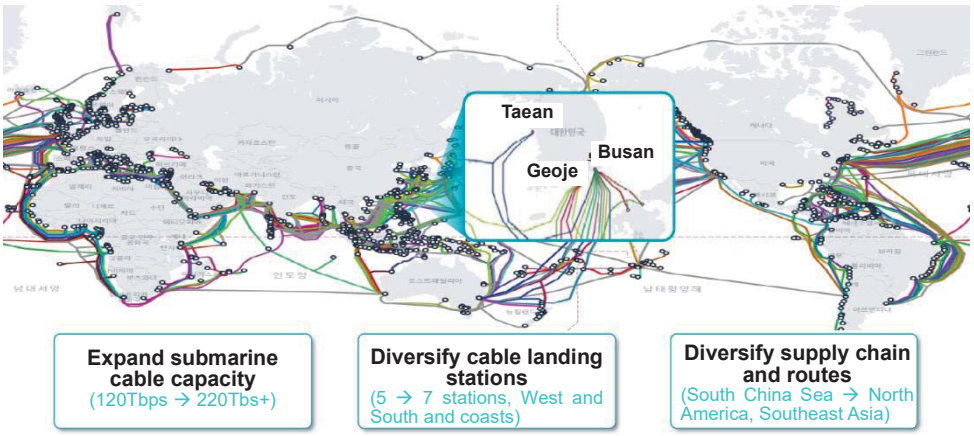
Source: Ministry of Science and ICT, Yuanta Securities

Korea's optical conversion rate and targets



Source: Ministry of Science and ICT, Yuanta Securities

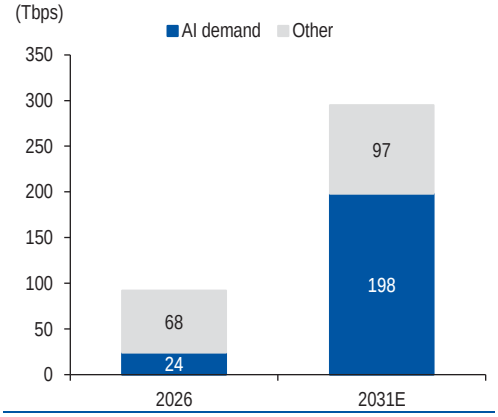
Ministry of Science and ICT's plan to expand submarine cables and diversify cable landing stations



Source: Ministry of Science and ICT, Yuanta Securities

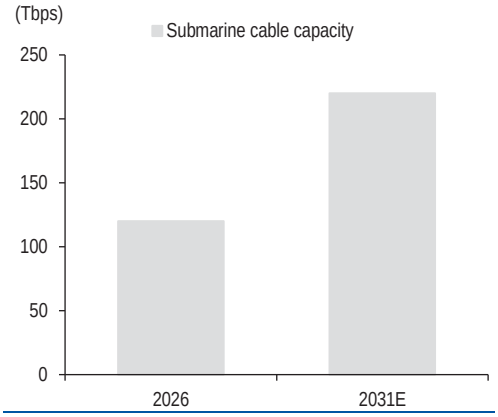
Market forecasts are consistent with the government's plans. Demand for submarine cable capacity connecting Korea is projected to increase by 220.7%, from 92Tbps in 2026 to 295Tbps in 2031. **AI-related demand is expected to skyrocket by 725%, from 24Tbps to 198Tbps over the same period**, accounting for most of the overall increase.

Submarine cable demand forecast for routes connecting Korea



Source: TeleGeography, Yuanta Securities

Government target for submarine cable capacity expansion

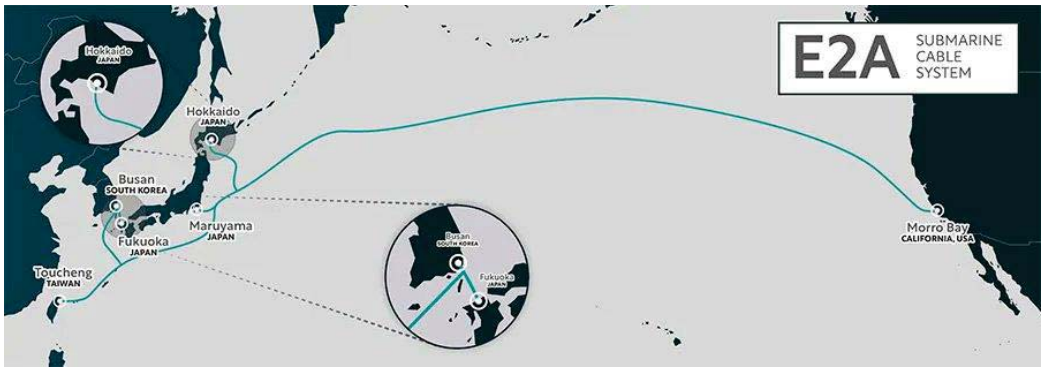


Source: Ministry of Science and ICT, Yuanta Securities

Telecom operators are also investing in submarine cables. In Jul 2025, SK Telecom launched SJC2 (Southeast Asia–Japan Cable 2), a 10,500km submarine cable connecting Japan, Korea, and Singapore. It is also developing E2A (East Asia to North America), a 12,500km cable connecting the US, Korea, and Taiwan, with operations targeted to begin in 2029. KT has set a target of expanding its submarine cable capacity from the current 38Tbps to more than 128Tbps by 2031, with a goal of capturing over 50% of the incremental demand for submarine cable capacity in Korea. A significant portion of the additional 90Tbps has already taken shape. Contracts for the 18Tbps I-AM cable connecting Asian markets and another 18Tbps cable connecting Korea, Japan, and the US via E2A were signed in 2025, and construction is currently underway. Contracts for the remaining 54Tbps are scheduled to be signed in 2026-2027, with completion targeted for 2031. LG U+ has secured access to the EAC-C2C cable through its subsidiary Dacom Crossing.

Plans are also underway to expand cable landing stations. Korea currently has five such stations—three in Busan, one in Taean, and one in Geoje—with most concentrated in the southeast region. As global data traffic surges, submarine cable capacity is expanding, while the global Big Tech firms driving demand are requesting route diversification through multiple pathways. As a result, new cable landing stations in the southwest region and other locations are reportedly under consideration.

E2A submarine cable project involving SK Broadband and KT



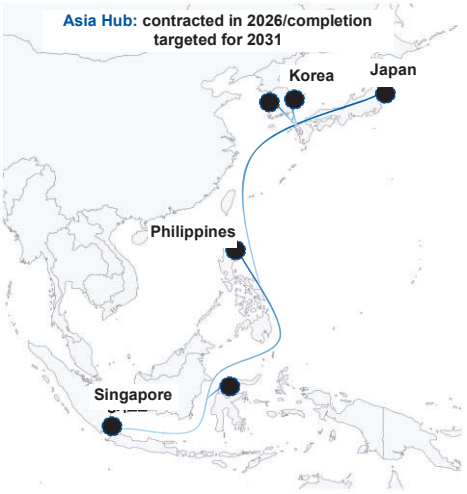
Source: Submarinenetworks, Yuanta Securities

I-AM submarine cable project involving KT



Source: Submarinenetworks, Yuanta Securities

Asian hub submarine cable project involving KT



Source: company data, Yuanta Securities

North American hub submarine cable project involving KT



Source: Yuanta Securities

Part IV. Investment strategy and top picks

1. AIDC visibility being secured

Amid rising interest in AI infrastructure in the domestic stock market, there are concerns that telcos' AIDC targets will lead to a surge in capex, thus reducing cash flow and shareholder returns. However, we believe this fails to reflect shifting investment methods. On the contrary, we believe it is now time for the value of their AIDC businesses to be reflected.

The AIDC capacity targets presented by the three telcos will not solely be covered by internal funds. SKT will raise W3tn by selling a stake in SK Horizon—established through the spin-off of SK Broadband—to KKR and the IMM consortium and issuing new shares. SK Hyper's GW-class new project will be funded by establishing SPCs for each project and raising capital through strategic partners and project financing. KT plans to control capex by mixing leases rather than building its entire 1GW target capacity internally. Because leasing costs should be offset by colocation revenue, the actual burden should be limited. LG U+ is adopting an asset-light structure of securing operational revenue through a partnership with Koramco Asset Management. The key takeaway is that the capex burden is easing somewhat as business models diversify from colocation-centered to leases, DBO models, and external funding.

Uncertainty on the demand side is also limited. Metropolitan data centers' absorption rate came to 99.7% in 2024 and 99.4% in 2025, which indicates that capacity is exhausted immediately as it comes online, while the vacancy rate is at a historic low of below 5%. It seems that pre-lease contracts are already being signed for scheduled 2027-2028 volumes. It is also positive that 88% of lease demand comes from global CSPs and large Korean IT firms. This vindicates the three telcos' strategy of securing demand before beginning construction, while also implying limited utilization risk.

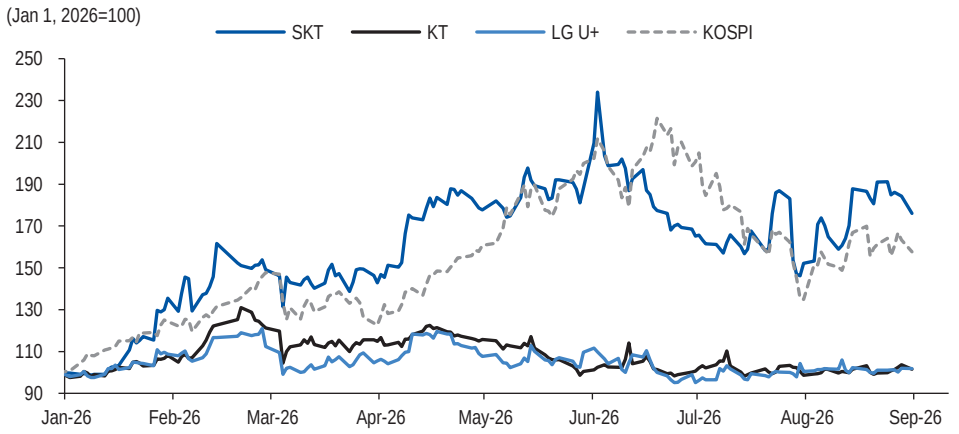
Momentum is expected to materialize sequentially from 2H26. New AIDC announcements, anchor tenant signings, and partnerships are being made, while AI inference demand is rapidly increasing alongside AI training demand. Moreover, we believe that a favorable environment for the telecom sector will be created as floor space rents rise upon contract renewals, new businesses including GPUaaS and token factory contribute to earnings, and the value of AI investment assets is highlighted.

Three telcos valuation table

		SKT (017670 KS)	KT (030200 KS)	LG U+ (032640 KS)
Share price (won)		94,600	54,000	15,220
Market cap (Wbn)		20,319	13,609	6,460
YTD (%)		76.8	2.7	3.4
P/E (x)	2025	28.1	7.7	12.2
	2026E	13.8	9.9	8.5
	2027E	13.5	9.3	8.2
P/B (x)	2025	0.9	0.7	0.7
	2026E	1.5	0.7	0.7
	2027E	1.4	0.7	0.7
ROE (%)	2025	3.3	10.2	6.0
	2026E	11.0	7.6	8.4
	2027E	10.6	7.7	8.3
EV/EBITDA (x)	2025	4.5	3.2	3.6
	2026E	5.1	3.5	3.5
	2027E	5.0	3.2	3.2
Dividend yield (%)	2025	3.1	4.6	4.5
	2026E	3.5	4.5	4.7
	2027E	3.8	4.8	4.9
Sales (Wbn)	2025	17,099	28,244	15,452
	2026E	17,718	27,426	15,436
	2027E	18,101	27,905	15,898
OP (Wbn)	2025	1,073	2,469	892
	2026E	2,017	2,076	1,166
	2027E	2,075	2,256	1,232
OPM (%)	2025	6.3	8.7	5.8
	2026E	11.4	7.6	7.6
	2027E	11.5	8.1	7.8
Foreign ownership (%)		34.3	49.0	41.5

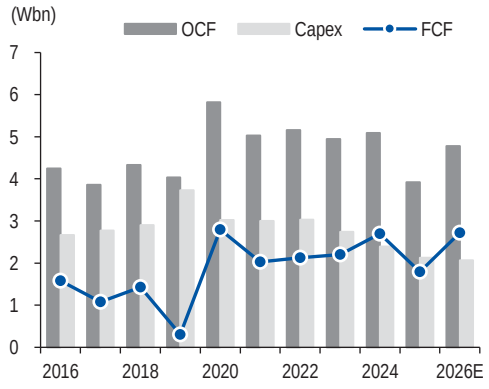
Note: as of the Sep 1, 2026 closing price
Source: Yuanta Securities

Telcos and KOSPI: return on shares since 2026



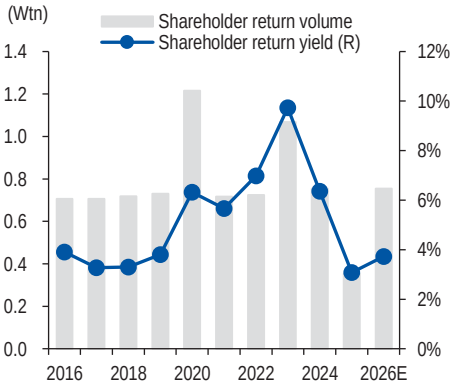
Source: FnGuide Quantiwise, Yuanta Securities

SKT: OCF, capex, and FCF



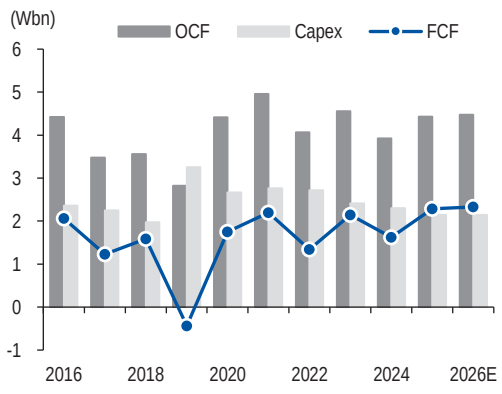
Source: SK Telecom, FnGuide Quantiwise, Yuanta Securities

SKT: shareholder returns



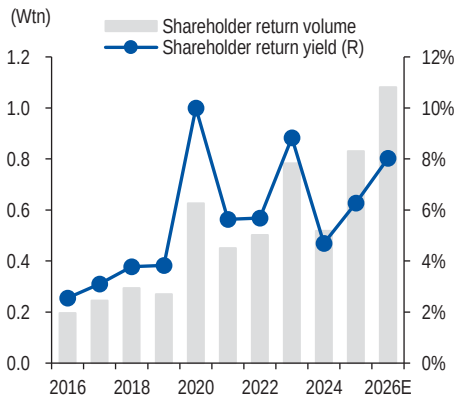
Source: SK Telecom, FnGuide Quantiwise, Yuanta

KT: OCF, capex, and FCF



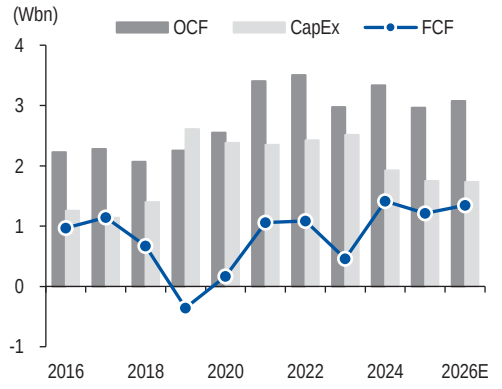
Source: KT, FnGuide Quantiwise, Yuanta Securities

KT: shareholder returns



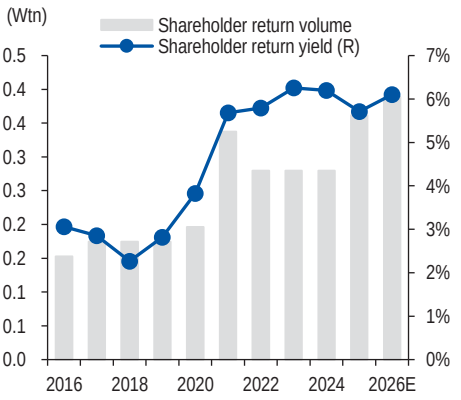
Source: KT, FnGuide Quantiwise, Yuanta Securities

LG U+: OCF, capex, and FCF



Source: LG U+, FnGuide Quantiwise, Yuanta Securities

LG U+: shareholder returns



Source: LG U+, FnGuide Quantiwise, Yuanta Securities

2. Top pick: SK Telecom

We keep SKT as our telecom services sector top-pick. Backed by stable profits from fixed line/wireless communications, we expect the share price to increasingly reflect the value of its AIDC business and stake in Anthropic.

In July, SKT established SK Hyper to separate business development functions including securing land and building substations, and in August, it spun off SK Broadband to establish SK Horizon, which will be responsible for the data center and submarine cable businesses. During this process, SKT will raise W1.9tn through the sale of existing shares in SK Horizon, while SK Horizon will raise W1.2tn through the issuance of new shares. The process has provided simultaneous verification of AIDC demand and the firm's ability to secure external funding. The Ulsan AIDC is the first domestic hyperscale AIDC to secure AWS as an anchor tenant, and global PE firms are participating as investors in SK Horizon.

We expect SKT's competitiveness to shine as it absorbs inference demand based on metropolitan assets, training demand with non-metropolitan AIDCs, and global traffic demand through connection to the Busan landing station. Of the 318MW transferred to SK Horizon, existing assets (Seocho, Bundang, Pangyo, Gasan, Ilsan, etc.) as well as Guro AIDC (75MW; under construction) are located in the Seoul metro area, accounting for roughly two-thirds of the total. This will largely absorb demand for AI inference workloads. Since the Ulsan AIDC is located 40-50km in a straight line from the Busan landing station, it will be able to satisfy low-latency requirements for international network connections via SJC2 and E2A. Given that international connectivity with other regions is crucial for global hyperscalers' AI training workloads, Ulsan is an ideal location that satisfies both power availability and proximity to an international gateway. These factors likely explain AWS decision to participate as an anchor tenant.

In terms of valuation, SK Horizion is significant, as it is the first case proving the value of domestic AIDC assets. SK Horizon's equity value is estimated at W6.3tn. When factoring in SK Hyper's future development businesses, we estimate the value of SKT's AIDC business at W15tn in 2035 (applying a 25% stake, EBITDA multiple of 10x).

Currently, the share price does not reflect this value. The value of the fixed line/wireless telecom business stands at around W14-15tn, and considering the W5.5tn value of its Anthropic stake, we believe the value of the AIDC business has yet to be priced in. Going forward, potential catalysts include progress toward an Anthropic IPO in 2H26, the launch of the 40MW Ulsan AIDC in 2027, and the full-scale development of SK Hyper's hub AIDC. We expect the valuation gap to narrow steadily at every phase as the value of the AIDC business is verified.

SK Telecom (017670 KS)

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

AIDC value proven on its own merits

SKT's AIDC value validated

With the value of SKT's AIDC business now validated, we expect this to be reflected into the share price. In July, SK Telecom (SKT) established SK Hyper, a dedicated entity for AIDC business development, and decided to spin off SK Broadband's data center and submarine cable businesses to establish SK Horizon. The firm plans to expand AIDC capacity to 5GW through phased expansions through 2035, with facilities scheduled to open in 2029. Starting with the Ulsan AIDC, SKT has adopted a regional strategy of sequentially building GW-class facilities in four to five hubs, including the Chungcheong and Honam regions. Based on secondary share sales of W1.9tn and new share issuance of W1.2tn during the process of SK Horizon's establishment, this translates into an equity valuation of W6.3tn for SK Horizon. We believe this valuation reflects high expectations for the growth of the Ulsan AIDC, and we expect AIDC value to continue growing when SK Hyper's 5GW business goes into full swing. Moreover, SK Horizon is expected to absorb the AI learning workloads of global hyperscalers through the Southeast Asia-Japan 2 (SJC2) and East Asia to North America (E2A) submarine cable systems.

Share price yet to reflect value of AIDC business

SKT's current share price only reflects the W15tn in value from the fixed-line and wireless telecom businesses and W4tn from its stake in Anthropic. Given the value of the AIDC business, which is emerging as a mid- to long-term growth engine and has been confirmed through external financing, we believe the firm is undervalued. With global PE investments validating the value of the AIDC business, we expect the valuation gap to narrow rapidly. We maintain BUY and our target price of W118,000.

BUY (M)

Target price	W118,000 (M)
Previous target price	W118,000
Current price (Sep 01)	W94,600
Upside potential	25%

Market cap (Wbn)	20,319
Shares outstanding	214,790,053
Avg daily T/O (2M, Wbn)	148
Avg daily volume (2M, shrs)	1,553,583
52-week high/low (won)	125,200 / 52,100
Foreign ownership (%)	34.40%
Dividend yield (%)	3.10%
Major shareholders	SK Inc & others

Stock performance

(%)	1M	3M	12M
Absolute	16.2	(15.7)	72.6
Relative	12.1	8.4	(20.6)
Abs (US$)	20.8	(7.4)	75.6

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	4,474	12.5	2.6	4,455	0.4
OP	534	1,002.1	-5.7	532	0.3
Pre-tax net profit	560	TTB	-5.8	453	23.8
Net profit, CI	338	TTB	-28.1	330	2.5
OPM (%)	11.9	+10.7 %pt	-1.1 %pt	11.9	0
NPM (%)	7.6	TTB	-3.2 %pt	7.4	+0.2 %pt

Note: CI = controlling interest, TTB = turn to black

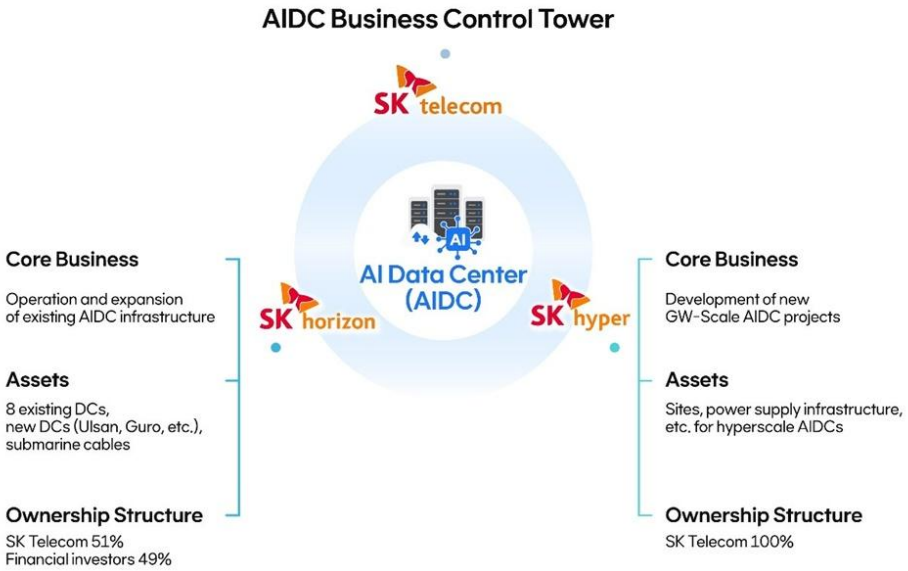
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	17,099	17,718	18,101	18,379
OP	1,073	2,017	2,075	2,107
Net profit, CI	408	1,470	1,506	1,530
P/E (x)	28.9	13.8	13.5	13.3
P/B (x)	0.9	1.5	1.4	1.3
EV/EBITDA (x)	4.5	5.1	5.0	4.8
ROE (%)	3.3	11.0	10.6	10.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

SKT: AIDC business structure



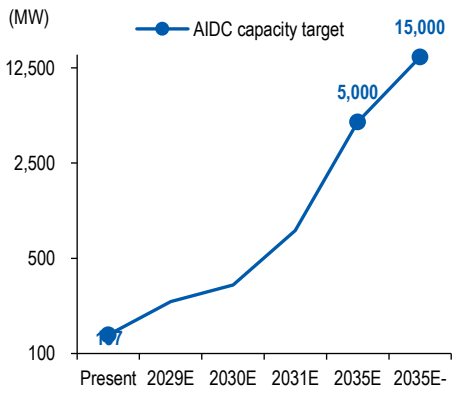
Source: company data, Yuanta Securities

SKT and SK Horizon old share disposal and new share issuance

Selling (issuing)	Transaction	Counterparty	Amount	Confirmation
SKT	Old share sale	KKR·IMM consortium	W1.88tn	Confirmed (disclosure completed)
SK Horizon	New share issuance		W1.2tn	Expected (separate disclosure expected)

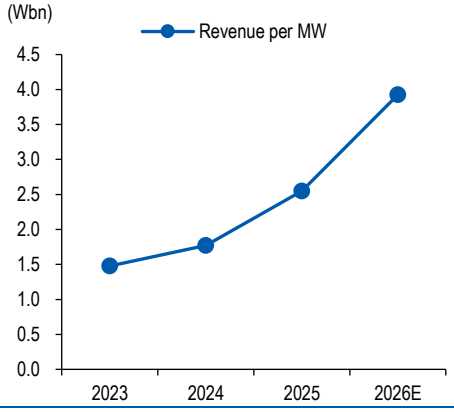
Source: company data, Yuanta Securities

SKT: AIDC capacity target



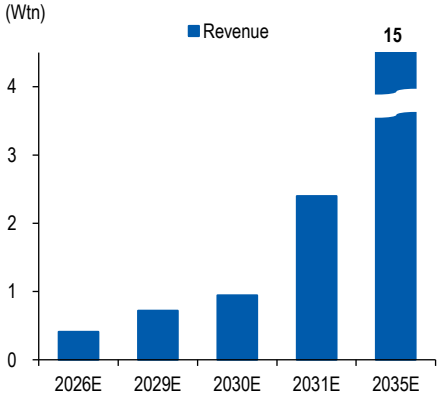
Source: company data, Yuanta Securities

SKT: AIDC revenue per MW



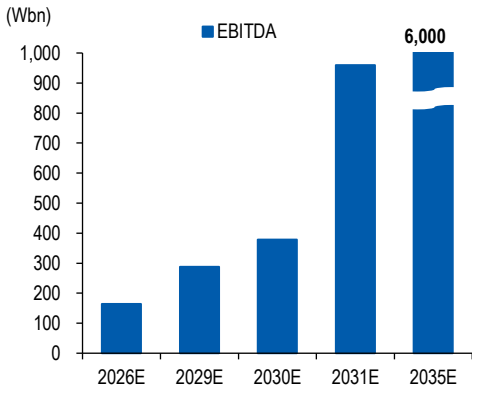
Note: our estimate
Source: company data, Yuanta Securities

SKT: AIDC revenue forecast



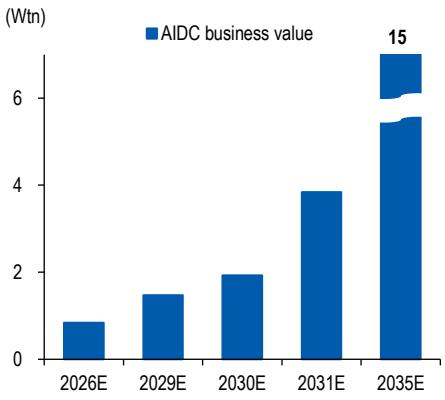
Source: company data, Yuanta Securities

SKT: AIDC EBITDA forecast



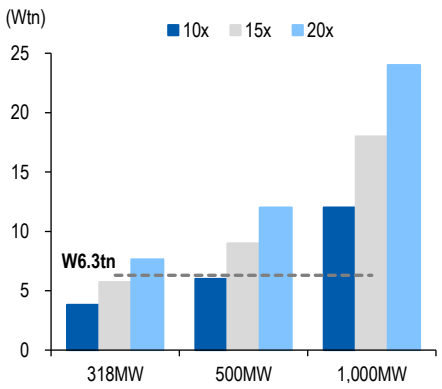
Source: company data, Yuanta Securities

SKT: AIDC business value forecast



Source: company data, Yuanta Securities

SK Horizon AIDC multiple estimates by capacity



Source: company data, Yuanta Securities

SKT: consolidated earnings forecast										(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E
Consol. op revenue	**4,454**	**4,339**	**3,978**	**4,329**	**4,392**	**4,359**	**4,474**	**4,493**	**17,099**	**17,718**
Separate op revenue	3,167	3,135	2,665	3,084	3,106	3,117	3,138	3,158	12,051	12,519
Mobile service	2,661	2,623	2,124	2,538	2,581	2,563	2,602	2,607	9,946	10,354
Interconnection	97	94	95	94	91	91	96	89	380	367
Others	409	419	446	452	433	463	440	463	1,725	1,799
Consol. opex	**3,886**	**4,001**	**3,930**	**4,210**	**3,855**	**3,793**	**3,940**	**4,113**	**16,026**	**15,701**
Separate opex	2,685	2,884	2,717	2,953	2,696	2,689	2,694	2,869	11,239	10,949
Labor cost	278	225	237	362	278	266	237	266	1,103	1,048
Commissions paid	1,142	1,223	1,197	1,247	1,183	1,186	1,226	1,317	4,808	4,912
Advertising	21	23	24	57	19	22	29	62	125	132
Depreciation	661	653	652	667	649	648	626	625	2,634	2,548
Others	584	761	607	619	567	567	575	599	2,570	2,308
Consolidated OP	**567**	**338**	**48**	**119.1**	**538**	**566**	**534**	**379**	**1,073**	**2,017**
Separate OP	482	251	-52	131	410	428	444	289	812	1,571
YoY (%)										
Consol. op revenue	***-0.5***	***-1.9***	***-12.2***	***-4.1***	***-1.4***	***0.5***	***12.5***	***3.8***	***-4.7***	***3.6***
Separate op revenue	*-0.7*	*-1.8*	*-16.8*	*-3.3*	*-1.9*	*-0.6*	*17.8*	*2.4*	*-5.7*	*3.9*
Mobile service	*-0.1*	*-1.9*	*-20.5*	*-4.6*	*-3.0*	*-2.3*	*22.5*	*2.7*	*-6.8*	*4.1*
Interconnection	*-13.7*	*-13.6*	*-10.9*	*9.3*	*-6.4*	*-3.0*	*1.6*	*-6.0*	*-8.2*	*-3.5*
Others	*-0.7*	*2.2*	*4.9*	*1.9*	*6.0*	*10.5*	*-1.4*	*2.4*	*2.1*	*4.3*
Consol. opex	***-2.3***	***3.0***	***-1.7***	***-1.1***	***-0.8***	***-5.2***	***0.3***	***-2.3***	***-0.6***	***-2.0***
Consolidated OP	*-2.4*	*5.2*	*-1.1*	*-1.9*	*0.4*	*-6.8*	*-0.9*	*-2.8*	*-0.1*	*-2.6*
Separate OP	***13.8***	***-37.1***	***-90.9***	***-53.1***	***-5.3***	***67.3***	***1,002.1***	***218.4***	***-41.1***	***87.9***
Consolidated OPM (%)	*10.5*	*-44.3*	*TTR*	*-27.1*	*-15.1*	*70.5*	*TTB*	*120.9*	*-46.7*	*93.5*
Separate OPM (%)	**12.7**	**7.8**	**1.2**	**2.8**	**12.2**	**13.0**	**11.9**	**8.4**	**6.3**	**11.4**
Consol. op revenue	15.2	8.0	-2.0	4.2	13.2	13.7	14.2	9.1	6.7	12.5

Note: TTB = turn to black, TTR = turn to red
Source: company data, Yuanta Securities

SK Telecom (017670 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**17,941**	**17,099**	**17,718**	**18,101**	**18,379**
Cost of sales	0	0	0	0	0
Gross profit	17,941	17,099	17,718	18,101	18,379
SG&A	16,117	16,026	15,701	16,026	16,272
Operating profit	**1,823**	**1,073**	**2,017**	**2,075**	**2,107**
EBITDA	5,523	4,663	5,571	5,594	5,590
Non-operating profit	-62	-351	-108	-119	-119
Forex gains	7	-3	2	4	4
Net interest income	-316	-310	-309	-308	-308
Equity-method gains	322	-64	0	0	0
Other	-75	26	199	186	186
Net prof before income tax	1,762	722	1,909	1,956	1,987
Income tax	375	347	439	450	457
Net profit from continuing ops	1,387	375	1,470	1,506	1,530
Net profit from discontinued ops	0	0	0	0	0
Net profit	1,387	375	1,470	1,506	1,530
NP for controlling interest	**1,250**	**408**	**1,470**	**1,506**	**1,530**
Total comprehensive income	1,548	1,905	1,470	1,506	1,530
Total comprehensive income, CI	1,409	1,938	1,495	1,532	1,557

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**7,477**	**6,727**	**7,422**	**7,975**	**8,723**
Cash & cash equivalents	2,024	1,490	2,039	2,504	3,169
Accounts receivables & other	2,482	2,369	2,477	2,530	2,569
Inventory	210	168	174	177	180
Non-current assets	23,039	23,381	23,386	23,280	23,228
Tangible assets	12,617	11,902	12,083	12,070	12,070
Investment in affiliates	2,342	2,238	2,319	2,370	2,406
Other investment assets	2,134	3,524	3,536	3,544	3,549
Total assets	**30,515**	**30,108**	**30,808**	**31,255**	**31,951**
Current liabilities	9,224	6,530	6,521	6,454	6,385
Accounts payable & other	5,377	4,046	4,069	4,092	4,113
ST financial liabilities	100	130	130	130	130
Liquid LT liabilities	2,828	1,491	1,441	1,341	1,241
Non-current liabilities	9,463	10,623	10,393	10,154	10,164
LT financial liabilities	203	300	300	300	300
Debentures	6,364	7,294	7,264	7,226	7,226
Total liabilities	**18,688**	**17,152**	**16,913**	**16,608**	**16,549**
Equity, controlling interest	11,699	12,863	13,802	14,554	15,309
Paid-in capital	30	30	30	30	30
Capital surplus	1,771	1,771	1,771	1,771	1,771
Retained earnings	22,976	22,938	23,878	24,630	25,384
Equity, non-controlling interest	129	92	92	92	92
Total equity	**11,828**	**12,955**	**13,895**	**14,647**	**15,401**
Net debt	**8,604**	**8,995**	**8,161**	**7,349**	**6,587**
Total debt	11,136	10,748	10,471	10,130	10,037

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**5,087**	**3,924**	**4,782**	**4,808**	**4,809**
Net profit	1,387	375	1,470	1,506	1,530
Depreciation & amortization	3,700	3,590	3,554	3,519	3,484
Forex gains	-6	-1	-2	-4	-4
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-109	-144	-509	-481	-469
Other	115	103	268	268	268
Investing cash flow	**-2,712**	**-1,737**	**-1,946**	**-1,887**	**-1,828**
Investment	70	20	-93	-58	-42
Increase in tangible assets	-2,487	-2,207	-2,065	-2,044	-2,003
Decrease in tangible assets	47	240	0	0	0
Other	-342	209	212	215	217
Financing cash flow	**-1,810**	**-2,712**	**-2,503**	**-2,791**	**-2,564**
ST financial liabilities	79	92	15	9	7
Debenture/LT financial liabilities	-271	-481	-292	-350	-100
Equity	0	0	0	0	0
Cash dividend	-804	-628	-530	-754	-775
Other cash flow	-814	-1,695	-1,696	-1,696	-1,696
Consolidation adj and other	3	-9	216	335	248
Increase in cash & equivalents	**569**	**-534**	**549**	**466**	**665**
Beginning cash & equivalents	1,455	2,024	1,490	2,039	2,504
Ending cash & equivalents	2,024	1,490	2,039	2,504	3,169
NOPLAT	1,823	1,073	**2,017**	**2,075**	**2,107**
FCF	**2,600**	**1,717**	**2,717**	**2,764**	**2,806**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,810	1,901	6,843	7,012	7,124
BPS (won)	54,952	60,395	64,785	68,315	71,857
EBITDA/shr (won)	25,669	21,712	25,937	26,045	26,026
SPS (won)	83,376	79,609	82,489	84,273	85,566
DPS (won)	3,540	1,660	3,540	3,640	3,740
P/E (x)	**9.2**	**28.9**	**13.8**	**13.5**	**13.3**
P/B (x)	**1.0**	**0.9**	**1.5**	**1.4**	**1.3**
EV/EBITDA (x)	**3.7**	**4.5**	**5.1**	**5.0**	**4.8**
P/S (x)	**0.6**	**0.7**	**1.1**	**1.1**	**1.1**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**1.9**	**-4.7**	**3.6**	**2.2**	**1.5**
Operating profit (%YoY)	**4.0**	**-41.1**	**87.9**	**2.9**	**1.5**
Net profit, CI (%YoY)	**14.3**	**-67.3**	**259.9**	**2.5**	**1.6**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
Operating margin (%)	**10.2**	**6.3**	**11.4**	**11.5**	**11.5**
Net margin, CI (%)	7.0	2.4	8.3	8.3	8.3
EBITDA margin (%)	30.8	27.3	31.4	30.9	30.4
ROIC (%)	8.5	3.5	9.6	9.7	9.9
ROA (%)	4.1	1.3	4.8	4.9	4.8
ROE (%)	**10.8**	**3.3**	**11.0**	**10.6**	**10.2**
Debt-to-equity (%)	158.0	132.4	121.7	113.4	107.5
Net debt-to-equity (%)	73.5	69.9	59.1	50.5	43.0
OP/financing cost (x)	4.5	2.8	5.0	5.2	5.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

KT (030200 KS)

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

Infrastructure-driven AX demand

Targets revised up based on actual demand

KT aims to expand the share of AI transformation (AX) revenue from 6.9% in 2025 to 14.0% in 2028 through investments in AIDCs and submarine cables. It plans to invest W5tn over five years to expand AIDC power capacity by 1GW and W1tn to increase submarine cable capacity from 38Tbps to 128Tbps.

Its AIDC capacity target has doubled from the previous goal of 500MW by 2030 to 1GW by 2031. AIDC capacity expansion will drive data traffic growth, which in turn will create demand for network infrastructure, including submarine cables. We expect investment backed by actual demand to create a virtuous cycle and further highlight the company's competitive strength in network infrastructure.

Re-rating is the final piece

The telecom business is likely to normalize from 2H as the company moves past the impact of the hacking incident. Growth in AX, its mid- to long-term growth engine, is becoming increasingly visible, while asset efficiency is also improving through the sale of group assets.

KT aims to raise ROE to approximately 10% by 2028. This should be supported by earnings recovery, AX growth, and the monetization of non-core assets, paving the way for a re-rating.

We maintain BUY and our target price of W73,000.

BUY (M)

Target price	W73,000 (M)
Previous target price	W73,000
Current price (Sep 01)	W54,000
Upside potential	35%

Market cap (Wbn)	13,609
Shares outstanding	252,021,685
Avg daily T/O (2M, Wbn)	23
Avg daily volume (2M, shrs)	417,416
52-week high/low (won)	68,900 / 48,250
Foreign ownership (%)	49.00%
Dividend yield (%)	4.56%
Major shareholders	Hyundai Motor & other

Stock performance

(%)	1M	3M	12M
Absolute	4.0	1.5	1.3
Relative	0.4	30.5	(53.4)
Abs (US$)	8.1	11.4	3.0

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	7,050	-1.1	5.5	6,969	1.2
OP	535	-0.6	-17.5	550	-2.8
Pre-tax net profit	514	-13.4	-18.8	515	-0.2
Net profit, CI	354	-9.5	-16.5	372	-4.7
OPM (%)	7.6	0	-2.1 %pt	7.9	-0.3 %pt
NPM (%)	5.0	-0.5 %pt	-1.4 %pt	5.3	-0.3 %pt

Note: CI = controlling interest

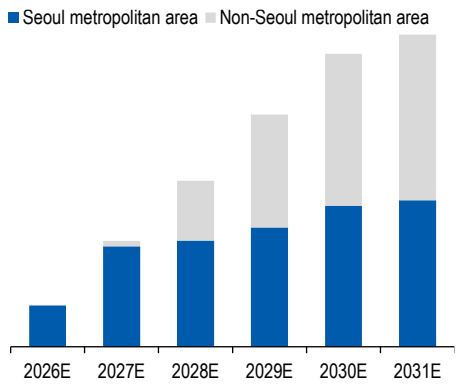
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	28,244	27,426	27,905	28,324
OP	2,469	2,076	2,256	2,367
Net profit, CI	1,731	1,369	1,458	1,576
P/E (x)	7.4	9.9	9.3	8.6
P/B (x)	0.7	0.7	0.7	0.6
EV/EBITDA (x)	3.6	3.5	3.2	3.1
ROE (%)	10.2	7.6	7.7	7.9

Source: Yuanta Securities

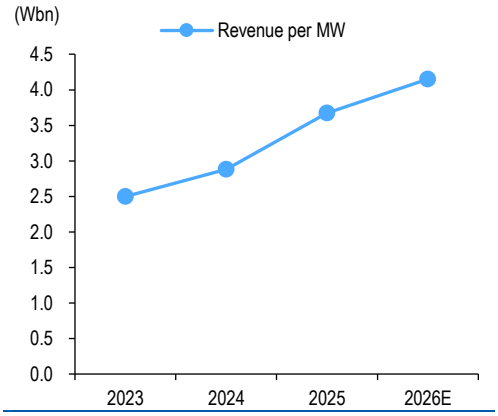
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

KT: AIDC capacity target



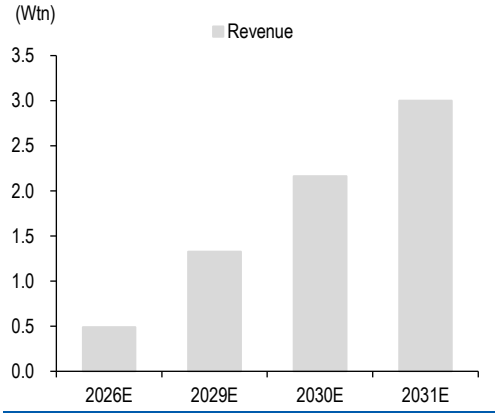
Source: company data, Yuanta Securities

KT: AIDC revenue per MW



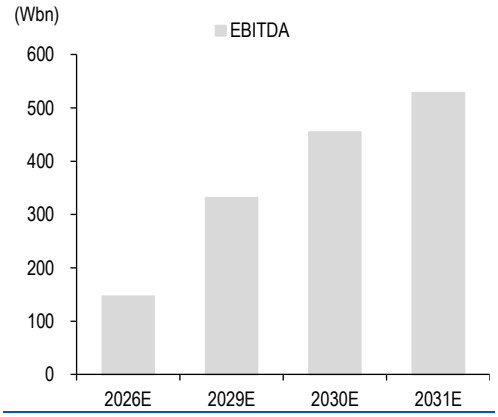
Note: based on our estimate
Source: company data, Yuanta Securities

KT: AIDC revenue forecast



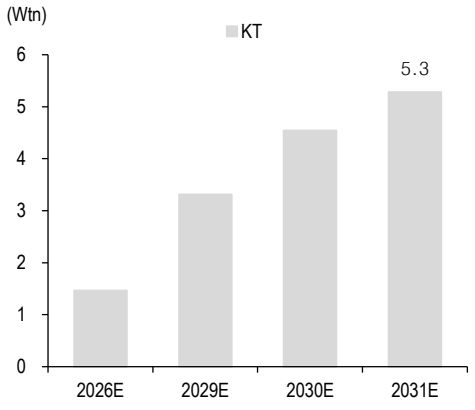
Source: company data, Yuanta Securities

KT: AIDC EBITDA forecast



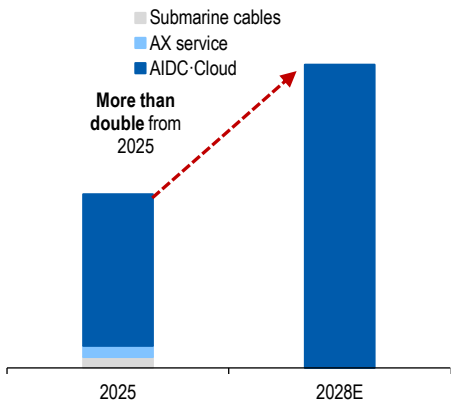
Source: company data, Yuanta Securities

KT: AIDC business value forecast



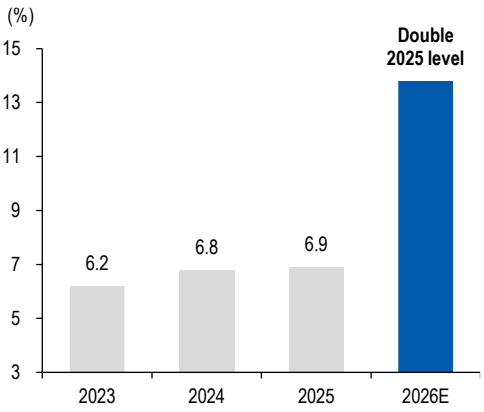
Source: company data, Yuanta Securities

AX revenue forecast (KT and KT Cloud combined)



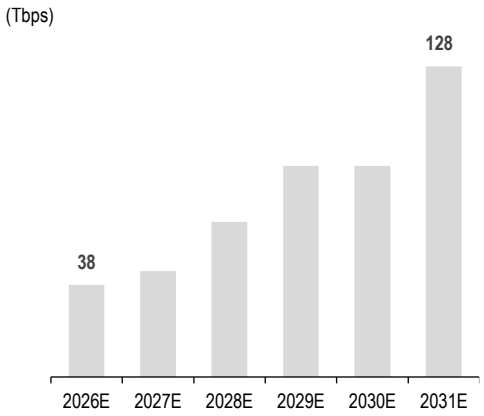
Source: company data, Yuanta Securities

KT: AI/IT share target vs separate service revenue



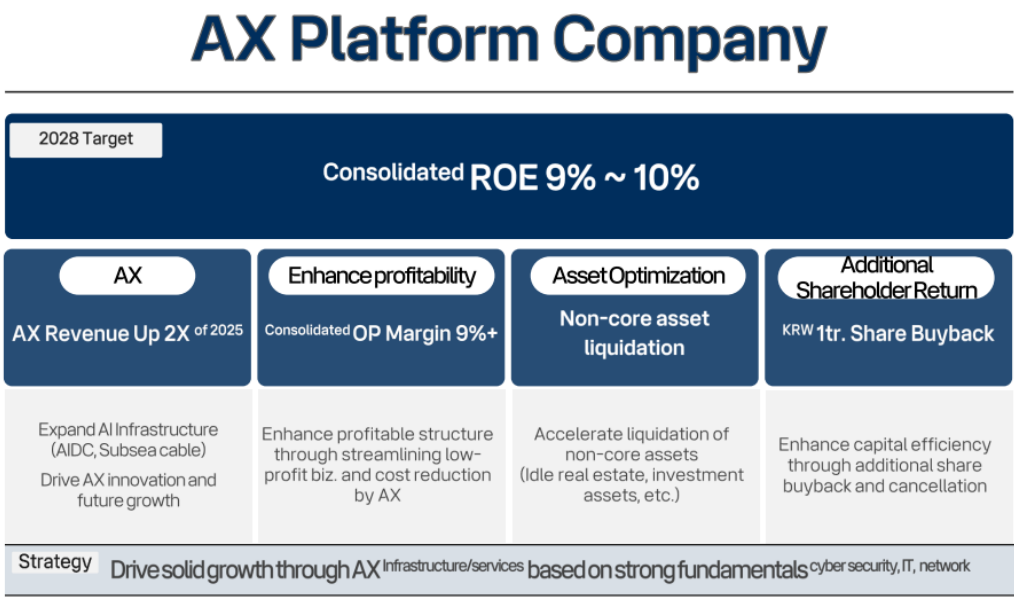
Source: company data, Yuanta Securities

KT: submarine cable capacity expansion plan



Source: company data, Yuanta Securities

KT: mid- to long-term target and action plans



Source: company data, Yuanta Securities

KT (030200 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**26,431**	**28,244**	**27,426**	**27,905**	**28,324**
Cost of sales	0	0	0	0	0
Gross profit	26,431	28,244	27,426	27,905	28,324
SG&A	25,622	25,775	25,350	25,649	25,956
Operating profit	**809**	**2,469**	**2,076**	**2,256**	**2,367**
EBITDA	4,739	6,407	6,476	6,629	6,630
Non-operating profit	-225	-51	-88	-113	-108
Forex gains	-405	84	-334	-297	-297
Net interest income	-71	-107	-97	-112	-112
Equity-method gains	9	18	-12	-22	-17
Other	243	-46	355	318	318
Net prof before income tax	585	2,418	1,988	2,143	2,259
Income tax	168	581	478	536	565
Net profit from continuing ops	417	1,837	1,509	1,607	1,694
Net profit from discontinued ops	0	0	0	0	0
Net profit	417	1,837	1,509	1,607	1,694
NP for controlling interest	**470**	**1,731**	**1,369**	**1,458**	**1,576**
Total comprehensive income	327	2,327	1,509	1,607	1,694
Total comprehensive income, CI	354	2,243	1,455	1,550	1,633

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**14,252**	**13,978**	**14,713**	**15,589**	**16,586**
Cash & cash equivalents	3,717	3,507	4,502	5,373	6,371
Accounts receivables & other	6,147	5,845	5,676	5,697	5,713
Inventory	940	416	404	411	417
Non-current assets	27,628	28,971	28,619	28,508	28,544
Tangible assets	14,826	14,258	14,001	13,790	13,720
Investment in affiliates	1,562	1,564	1,519	1,545	1,568
Other investment assets	2,759	3,363	3,357	3,360	3,363
Total assets	**41,880**	**42,949**	**43,332**	**44,097**	**45,130**
Current liabilities	13,875	11,693	11,426	11,375	11,331
Accounts payable & other	7,395	6,869	6,670	6,603	6,542
ST financial liabilities	450	710	710	710	710
Liquid LT liabilities	3,445	1,790	1,790	1,790	1,790
Non-current liabilities	10,009	11,798	11,509	11,288	11,239
LT financial liabilities	560	1,242	1,242	1,242	1,242
Debentures	6,056	7,044	6,910	6,787	6,717
Total liabilities	**23,883**	**23,491**	**22,936**	**22,663**	**22,571**
Equity, controlling interest	16,211	17,656	18,453	19,342	20,349
Paid-in capital	1,564	1,564	1,564	1,564	1,564
Capital surplus	1,443	1,443	1,443	1,443	1,443
Retained earnings	13,780	14,964	15,762	16,651	17,657
Equity, non-controlling interest	1,786	1,802	1,943	2,092	2,211
Total equity	**17,997**	**19,458**	**20,396**	**21,434**	**22,559**
Net debt	**7,593**	**8,194**	**6,942**	**5,837**	**4,763**
Total debt	12,654	13,327	13,067	12,835	12,761

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**5,066**	**4,942**	**4,577**	**4,488**	**4,474**
Net profit	417	1,837	1,509	1,607	1,694
Depreciation & amortization	3,278	3,330	3,857	3,843	3,743
Forex gains	383	-12	334	297	297
Affiliate investment gains	0	0	12	22	17
Increase in net working cap	69	-1,775	-2,394	-2,526	-2,513
Other	919	1,563	1,258	1,245	1,236
Investing cash flow	**-2,845**	**-4,518**	**-3,782**	**-4,000**	**-4,038**
Investment	405	-704	51	-30	-26
Increase in tangible assets	-2,909	-3,597	-3,600	-3,632	-3,673
Decrease in tangible assets	103	58	0	0	0
Other	-444	-276	-233	-338	-339
Financing cash flow	**-1,390**	**-631**	**-1,809**	**-1,778**	**-1,620**
ST financial liabilities	87	464	-26	-9	-4
Debenture/LT financial liabilities	94	209	-234	-223	-70
Equity	0	0	0	0	0
Cash dividend	-872	-578	-572	-569	-569
Other cash flow	-698	-727	-977	-977	-977
Consolidation adj and other	7	-2	2,008	2,161	2,183
Increase in cash & equivalents	**837**	**-210**	**995**	**871**	**998**
Beginning cash & equivalents	2,880	3,717	3,507	4,502	5,373
Ending cash & equivalents	3,717	3,507	4,502	5,373	6,371
NOPLAT	809	2,469	**2,076**	**2,256**	**2,367**
FCF	**2,156**	**1,345**	**977**	**856**	**801**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,850	6,869	5,432	5,785	6,252
BPS (won)	65,942	73,231	77,817	81,566	85,810
EBITDA/shr (won)	18,643	25,420	25,694	26,302	26,308
SPS (won)	103,976	112,070	108,824	110,725	112,385
DPS (won)	2,000	2,400	2,400	2,400	2,400
P/E (x)	**21.0**	**7.4**	**9.9**	**9.3**	**8.6**
P/B (x)	**0.6**	**0.7**	**0.7**	**0.7**	**0.6**
EV/EBITDA (x)	**4.1**	**3.6**	**3.5**	**3.2**	**3.1**
P/S (x)	**0.4**	**0.5**	**0.5**	**0.5**	**0.5**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.2**	**6.9**	**-2.9**	**1.7**	**1.5**
Operating profit (%YoY)	**-50.9**	**205.0**	**-15.9**	**8.7**	**4.9**
Net profit, CI (%YoY)	**-53.4**	**268.1**	**-20.9**	**6.5**	**8.1**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
Operating margin (%)	**3.1**	**8.7**	**7.6**	**8.1**	**8.4**
Net margin, CI (%)	1.8	6.1	5.0	5.2	5.6
EBITDA margin (%)	17.9	22.7	23.6	23.8	23.4
ROIC (%)	3.3	11.4	9.5	10.6	11.4
ROA (%)	1.1	4.1	3.2	3.3	3.5
ROE (%)	**2.9**	**10.2**	**7.6**	**7.7**	**7.9**
Debt-to-equity (%)	132.7	120.7	112.5	105.7	100.0
Net debt-to-equity (%)	46.8	46.4	37.6	30.2	23.4
OP/financing cost (x)	2.2	6.7	5.3	5.5	5.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

LG U+ (032640 KS)

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

Light on assets, high on growth

Mid- to long-term AIDC high-growth story strengthens

LG U+ presented a target to expand its AIDC capacity from the current 165MW to 400MW (IT load) by 2030. Of this, 128MW will be built internally through the Paju AIDC, while the rest will be secured via lease and DBO methods. It is understood that a significant portion of the capacity has been pre-leased prior to completion, limiting utilization risk. Following a consignment operation contract for the Gasan data center with Koramco Asset Management in February, the company signed an MOU in June regarding cooperation in data center investment, development, and operations, kicking off its DBO business expansion. This is a typical asset-light structure, under which LG U+ operates AIDCs developed by Koramco, securing operational revenue without needing to raise external capital. We expect strong AIDC growth in the mid- to long term on increased colocation demand and DBO expansion.

Maintain BUY and target price of W21,000

LG U+ recently announced a semi-annual dividend and share buyback, reaffirming its commitment to enhancing shareholder returns. The semi-annual DPS was raised to W270 (+8.0% YoY), lifting expectations for a higher year-end dividend as well. The company also decided to repurchase W90bn worth of shares, W10bn more than in 2025.

We note that LG U+ is simultaneously expanding shareholder returns and investing for growth. While stronger shareholder returns should provide downside support for the share price, rapid AIDC growth is expected to translate into earnings and serve as a catalyst for a valuation re-rating.

BUY (M)

Target price	W21,000 (M)
Previous target price	W21,000
Current price (Sep 01)	W15,220
Upside potential	38%

Market cap (Wbn)	6,460
Shares outstanding	424,427,732
Avg daily T/O (2M, Wbn)	16
Avg daily volume (2M, shrs)	1,102,327
52-week high/low (won)	17,810 / 13,900
Foreign ownership (%)	41.48%
Dividend yield (%)	4.48%
Major shareholders	LG Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	3.0	(7.3)	5.4
Relative	(0.6)	19.2	(51.5)
Abs (US$)	7.0	1.7	7.2

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	4,024	0.3	8.9	3,931	2.4
OP	304	88.3	-11.6	300	1.4
Pre-tax net profit	231	120.2	-26.8	248	-6.9
Net profit, CI	180	262.3	-18.0	190	-5.2
OPM (%)	7.6	+3.6 %pt	-1.7 %pt	7.6	0
NPM (%)	4.5	+3.3 %pt	-1.4 %pt	4.8	-0.3 %pt

Note: CI = controlling interest

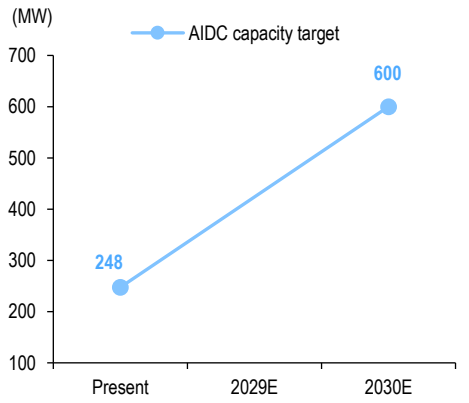
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	15,452	15,436	15,898	16,140
OP	892	1,166	1,232	1,298
Net profit, CI	524	761	791	801
P/E (x)	11.0	8.5	8.2	8.1
P/B (x)	0.6	0.7	0.7	0.6
EV/EBITDA (x)	3.4	3.2	3.0	2.9
ROE (%)	6.0	8.4	8.3	7.9

Source: Yuanta Securities

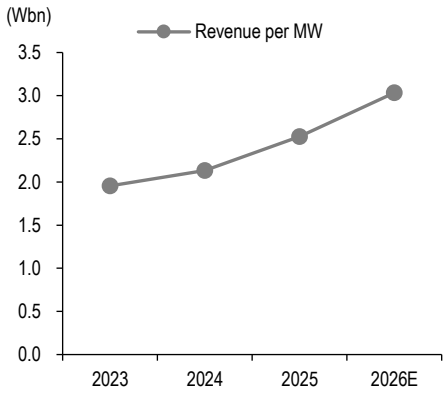
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LG U+: AIDC capacity target



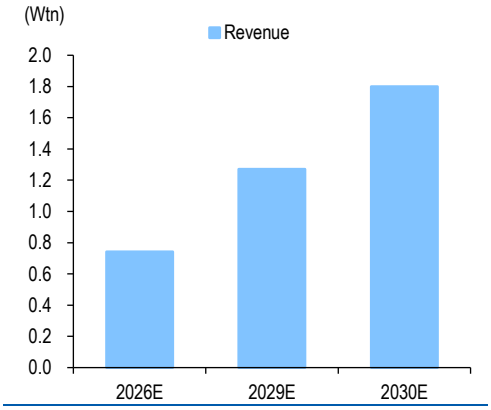
Note: our estimate based on receiving capacity
Source: company data, Yuanta Securities

LG U+: AIDC revenue per MW



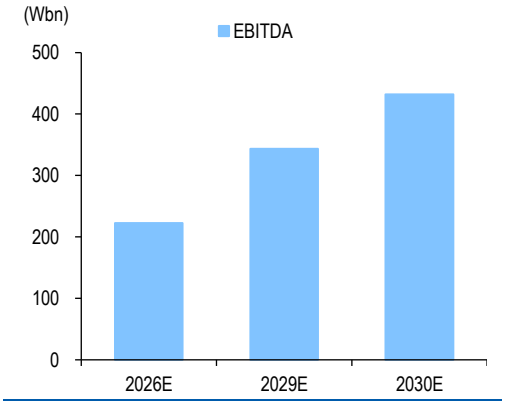
Note: our estimate
Source: company data, Yuanta Securities

LG U+: AIDC revenue forecast



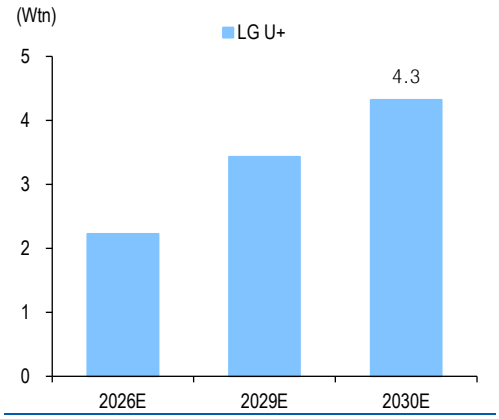
Source: company data, Yuanta Securities

LG U+: AIDC EBITDA forecast



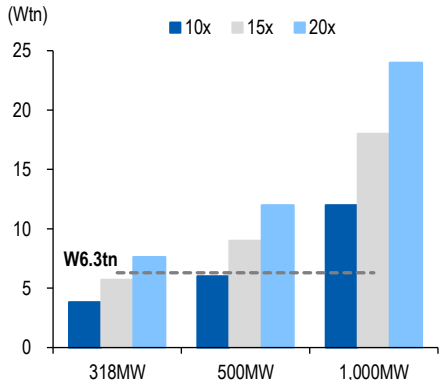
Source: company data, Yuanta Securities

LG U+: AIDC business value forecast



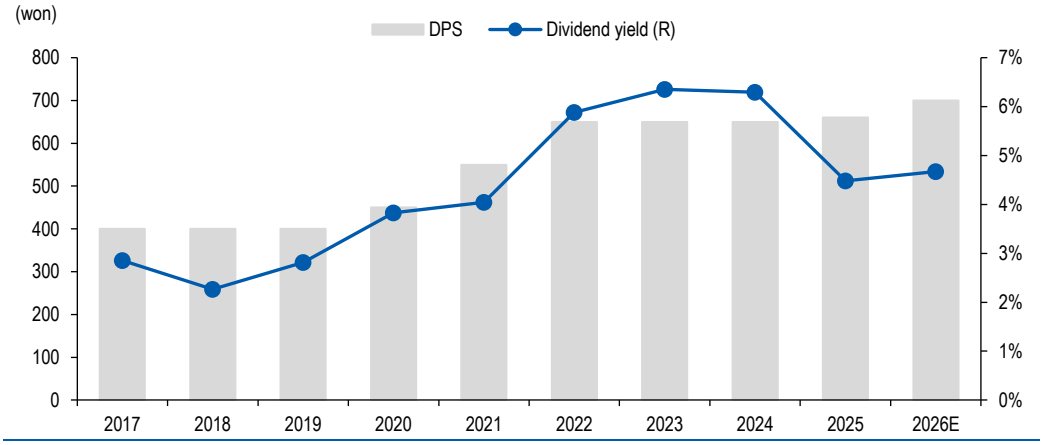
Source: company data, Yuanta Securities

SK Horizon AIDC multiple estimates by capacity



Source: company data, Yuanta Securities

LG U+: DPS and dividend yield



Source: FnGuide Quantiwise, Yuanta Securities

LG U+ (032640 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**14,625**	**15,452**	**15,436**	**15,898**	**16,140**
Cost of sales	0	0	0	0	0
Gross profit	14,625	15,452	15,436	15,898	16,140
SG&A	13,762	14,560	14,270	14,666	14,842
Operating profit	**863**	**892**	**1,166**	**1,232**	**1,298**
EBITDA	3,527	3,589	3,843	3,906	3,972
Non-operating profit	-413	-212	-162	-195	-245
Forex gains	0	-2	0	0	0
Net interest income	-201	-203	-197	-195	-145
Equity-method gains	-2	-2	109	7	-93
Other	-210	-5	-74	-7	-7
Net prof before income tax	451	680	1,004	1,037	1,053
Income tax	136	171	251	254	265
Net profit from continuing ops	315	509	753	783	788
Net profit from discontinued ops	0	0	0	0	0
Net profit	315	509	753	783	792
NP for controlling interest	**374**	**524**	**761**	**791**	**801**
Total comprehensive income	266	639	753	783	792
Total comprehensive income, CI	329	651	767	797	807

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**5,264**	**5,414**	**5,904**	**6,432**	**6,858**
Cash & cash equivalents	896	794	1,150	1,486	1,836
Accounts receivables & other	1,930	1,902	1,919	1,976	2,006
Inventory	252	210	210	216	219
Non-current assets	14,444	14,267	14,404	14,279	14,407
Tangible assets	10,709	10,625	11,199	11,203	11,713
Investment in affiliates	73	56	56	57	58
Other investment assets	262	301	301	302	302
Total assets	**19,708**	**19,682**	**20,308**	**20,712**	**21,265**
Current liabilities	5,116	4,676	4,756	4,659	4,712
Accounts payable & other	2,681	2,739	2,736	2,818	2,861
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	1,805	1,402	1,341	1,141	1,141
Non-current liabilities	5,823	5,938	6,020	6,035	6,044
LT financial liabilities	1,168	975	975	975	975
Debentures	3,322	3,493	3,543	3,543	3,543
Total liabilities	**10,939**	**10,614**	**10,776**	**10,694**	**10,756**
Equity, controlling interest	8,556	8,867	9,339	9,833	10,332
Paid-in capital	2,574	2,574	2,574	2,574	2,574
Capital surplus	872	872	872	872	872
Retained earnings	5,204	5,474	5,947	6,440	6,940
Equity, non-controlling interest	212	201	193	185	177
Total equity	**8,768**	**9,068**	**9,532**	**10,018**	**10,509**
Net debt	**6,168**	**6,104**	**5,756**	**5,222**	**4,873**
Total debt	7,183	7,044	7,052	6,858	6,861

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,335**	**2,964**	**3,076**	**3,171**	**3,309**
Net profit	315	509	753	783	792
Depreciation & amortization	2,180	2,210	2,195	2,189	2,189
Forex gains	-1	0	0	0	0
Affiliate investment gains	2	2	-109	-7	93
Increase in net working cap	-2,355	-3,155	-3,133	-3,167	-3,142
Other	3,195	3,397	3,370	3,373	3,377
Investing cash flow	**-2,391**	**-2,019**	**-1,908**	**-1,896**	**-1,911**
Investment	-33	-27	0	-2	-1
Increase in tangible assets	-1,915	-1,611	-1,883	-1,864	-1,883
Decrease in tangible assets	19	15	0	0	0
Other	-462	-396	-25	-30	-28
Financing cash flow	**-611**	**-1,045**	**-968**	**-1,178**	**-985**
ST financial liabilities	-122	-2	0	6	3
Debenture/LT financial liabilities	-84	-136	8	-200	0
Equity	35	0	0	0	0
Cash dividend	-284	-279	-289	-297	-301
Other cash flow	-155	-627	-687	-687	-687
Consolidation adj and other	3	-1	155	239	-62
Increase in cash & equivalents	**337**	**-102**	**356**	**336**	**350**
Beginning cash & equivalents	560	896	794	1,150	1,486
Ending cash & equivalents	896	794	1,150	1,486	1,836
NOPLAT	863	892	**1,166**	**1,232**	**1,298**
FCF	**1,420**	**1,352**	**1,193**	**1,307**	**1,427**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	858	1,208	1,784	1,864	1,886
BPS (won)	19,906	20,826	22,004	23,167	24,343
EBITDA/shr (won)	8,078	8,273	9,012	9,203	9,359
SPS (won)	33,497	35,616	36,199	37,457	38,028
DPS (won)	650	660	700	710	720
P/E (x)	**11.7**	**11.0**	**8.5**	**8.2**	**8.1**
P/B (x)	**0.5**	**0.6**	**0.7**	**0.7**	**0.6**
EV/EBITDA (x)	**3.1**	**3.4**	**3.2**	**3.0**	**2.9**
P/S (x)	**0.3**	**0.4**	**0.4**	**0.4**	**0.4**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**1.8**	**5.7**	**-0.1**	**3.0**	**1.5**
Operating profit (%YoY)	**-13.5**	**3.4**	**30.7**	**5.7**	**5.4**
Net profit, CI (%YoY)	**-39.9**	**39.9**	**45.2**	**4.0**	**1.2**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
Operating margin (%)	**5.9**	**5.8**	**7.6**	**7.8**	**8.0**
Net margin, CI (%)	2.6	3.4	4.9	5.0	5.0
EBITDA margin (%)	24.1	23.2	24.9	24.6	24.6
ROIC (%)	4.3	4.9	6.2	6.4	6.6
ROA (%)	1.9	2.7	3.8	3.9	3.8
ROE (%)	**4.4**	**6.0**	**8.4**	**8.3**	**7.9**
Debt-to-equity (%)	124.8	117.1	113.1	106.8	102.4
Net debt-to-equity (%)	72.1	68.8	61.6	53.1	47.2
OP/financing cost (x)	3.1	3.4	4.4	4.7	5.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

Part V. Saving the best for last

1. AIDCs (AI Data Center), Add In Data Control

Domestic plans for AI data centers (AIDCs) are drawing considerable attention. On Jun 29, 2026, **SK Group announced plans to build a total of 15GW of AIDC capacity** in response to AI industry expansion. Led by SK Telecom, the project represents a medium- to long-term strategy to secure AI infrastructure amid rising global demand for AI model training and inference. Under the roadmap, SK plans to bring 5GW of AIDC capacity online in phases beginning in 2029, expanding to 15GW by 2035 in line with market demand.

AIDCs differ from conventional general-purpose data centers in their requirements for higher power density and high-performance network infrastructure. Thousands of GPUs operate simultaneously during the training and inference of large-scale AI models, causing **inter-GPU data traffic** to surge. As a result, **it is not enough to simply add servers; AI switches, high-speed Ethernet, and optical communications infrastructure are also essential.** SK Group's 15GW AIDC development is therefore likely to create a long-term infrastructure investment cycle extending beyond power and GPU servers to stimulate demand for high-speed network equipment and optical communications of 800G and above.

Given Korea's currently planned AIDC capacity and the nature of demand, we expect investors to turn their attention to telecom network equipment in 2027. In particular, the enactment of Korea's special AIDC Act warrants attention, as it will establish an institutional foundation for accelerating investment in domestic AI infrastructure. The government plans to work with SK, GS, NAVER, and others, to build 8.4GW of AIDC capacity nationwide by 2029, followed by a further 10GW expansion of SK's data center capacity by 2035, bringing total capacity to 18.4GW. This runs counter to the global trend of tighter restrictions on data center construction. While large-scale AI factories dedicated to GPU-based training will expand mainly in non-metropolitan regions, where power is more readily available, **investment in inference-oriented AIDCs in the Seoul metro area is also expected to continue as AI services become more widely commercialized.**

As next-generation GPUs are introduced and memory architectures evolve, **we expect a virtuous cycle of more GPUs → more AI switch ports → greater adoption of 400G/800G and faster optical transceivers.** This should provide medium- to long-term growth opportunities, particularly for optical communications component suppliers.

The permitting challenges facing domestic AIDC construction may create the misconception that network investment in Korea will proceed more slowly than overseas. However, this is a superficial assessment that overlooks the nature of domestic AIDC demand. **More important than sheer capacity is the performance of the computing infrastructure within AIDCs.**

The performance requirements of AIDC computing infrastructure are determined by the nature of demand. Demand for AI models in Korea will increasingly center on inference rather than training, and this transition is expected to accelerate. In particular, with demand centered on the Seoul metro area, minimizing latency caused by physical-distance constraints will be essential. We expect inference demand to reach the commercialization stage in 2028-2029. Indeed, **AIDC investment, previously dispersed across non-metro regions, is now moving into the Seoul metro area.**

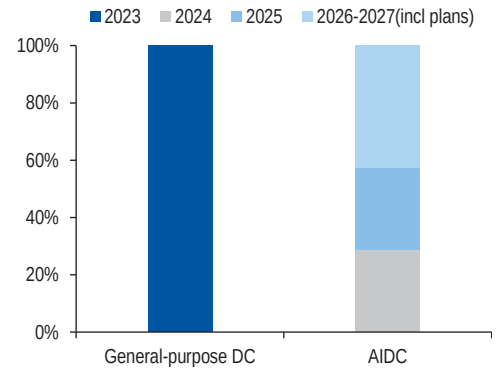
As discussed above, Korea's data center industry is being reshaped by the increasing concentration of AIDC investment in the Seoul metro area. Six AIDC projects are planned for 2026-2027, the highest number since 2023. Data compiled through July this year also shows that the number of new AIDC developments has surpassed the number of conversions from existing buildings.

Construction or expansion of general-purpose data centers and AIDCs by Korea's three telcos

Construction starts	Operator	Location / facility	Type	New / expansion	Capacity (MW)	Operations	Status
2023	LG U+	Pyeongchon 2	General-purpose DC	New	Approx. 40	Jan 2023	Operational
2023	Digital Edge	Seoul SEL2	General-purpose DC	New	36 in Phase 1 / 100 campus-wide	2024	Operational
2023	Equinix	Seoul SL4	General-purpose DC	New	Undisclosed	2024	Operational
2024	SK Telecom	Gasan	AIDC	AI conversion	Undisclosed	2H24	Operational
2024	KT	Mokdong	AIDC	AI conversion	Undisclosed	2024	Operational
2024	KT	Goyang	AIDC	AI conversion	Undisclosed	2024	Operational
2024	LG U+	Pyeongchon	AIDC	AI upgrade	Approx. 165	Phased operations	Operational
2025	KT	Yecheon	AIDC	AI conversion	Undisclosed	Jun 2025	Operational
2025	KT	Gasan	AIDC	AI conversion	Undisclosed	Nov 2025	Operational
2025	SKT + AWS	Ulsan	AIDC	New	100 in Phase 1 → 1GW long term	2029 (Phase 1)	Under construction
2025	LG U+	Paju	AIDC	New	200	2027	Under construction
2026	SKT	Guro	AIDC	New	Undisclosed	Undisclosed	Planned
2026	Digital Edge	Ansan	General-purpose DC	New	60	2028E	Planned

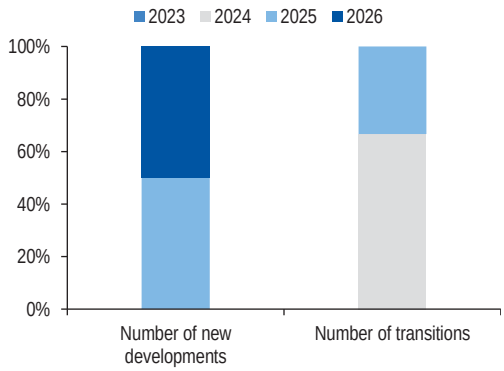
Source: company data, Yuanta Securities

Annual breakdown of general-purpose DC and AIDC projects in Korea



Note: Based on publicly disclosed projects, including new developments and expansions. Phased expansions of same development are counted as single project.
Source: Yuanta Securities

Annual breakdown of new AIDC developments and conversions in Korea



Source: Yuanta Securities

The key reasons to focus on the prospective scale of AIDC investment in Korea are: 1) the growing need for sovereign AI; and 2) the need to reduce latency as inference demand expands primarily in the Seoul metro area. To secure the ability to operate proprietary AI models, countries are likely to continue investing in GPU clusters, data centers, and high-speed network infrastructure. Over the long term, this is expected to drive demand for AIDCs and high-speed optical communications infrastructure of 800G and above.

Citing national security concerns, **the US government imposed export controls on Anthropic's latest AI models, Claude Fable 5 and Claude Mythos 5, on Jun 12, 2026.** This marked **the first case in which access to completed AI models themselves was restricted**, demonstrating that AI regulation is expanding beyond hardware into software and models. Although the measures were not maintained for long, with export controls lifted and services gradually resumed on June 30, 2026, the episode suggests that **the US government is increasingly likely to treat frontier AI models themselves as strategic assets.**

Another notable development is **the geographical expansion of AIDC investment from the US to Asia.** AIDC investment in Asia was previously concentrated in Japan, Singapore, and Malaysia. **Its focus**, however, **is shifting toward locations capable of ensuring the stable operation of large-scale GPU clusters and easy access to data traffic.** Korea, which meets both requirements, has consequently emerged as a new location for AIDCs.

As shown below, **Korea's enterprise AI adoption rate has surged by 39%p YoY (as of end-May 2026). Combined with Korea's manufacturing base, the country is not just a geographically stable location for global CSPs, but both a testbed and a greenfield opportunity.**

AIDC investment in Asian markets by global CSPs

Country	Major investors	Announced investment
Singapore	AWS	$9bn
Malaysia	Oracle, AWS, Microsoft, Google	About $16.9bn
Thailand	AWS, Google, Microsoft	At least $7bn
Indonesia	Microsoft	$1.7bn
Taiwan	AWS	At least $5bn
Korea	AWS + SK Telecom	Ulsan AI Campus: 103MW → 1GW

Source: Media reports, Yuanta Securities

The strength of domestic inference demand can be gauged from enterprise AI adoption rates. According to a Samsung SDS survey, the generative AI adoption rate among Korean firms had risen to 76% as of end-May 2026. Including companies planning to introduce the technology, more than 85% of Korean companies are expected to use generative AI by end-2026.

The Seoul metropolitan area accounts for 75-80% of enterprise AI inference demand, while non-metropolitan regions (primarily manufacturing centers) account for approximately 20-25%.

Enterprise AI adoption rate in Korea

Year	Enterprise AI adoption rate	Key characteristic
2018	2.8%	Initial stage of AI adoption
2023	6.4%	Limited use, primarily in manufacturing and finance
2024	30.6-32.9%	Full-scale adoption of AI technologies and services
2025	About 37%	Broader application of AI across industrial operations
2026E	76%	Widespread use of generative AI in business operations

Source: Ministry of Trade, Industry and Energy, Samsung SDS, Yuanta Securities

AIDC capacity in the Seoul metropolitan and non-metropolitan regions

Year	Seoul metropolitan area (MW)	Non-metropolitan regions (MW)
2023	About 360	0
2024	About 240	40
2025	About 115	150
Cumulative, 2023–2025	**715**	**190**

Source: Media reports, Yuanta Securities

Planned private-sector data centers in Seoul metro area

No.	Operator	Data center	Location	capacity (MW)	Scheduled completion
1	Daou Data	Jukjeon Center	Yongin, Gyeonggi	26	2026
2	Pacific Pachi PFV	Bucheon Persi Data Center	Bucheon, Gyeonggi	48	2026
3	IGIS Asset Management	Goyang IGIS Data Center	Goyang, Gyeonggi	25	2026
4	Koramco Asset Management	Ansan Sihwa National Industrial Complex Data Center	Ansan, Gyeonggi	25	2026
5	Inmark Asset Management	Inmark Uijeongbu Data Center	Uijeongbu, Gyeonggi	18	2026
6	Magna PFV (GS E&C)	Goyang Deogi-dong Data Center	Goyang, Gyeonggi	12	2026
7	Koscom	Anyang Center	Anyang, Gyeonggi	8	2026
8	AWS	AWS Data Center, Gajwa-dong	Seo-gu, Incheon	650	2026
9	Digital Realty	Digital Realty Gimpo	Gimpo, Gyeonggi	64	2027
10	Weberg Pangea–Widecreek Asset Management JV	Yongin Deokseong-ri Data Center	Yongin, Gyeonggi	56	2027
11	ESR–STT GDC	Bupyeong ESR Data Center	Bupyeong-gu, Incheon	48	2027
12	Shinyoung Group	Ansan Global Meta Data Center	Ansan, Gyeonggi	40	2027
13	IGIS Asset Management	Ansan Choji-dong Data Center	Ansan, Gyeonggi	26	2027
14	FCO Digital	Ansan Hanyang IT Square Data Center	Ansan, Gyeonggi	65	2028
15	Korea Alternative Investment Asset Management	GAM Square Ansan Data Center	Ansan, Gyeonggi	52	2028
16	Capstone Asset Management	Gaebong-dong Data Center	Guro-gu, Seoul	20	2028
17	SC Capital	Bucheon Chunui-dong Data Center	Bucheon, Gyeonggi	25	2029
18	Korea Investment Real Asset Management	Hanam Pungsan Data Center	Hanam, Gyeonggi	13	2029
19	Koramco Asset Management	K-Square Data Center Hanam	Hanam, Gyeonggi	66	2030
20	Pacific Asset Management	Guro Hang-dong Data Center	Guro, Seoul	52	2030
21	Pacific Asset Management	Bucheon Nae-dong Data Center	Bucheon, Gyeonggi	66	2031

Source: Korea Data Center Council, Yuanta Securities

In particular, we focus on colocation within the domestic AIDC industry.

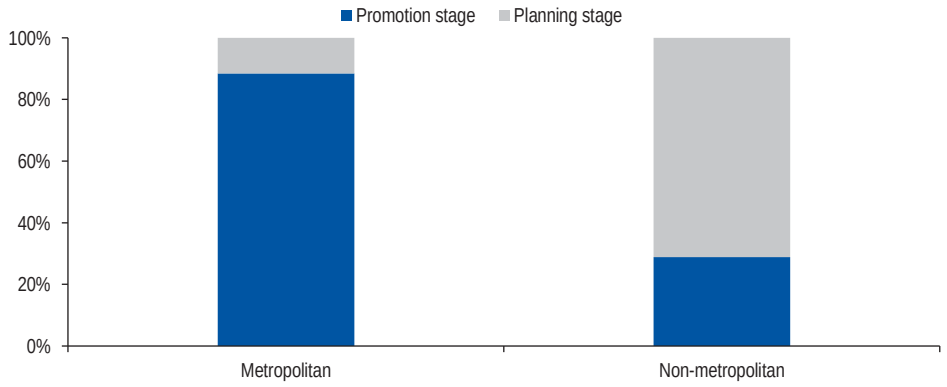
The profitability and potential sale value of a data-center asset can vary depending on whether it can accommodate the server specs demanded by tenants, requires additional capex, and who bears the associated costs—the landlord or tenant.

The global market tends to favor a core-and-shell structure, where only the basic structure and core facilities are provided while tenants build the detailed IT infrastructure themselves, or a triple-net-lease structure, under which tenants bear operating expenses. **However, the domestic market commonly provides fully-fitted structures delivered with major infrastructure including power and cooling. As such, landlords can bear the brunt of depreciation and capex burdens stemming from technological changes.**

As the colocation market expands, benefits are expected in the telecom equipment sector. A growing colocation market **means not just more data center buildings, but a concurrent rise in demand for high-performance network infrastructure for rack-to-rack and server-to-server connections.** Moreover, existing colocation facilities are well positioned to capitalize on surging demand, as capacity can typically be made available to new tenants within one to six months, compared with the three-five years needed to develop a new data center from site acquisition to service launch.

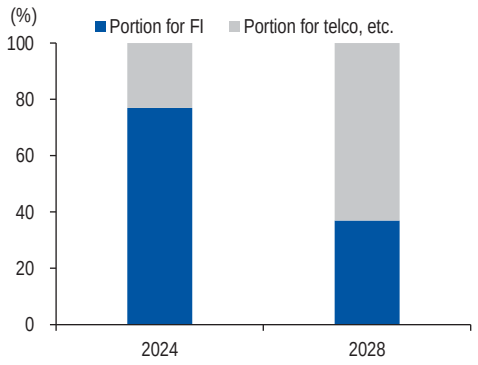
If GPU shipments are the key AI investment indicator in the US, **domestic AIDC (for colocation) groundbreaking, expansions, and move-in contracts will likely become the direct leading indicators in Korea.** This because once a colocation contract is finalized, orders are generally placed not only for GPUs but also optical modules, optical cables, switches, and MPO connectors.

Private data center build stages by region



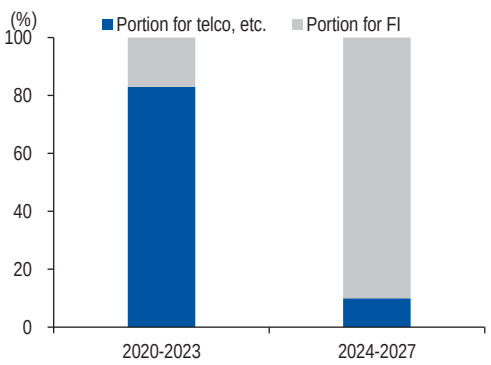
Source: Korea Data Center Council, Yuanta Securities

Estimates by cumulative investor



Source: Savills, Yuanta Securities

Estimates by investor by period



Source: Savills, Yuanta Securities

Comparison of lead times: direct AIDC build vs colocation service launch

	Direct build	Colocation
Site acquisition	6-12 months	None
Permits	6-18 months	None
Construction	18-30 months	None
Power intake	12-24 months	Complete
Cooling build	6-12 months	Complete
Network build	3-6 months	Complete
GPU installation	2-6 months	1-2 months
Service launch	**About 3-5 years**	**About 1-6 months**

Source: Yuanta Securities

Rack power density could rise from the existing 5kW level to 40-50kW as demand for AI servers grows, and **average power density is expected to rise above 50kW as the industry transitions to the Rubin and Feynman generations over 2026-2028.**

This is a critical shift for both data center investors and tenants. **For tenants, they must secure infrastructure with power and cooling equipment that is capable of stably operating high-performance GPUs.** For investors, **whether lease competitiveness and stable cash flow can be maintained** amid rapid GPU advancements and AI infrastructure changes are **emerging as a key investment decision factor.**

In fact, data center design standards are rising as neo-clouds like CoreWeave demand massive power, high-density racks, and advanced cooling solutions. **Ultimately, the ability to actually house the latest GPUs within a given power capacity now dictates which data centers tenants choose and how those assets are valued by the market.** Data centers preemptively equipped with the infrastructure and operating structure able to accommodate high-density GPUs will be better positioned to attract new tenants and secure contract renewals.

Crucially, **if the distance between the end user and AIDC increases, the allowable data transfer latency between server and GPU cannot be met.** In general, AIDCs are better positioned to provide low-latency service within a 300-500km radius. Beyond this, latency increases due to optical transmission delays and increased network hops, raising the risk of performance degradation in real-time AI inference service. This is **why AIDC investment in the Seoul metro areas is important.**

In addition, AI workloads move massive datasets from storage to GPU clusters, repeatedly saving training results and checkpoints. **In other words, "continuous" and "high-bandwidth" transmission is needed,** which dictates data transfer "speed." **In fact, SKT's Gasan AIDC features 44kW power density per rack, a high-density environment about nine times higher than the domestic average.**

As GPUs transition from H100 to B200 and GB200, investments in switches, NICs, optical transceivers, and optical cables are expected to rise.

Furthermore, **minimizing latency is critical for real-time AI services,** which will require high-density GPU racks in AIDCs located in the Seoul metro area. We expect demand for AI switches and 400G, and even for 800G optical transceivers to expand, driven by the shift toward high-power GPU racks.

In environments where thousands of GPUs exchange data simultaneously, network delays, packet loss, and congestion control failures can immediately lead to GPU idle time and wasted costs. As inference gains prominence, **the focus will sharply shift from mere GPU inventory to internal network design capabilities that keep GPUs continuously utilized.**

Here, east-west traffic capable of stably processing inference workloads becomes a key competitive advantage. **From a supplier's perspective, data movement is the key variable that reshapes the cloud cost structure.**

Telecom network equipment and usage

Equipment	Usage
AI Ethernet switch (Spine/Leaf)	Core equipment processing traffic between GPUs
NIC (ConnectX, etc.)	Connects GPU server to networks; supports RDMA
Optical module (800G·1.6T)	Ultra-high-speed optical transmission between switches
DCI equipment	Connects multiple AIDCs
Router	External network connection
Firewall	Security
Load balancer	Distributes AI API requests

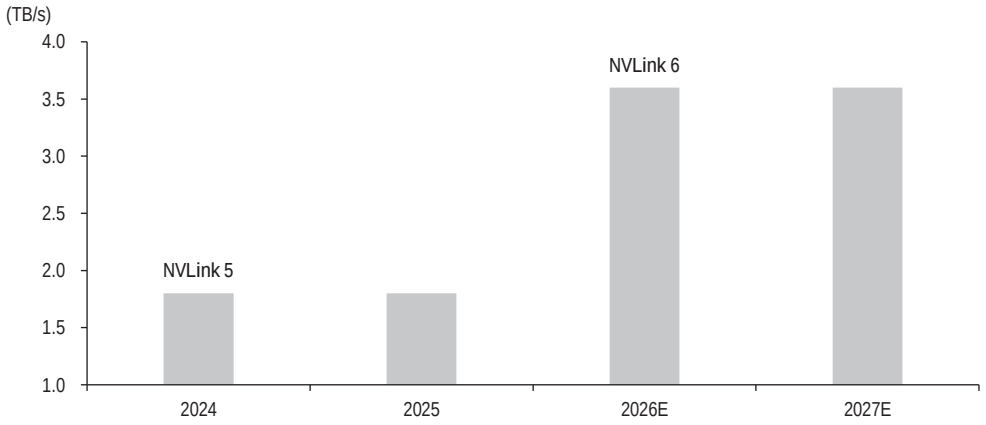
Source: Yuanta Securities

GPU spec, NVSwitch type, NVLink type, bandwidth, and speed per lane by year

Year	GPU	NVSwitch gen	NVLink gen	NVLink bandwidth per GPU (bidirectional)	Lane speed (PAM4)	Switch Fabric
2020	A100 (Ampere)	NVSwitch Gen1	NVLink 3	600 GB/s	50 Gbps/lane	12 GPU
2022	H100 (Hopper)	NVSwitch Gen3	NVLink 4	900 GB/s	100 Gbps/lane	256 GPU
2024	B200 / GB200	NVSwitch Gen4	NVLink 5	1.8 TB/s	200 Gbps/lane	576 GPU
2025	B300	NVSwitch Gen4	NVLink 5	1.8 TB/s	200 Gbps/lane	576 GPU
2026	Rubin	NVSwitch Gen5	NVLink 6	3.6 TB/s	400 Gbps/lane	576 GPU
2027	Rubin Ultra	NVSwitch Gen5	NVLink 6	3.6 TB/s	400 Gbps/lane	576 GPU
2028E	Feynman	NVSwitch Gen6 (expected)	Optical NVLink	7.2 TB/s (expected)	800 Gbps/lane (예상)	1,000+ GPU (expected)

Source: NVIDIA GTC 2024/2025 Keynote, Blackwell Architecture Whitepaper, Rubin/Feynman Roadmap, Yuanta Securities

NVLink bandwidth comparison



Source: NVIDIA GTC 2024/2025 Keynote, Blackwell Architecture Whitepaper, Rubin/Feynman Roadmap, Yuanta Securities

Part VI. Entering network expansion phase

1. Expansion of optical transceiver applications inevitable

Optical transceivers are components mounted in server switches that can convert: 1) electrical signals into optical signals for transmission; and 2) optical signals back into electrical signals for reception. AIDCs are fast becoming a major demand driver for photodetector devices that handle the optical-to-electrical conversion.

As inference demand expands, GPU clusters are expected to adopt a spine-leaf (spine: copper/server; leaf: CPO-NVSwitch) hierarchical structure to maximize bandwidth. Here, **optical transceivers are essentially embedded in every connection between switches.** In other words, growth in optical transceiver volume (Q) **is a function of the increase in the number of switches and servers.**

It is necessary to note the increase in bandwidth in tandem with higher memory capacity. Bandwidth is determined by data rate per lane (speed) multiplied by the number of lanes. A lane is the physical channel through which signals travel.

There are two main ways to increase data rate per lane. First, using “PAM4,” the standard AIDC modulation scheme, increases the bit rate while fixing the signaling frequency. Figuratively, this is like keeping the number of lanes the same but having one vehicle carry more passengers. Second, bandwidth can be increased by raising the data rate per lane via high-spec components (laser, DSP, etc.) within the optical module. Besides these, the number of lanes (physical path for data transmission) itself must increase, but physical constraints limit the extent to which lane counts can be increased.

Rising inference demand: increasing importance of backend among network infrastructure

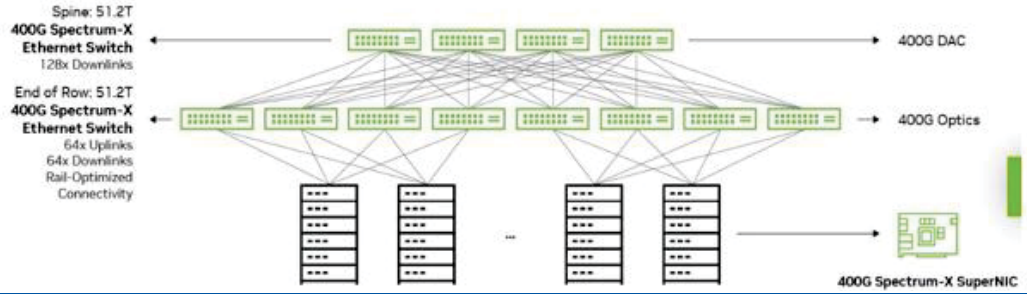


Source: Fibermall, Yuanta Securities

Furthermore, the spread of open-weight models will likely act as a catalyst for hardware demand, directly benefitting the optical communication value chain. Unlike closed models, where millions of users share one centralized HBM pool, open-weight models are downloaded and self-hosted across thousands of individual enterprises, clouds, and sovereign endpoints. As AI inference infrastructure expands from centralized to distributed models, each data center will see increased mounting of memory and storage sockets, necessitating a proportional increase in optical communication components.

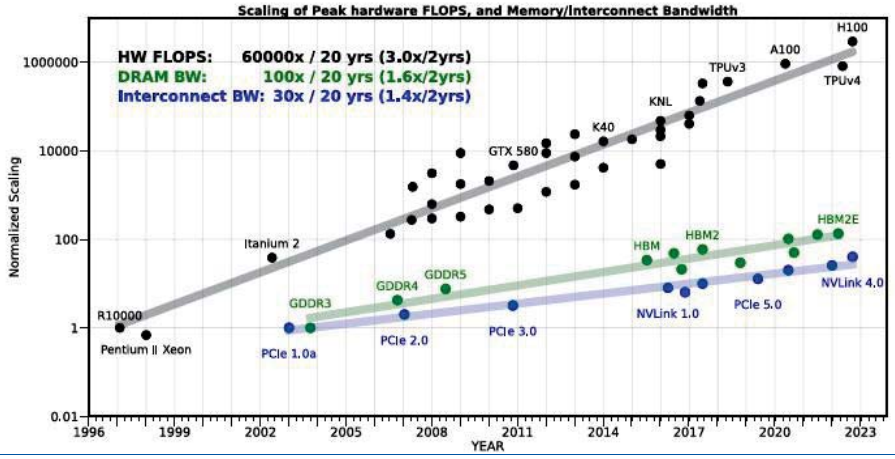
Typical spectrum-X Ethernet network topology

Figure 5. Typical Spectrum-X Ethernet Network Topology



Source: NVIDIA, Yuanta Securities

Focus on severity of network infrastructure bottlenecks



Source: NVIDIA, Yuanta Securities

Details on optical interface

	DAC	AEC	Optical
Transmission method	Copper	Copper	Fiber
Signal	Electrical	Electrical	Optical
Distance	1-3m	5-7m	100m-2km
Power	Very low	Low	High
Cost	Very low	Medium	High
Speed expansion	Limited	Limited	Very high

Source: Yuanta Securities

2. From expectations to reality: time to respond to Korea's changing AIDC landscape

Observing the data center industry, we are already fully aware of the importance of AI infrastructure competitiveness, and have heavily focused on the US given the sheer size of its market. **At a time when Korea's optical communication value chain is gaining increasing exposure to the US market, the simultaneous increase in exposure to the domestic AIDC market, likely to materialize from 2027, should act as a trigger for valuation rerating.**

Beyond GPU performance, what metrics can be used to assess AI infrastructure competitiveness? The variables determining competitiveness in the AI infrastructure market are: **1) lowest token cost; and 2) highest performance per watt**. SKT decided to purse full-stack AI cloud cooperation utilizing NVIDIA's DSX platform (Jun 8, 2026). Cooperation in this case refers to "full-stack AI cloud" cooperation encompassing everything from chips to data center operation based on NVIIDA's **"DSX platform." "Full-stack" capabilities are essential to the implementation of an "AI factory."** Korea's first AI factory is scheduled to begin operating in 2027. This development represents more than simply another example of "cooperation", but should instead be viewed as representing a **realignment in the structure of Korea's AIDC industry.**

In particular, **we expect scale-out architectures to become more widespread in domestic AIDCs**. This makes the **"DSX platform" far more important than the DGX platform.** According to SKT's announcement in June, it is building an AI factory using the DSX platform. The DSX Reference Design includes not only compute, but also networking, storage, power, cooling, and facility infrastructure.

Differences between DSX and DGX platforms

	DGX	DSX
Target	Server	Entire AI factory
Scope	1 GPU server (or a few servers)	Entire data center
Core goal	Peak AI computation performance	Lowest token cost, peak tokens/watt
Included elements	GPU, CPU, NVLink, NVSwitch	DGX/HGX + network + storage + power + cooling + operational SW
Optimization target	Server performance	Overall AI factory efficiency

Source: NVIDIA, Yuanta Securities

Adopting the next-generation “AI factory” concept together with the goal of minimizing cost per token implies that the nature of demand, previously confined to general-purpose computing or training, has changed. In other words, **escalating AIDC investments in the Seoul metro area show that such new requirements are already being priced in.**

What is required to generate tokens continuously? As mentioned above, the goal is to produce them at the lowest possible cost per token.

Token generation time = i) GPU compute time + ii) GPU idle time + iii) inter-GPU communication time

To sum up, GPU performance alone is not enough. Amid rising inference, the necessary condition is “high bandwidth.”

i) GPU compute performance – implications of the shift from SXM to NVL

First, improving GPU compute performance requires high-performance GPUs. SKT's Ulsan AIDC, scheduled to begin operating in 2027, will use B200 and GB200 series GPUs. **The biggest change is the difference in the "FLOPS" metric.** For "TFLOPS," a key performance metric for AI training, H100 and H200 (based on SXM) deliver 1,979 TFLOPS and B200 4,500 TFLOPS.

Even more encouraging is the improvement in bandwidth. Based on memory bandwidth, B200's bandwidth increased by 138.8% compared to H100 and H200, outpacing the 127.4% increase in TFLOPS performance.

This is premised on the goal of continuously produce tokens at the lowest cost per token, and achieving this will determine the competitiveness of Korea's AIDC infrastructure.

Another important development is the shift from **the "SXM" form factor, widely used in previous GPU generations, to "NVL" rack-scale systems.**

NVL connects server racks, meaning that the **weight of importance** in the model environment has **shifted from existing computation toward "communication."** That is, the architecture reflects a shift toward the infrastructure needed to minimize cost per token, and constitutes a "necessary condition" for efficient token generation.

The decisive difference between SXM and NVL is the shift beyond the individual server toward treating the entire rack as a single computing system. As hardware that maximizes the need for scale-out communication**, this shift confirms that inference demand is increasing rapidly.**

SXM vs NVL: NVLink and expansion unit are the decisive difference

	SXM (HGX)	GB200 NVL
Expansion unit	Server	Rack
Scale-up scope	Inside server	Entire rack
Maximum NVLink domain	8 GPU (HGX standard)	72 GPU (NVL72 standard)
Goal	GPU performance maximization	AI factory build
Primary usage	Training, general inference	Ultra-large inference, AI factory

Source: NVIDIA, Yuanta Securities

As NVL connects multiple GPUs at ultra-high speeds, it **substantially increases bandwidth between GPUs. NVLink bandwidth doubles every year**: 0.9TB/s per GPU (NVLink4), 1.8TB/s (NVLink5), and 3.6TB/s (NVLink6).

From this, we can estimate the degree of bottlenecks in network infrastructure. It means that inference demand growth has finally entered the steep growth curve in Korea as well.

NVLink bandwidth and YoY inference demand

	Major GPU	NVLink (bidirectional per GPU)	YoY	Inference demand YoY (market)
2023	H100 (Hopper)	900 GB/s	-	+40-50%
2024	H200/GB200 announced	900 → 1,800 GB/s	100%	+90-120%
2025	B200/GB200 mass production	1,800 GB/s	0%	+80-100%
2026E	Rubin	3,600 GB/s	100%	+70-90%
2027E	Rubin Ultra	3,600 GB/s	0%	+60-80%
2028E	Feynman (expected)	7,200 GB/s (expected)	100%	+50-70%

Note: based on GPU generation; Rubin and Feynman based on NVIDIA's public roadmap
Source: NVIDIA, Yuanta Securities

SXM vs NVL

	H100 SXM	H100 NVL
FP64	34 TFLOPS	30 TFLOPS
FP64 Tensor Core	67 TFLOPS	60 TFLOPS
FP32	67 TFLOPS	60 TFLOPS
TF32 Tensor Core	989 TFLOPS	835 TFLOPS
BFLOAT16 Tensor Core	1,979 TFLOPS	1,671 TFLOPS
FP16 Tensor Core	1,979 TFLOPS	1,671 TFLOPS
FP8 Tensor Core	3,958 TFLOPS	3,341 TFLOPS
INT8 Tensor Core	3,958 TOPS	3,341 TOPS
GPU memory	**80GB HBM3**	**94GB HBM3**
GPU memory bandwidth	**3.35 TB/s**	**3.9 TB/s**
Decoder	7× NVDEC + 7× JPEG	7× NVDEC + 7× JPEG
Max power consumption (TDP)	Max 700W (configurable)	350-400W (configurable)
MIG	Max 7 (10GB each)	Max 7 (12GB each)
Form factor	**SXM**	**PCIe dual slot (air cooling)**
Interconnect	NVLink 900GB/sPCIe Gen5 128GB/s	NVLink 600GB/sPCIe Gen5 128GB/s
Server configuration	HGX H100(4/8GPU), DGX H100(8GPU)	1~8GPU NVIDIA Certified System
NVIDIA AI Enterprise	Add-on	Basic inclusion

Source: NVIDIA, Yuanta Securities

ii) GPU idle time

As a GPU generates a response one token at a time, it must continuously read the accumulated KV cache from HBM. At this point, **once the volume of data that needs to be moved exceeds the computation required, speed is no longer constrained by GPU performance, but by bandwidth.**

To prevent idle GPUs caused by data transfer delays, KV-cache data can be shared across racks, reducing GPU idle time. This forms part of distributed inference architecture, where KV-cache data is shared across compute resources. This is also related to **KV cache usage during the "decode" phase,** as every time a token is generated, the previously accumulated KV cache must be read.

As KV-cache data is transferred, **high-speed optical interconnects** including 400G/800G and 1.6T **are the core infrastructure that delivers this data with sufficiently high bandwidth and ultra-low latency to prevent GPUs from waiting**. As inference scales, KV cache traffic exchanged between GPUs surges, and we expect the need for 1.6T-class high-speed optical interconnects beyond 400G and 800G to expand even further to handle this.

In the AI inference era, the essential role of optical communications is not simply to increase computation speed, but to provide data on time so GPUs remain continuously utilized. As GPU performance rises, the bandwidth and latency of the supporting optical communications will likely emerge as key factors determining system performance.

Corresponds to context 64K-256K in AI agent

Context	Main bottleneck
≤8K	Compute-centric
16K-32K	HBM capacity shortage begins
64K	**KV cache occupies most of GPU memory**
128K+	CPU DRAM/SSD Offloading required
1M	Hierarchical memory (HBM→DRAM→SSD) essential

Source: NVIDIA, Yuanta Securities

Korea's AIDC industry is significant in that it has the potential to turn constraints into opportunities. While the current AIDC Special Act bill is fostering an environment that favors development outside the Seoul metro area, where power is more easily secured, it is important to recognize that the epicenter of inference demand remains the metropolitan area.

In a transitional period where the share of AIDC investments directed toward the Seoul metro area is increasing, we expect the market to enter a phase of growing data center interconnection (DCI) demand, directly connecting non-metropolitan and metropolitan DCs. Unlike global peers, Korea can accelerate this timeline. This is a transition to scale-across, going beyond the existing scale-up and scale out, which will raise expectations for accelerated growth of optical communication TAM.

Growth forecast for 800G optical module and ZR/ZR+ series

	2025	2026	2027	2028	2029	2030	CAGR
Total	1,457	1,966	2,471	2,767	2,901	3,127	16.5%
YoY	**36.3%**	**34.9%**	**25.7%**	**12.0%**	**4.8%**	**7.8%**	-
Speed							
100G	401.4%	119.1%	41.6%	26.3%	14.8%	26.3%	41.5%
400G	27.8%	-11.9%	-1.5%	-8.9%	-12.0%	-20.2%	-11.1%
800G	**9,892.0%**	**943.2%**	**70.8%**	**31.1%**	**3.9%**	**-14.9%**	**83.2%**
1,600G	-	-	-	-	**4,839.9%**	**333.6%**	**365.5%**

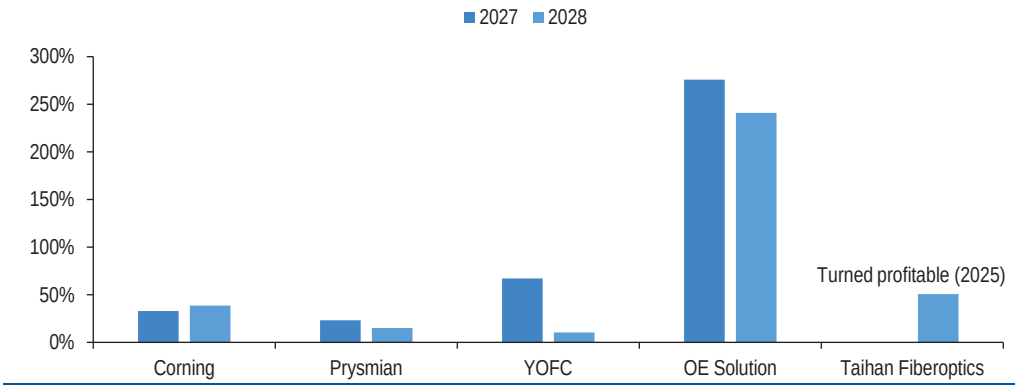
Source: Dell'Oro Group, Yuanta Securities

Overseas AIDCs: rising network traffic and demand for high-performance optical transceivers in US

Facility	Operator	Networks	Max port speed
Equinix DC1-DC15, DC21-DC22 -	EQIX	511	800G+
CoreSite - Los Angeles (LA1) One	AMT	337	800G+
Equinix CH1/CH2/CH4 - Chicago (IL)	EQIX	329	800G+
Equinix MI1 - Miami, NOTA (FL)	EQIX	328	800G+
Hurricane Electric Fremont 2 (CA)	Hurricane Electric	302	200G
Equinix SV1/SV5/SV10 - Silicon Valley, San	EQIX	282	400G
Digital Realty Seattle SEA10 (WA)	DLR	232	800G+
CoreSite - Los Angeles (LA2) (CA)	AMT	196	800G+
Digital Realty ATL13 - Atlanta (GA)	DLR	188	800G+
Equinix DA1 - Dallas (TX)	EQIX	168	800G+
Digital Realty NYC (60 Hudson) (NY)	DLR	161	800G+
1530 SWIFT - NOCIX (MO)	NOCIX, LLC	156	800G+
CoreSite - Denver (DE1) (CO)	AMT	149	800G+
Equinix LA1 - Los Angeles (CA)	EQIX	138	400G
Equinix NY2/NY4/NY5/NY6 - New York,	EQIX	131	800G+
Digital Realty NYC (111 8th Ave) (NY)	DLR	130	800G+
165 Halsey Meet-Me Room (NJ)	Tishman Real	111	800G+
Equinix DA3 - Dallas (TX)	EQIX	103	800G+

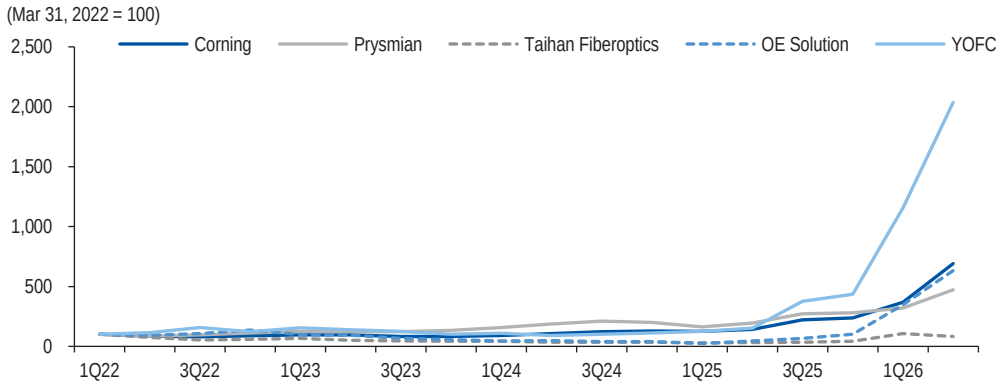
Note: as of 2026
Source: media reports, Yuanta Securities

EPS growth: Korea's 3 optical communications companies vs global peers (COHR, Prysmian, YOFC)



Source: Bloomberg, FnGuide Quantiwise, Yuanta Securities

Indexed share prices of Korea's 3 optical communications companies vs global peers: Korean companies' lagging performance gap is narrowing



Source: Bloomberg, FnGuide Quantiwise, Yuanta Securities

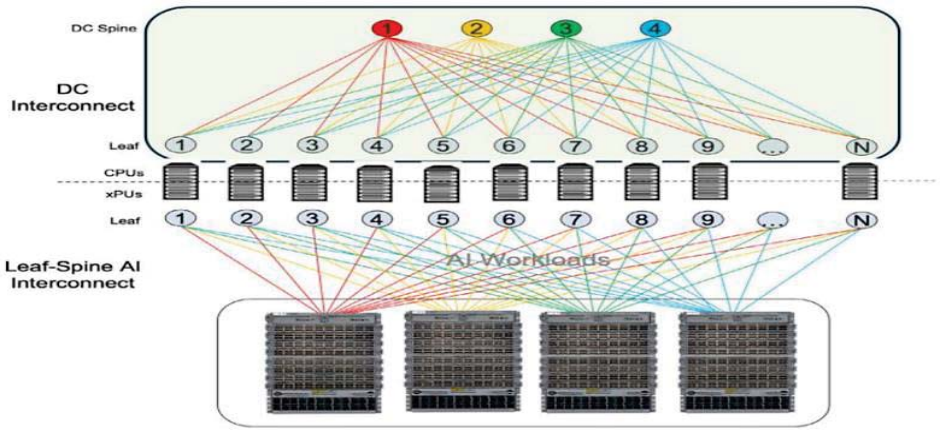
iii) Inter-GPU communication – don't focus solely on GPU shipment growth

Inter-GPU communication inherently drives up network traffic, leading to the acceleration of gradient synchronization. During gradient synchronization**,** GPUs share computed gradients to keep model parameters consistent across the cluster. Whether bottlenecks in this process can be **resolved is not determined by GPU performance.**

In conclusion, the increase in GPU shipments is important for estimating optical transceiver demand, but **the focus should be on the volume of gradient synchronization traffic generated per GPU.** In other words, the increase in XPUs, including GPUs, and the resulting surge in network connections are the core drivers of TAM expansion. **Previously,** as AI traffic volumes approached processing-capacity limits, **scale-up network architectures** connecting GPUs within a rack **became important**. **However, now, scale-out architectures that connect these scale-up bundled GPU racks to other racks with tens of thousands of other racks via Ethernet and InfiniBand are crucial.**

In other words, the number of GPUs mattered in the scale-up era, but, **in the scale-out era, the key is how quickly those GPUs can be connected.** AI workloads repeatedly execute numerous model calls, memory lookups, and external API interactions, **substantially increasing east-west traffic concentrated in the spine layer of leaf-spine networks.** As the number of inter-rack connections increases, link speeds will inevitably continue to rise to minimize GPU idle time.

AIDC server network architecture requires multiple switches



Source: Arista Networks, Yuanta Securities

One point to consider is that **EML-based optical transceivers consume more power through their DSP ICs at high temperatures**. For transmission distances of 10km or more, we believe **ZR/ZR+ optical transceivers incorporating both an electro-absorption modulated laser (EML) and a thermoelectric cooler (TEC) will offer a competitive advantage.**

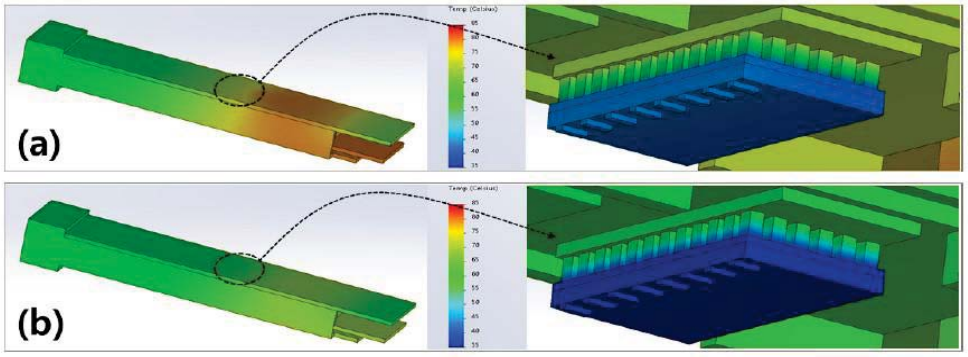
As shown in the figure (b) below, when the EML drive current is reduced to 80mA, lower TEC power consumption reduces the optical transceiver case temperature to 64°C (based on a conventional EML control temperature of 45°C, with sufficient cooling to keep the case temperature below 70-75°C).

A TEC maintains a stable laser temperature and controls EML wavelength drift caused by longer link distances when connecting data centers. Taking a mid- to long-term perspective on the optical communications industry, investors should therefore focus on TECs as well as EMLs. An EML alone cannot control temperature, making it difficult to deliver ZR/ZR+ optical transceiver performance and limiting the pace of network architecture upgrades.

Unlike EMLs, the significance of mandatory TEC integration is that TECs can go beyond addressing the physical-distance limitations that degrade signal quality. By controlling module power (approximately 20-25W for an 800G ZR+ module), TECs can help reduce the bit error rate (BER), a source of gradient synchronization risk.

Over the long term, larger AIDCs will generate more gradient synchronization traffic. Thermal management of the high-speed optical transceivers processing this traffic will consequently become more important, driving demand for optical transceivers incorporating TECs.

Comparison of TEC and EML temperature distributions

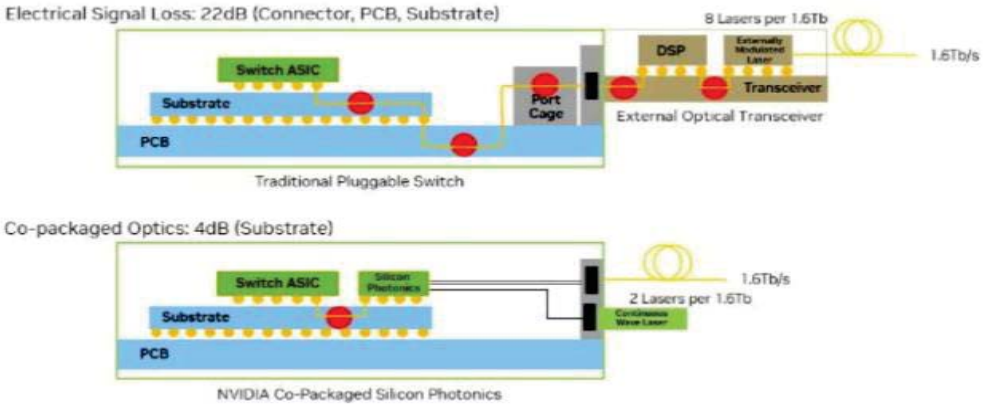


Optical transceiver case temperature distribution and TEC/EMI temperature distribution (a) condition 1, (b) condition 2

Source: Optical Society of Korea, Yuanta Securities

At the same time, TECs involve a trade-off. Because they directly increase electricity costs, the **industry will seek to reduce its reliance on TECs over the long term, highlighting the need for co-packaged optics (CPO).** CPO solutions are one of the technologies transforming the internal architecture of data center infrastructure. Silicon photonics operates at wavelengths of 1.31–1.55μm and does not require ultra-fine processes such as EUV because optical wavelengths are relatively long. In other words, **it can further improve data center operating efficiency without requiring additional depreciation-intensive leading-edge fabrication equipment. Changes in network architecture are therefore accelerating CPO adoption.**

Comparison of latency between optical transceivers and CPO



Source: NVIDIA, Yuanta Securities

The speed of optical transceivers is enabled by the PAM4 modulation method. PAM4 raises the bit rate while frequency and bandwidth remain fixed (for example, 10Gbaud bandwidth with a 20Gbps bit rate). It **improves optical fiber transmission speeds**, supporting rates ranging from 4G to more than 100G.

High-performance optical transceivers using PAM4 encoding improve data transmission by converting NRZ signals into PAM4 signals. Conventional NRZ transmits only one of two values (0 or 1) with each signal. PAM4 divides a signal into four levels, allowing it to carry twice as much information at the same frequency. **This is analogous to increasing total freight volume by improving the carrying efficiency of vehicles without widening the road.**

However, PAM4 has two limitations. First, as inference demand surges, even minor signal fluctuations can raise the BER and distort the signal. Second, correcting such distortion requires a DSP, which increases optical module power consumption and limits transmission distance. These constraints increase the importance of optical fiber.

As data rates per lane rise and networks advance from 400G to 800G and eventually 1.6T, the available link budget actually declines.

The rapid increase in data rates per lane used by 400G and 800G optical transceivers **reduces the link budget.** The link budget refers to the maximum signal loss an optical signal can tolerate while still reaching the receiver without errors. **Higher transmission speeds make signals more sensitive to minor distortion, shortening the distance over which they can be transmitted in a single hop.**

Just as freight must be reorganized and forwarded at intermediate hubs to arrive undamaged, optical signals must be regenerated and retransmitted at regular intervals to minimize data distortion. This is the driver of growing demand for pluggable optical transceivers. **As a transmission route is divided into a greater number of shorter links, an optical transceiver is required at each connection.**

[Link-budget formula]

Link Budget (dB)=Ptx (transmit power)−Prx (receiver sensitivity)−M(system margin)

The link budget decreases as receiver sensitivity deteriorates. This occurs **when: 1) transmission speeds increase; or 2) longer distances result in greater connector and transmission losses.**

The principle is similar to speech: when someone speaks slowly, the listener can understand despite a certain level of background noise, but when someone speaks extremely quickly, even minor distortions in pronunciation can make the message difficult to understand. In the same way, **rising speeds cause the link budget relative to distance to decline at an accelerating, nonlinear rate**. **This is why we believe CPO offers greater long-term potential than pluggable optical transceivers.**

CPO integrates the optical engine within the same package as the switch ASIC, **dramatically shortening or entirely eliminating portions of the electrical signal path.** Placing the optical engine directly beside the ASIC enables more reliable data transmission and reduces power loss.

CPO implementation can be divided into non-detachable and detachable designs. In a non-detachable design, the fiber is attached directly to the laser chip. Once connected, approximately one meter of fiber must be transported together with the device throughout the back-end process, creating a risk of fiber breakage during handling and assembly.

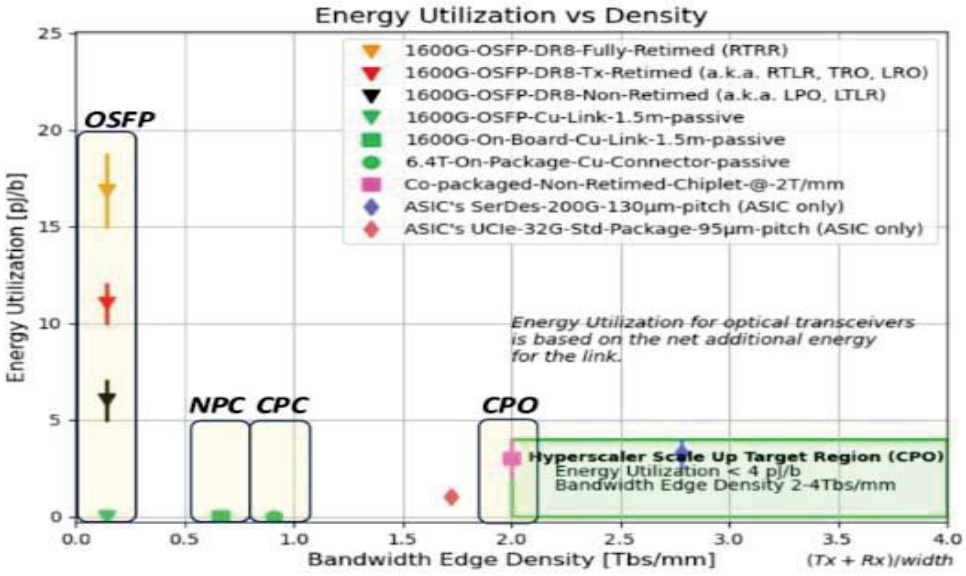
NVIDIA is transitioning to a detachable design. Instead of attaching the fiber directly to the chip, an intermediary component is first installed, and the fiber is mounted and connected only after all other processes have been completed. This design separately manufactures the receive coupler and edge coupler, improving process stability and assembly flexibility.

The detachable approach addresses the productivity and maintainability issues that have been among the greatest barriers to CPO commercialization. It **could** therefore **serve as a catalyst for earlier CPO adoption.**

In a conventional pluggable optical transceiver architecture, the long electrical signal path (from the switch ASIC through the PCB and connector to the optical transceiver) causes losses of approximately 22dB. A DSP is required to compensate for this loss. The DSP is a component of the optical transceiver, with the digital signal processor embedded into the optical module. By contrast, **CPO places the ASIC and silicon photonics engine on the same substrate, minimizing the electrical signal path and reducing losses to approximately 4dB.**

At 800G, conventional architectures incur losses of approximately 3-6dB, whereas **CPO can reduce electrical channel loss to approximately 0-1dB.** Compared with the roughly 4-6dB reduction in the available link budget caused by higher speeds, CPO recovers approximately 3-5dB, offsetting most of the incremental loss. **As switch bandwidth and data traffic increase, port density rises and pluggable optical transceivers approach their physical limits.**

Green area represents performance targeted by Big Tech; OSFP reaches its limit, while CPO simultaneously reduces power consumption and increases density



Note: x-axis represents bandwidth density and the y-axis represents power efficiency
Source: media reports, Yuanta Securities

An “AND,” not an “OR,” condition

The stock prices of leading Korean optical communications firms Taihan Fiberoptics and OE Solutions have fallen by approximately 58.3% and 54.3% from their respective peaks, undergoing a substantial valuation correction. The trigger was a SemiAnalysis report suggesting that the ramp-up of CPO mass production could be delayed until after 2029 and that copper connections and pluggable optical transceivers would retain an advantage over CPO in the near term. The market consequently concluded that expectations for CPO adoption had become excessive, leading to a valuation correction across the global optical communications value chain.

From an investor’s perspective, however, we believe these concerns are premature because they overlook improvements in the physical and software performance of chips. As AI GPU performance rises, more interfaces, including HBM and SerDes, must be placed along the chip edge.

As the “beachfront”—the limited space around the chip edge available for external connections—becomes increasingly constrained, further bandwidth expansion reaches its limits, increasing the need for CPO. **Feynman,** NVIDIA’s next-generation AI GPU architecture targeted for launch in 2028, **will require approximately twice as much beachfront as is currently available. 1) As per-lane data rates rise, signal loss through the PCB and I/O constraints become more severe, turning CPO from an option into a necessity. 2) The transition to higher-performance GPUs creates a new beachfront bottleneck that will likely accelerate CPO demand.**

The chip itself can, of course, be enlarged. Its perimeter, however, cannot increase in direct proportion to its area. **As GPU performance increases, the number of SerDes interfaces also rises, while the incremental increase in the chip perimeter falls short of what is required.** Optical interfaces, by contrast, can be packed more densely along the available beachfront.

Beachfront density

Technology	Blackwell	Rubin	Feynman
GPU architecture	Blackwell	Rubin	Feynman
CPU	Grace	Vera	Rosa
Memory	HBM3E	HBM4	Custom HBM
Packaging	2D/Chiplet	Multi-chip	3D Die Stacking
NVLink	Electrical	Electrical	Optical NVLink
CPO	Some switches	Expanded	Core technology

Source: NVIDIA, Yuanta Securities

In March, major hyperscalers and semiconductor companies, including AMD, Broadcom, and Meta, launched the OCI MSA consortium to establish an optical interconnect ecosystem. **This marked the beginning of hyperscaler-led industry cooperation and standardization** for CPO commercialization, making the consortium’s future activities worth monitoring. The agreed architecture uses low-speed, broadband non-return-to-zero (NRZ) modulation combined with wavelength-division multiplexing (WDM).

OCI Gen 1 supports four wavelengths at 50Gbps per channel, delivering 200Gbps per fiber in each direction. **The roadmap ultimately targets up to 1.6Tbps per fiber in each direction.** Meanwhile,

TSMC's AP7 EIC+PIC capacity is expected to rise to 15,000 units per month beginning in 2H27. Adoption of TSMC's COUPE (Co-Packaged Optics Platform) and shipments of NVIDIA's Spectrum-X CPO switches are also expected to ramp up in earnest. **CPO is** therefore **moving beyond a purely thematic investment concept. As prototypes advance through customer qualification, we expect the timeline for CPO to begin generating actual revenue to accelerate.**

Part VII. Investment strategy and top picks

In the mid- to long term, network traffic will likely grow faster than compute performance as agentic AI executes significantly more model calls and external data retrievals than simple query-based AI.

NVIDIA NVLink bandwidth per GPU has been doubling each generation from 0.9TB/s with Hopper to 1.8TB/s with Blackwell and 3.6TB/s with Rubin. The Rubin NVL72 is designed to provide a total intra-rack NVLink bandwidth of 260TB/s. As GPU performance scales, the network that feeds data and exchanges computation results across GPUs become increasingly critical.

They key point is **not only GPU "volumes," but also the shift toward higher-spec GPUs, from H100-class to Blackwell- and Rubin-class architectures.** CPO, which mounts optical modules adjacent to the switch ASIC, is a next-generation architecture that minimizes electric signal trace lengths to lower power consumption per bandwidth. **However, instead of an immediate, full-scale replacement of optical transceivers by CPO, CPO will likely be adopted in phases starting from large-capacity switches and hyperscale clusters.**

Therefore, **investors should focus on Taihan Fiberoptics, which is expected to supply optical cable to US AIDCs, in the near term, and OE Solutions, given its 1.6T optical transceiver and CPO external laser small form-factor pluggable (ELSFP) optical source technologies, in the mid- to long term.**

Key points to monitor **for Taihan Fiberoptics include** how quickly **North American orders translate into actual sales, while for OE Solutions, investors should track the share of revenue from data center applications, client certification of new products, and mass production timelines.** As such, rather than chasing CPO themes, we believe it is valid to increase exposure in line with confirmation regarding orders, client certifications, and the rising sales contribution from data centers.

Taihan Fiberoptics (010170 KS)

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

Breaking through the bottleneck

Not Rated (I)

Target price	- (I)
Previous target price	-
Current price (Sep 01)	W13,310
Upside potential	-

Market cap (Wbn)	2,070
Shares outstanding	155,485,660
Avg daily T/O (2M, Wbn)	148
Avg daily volume (2M, shrs)	10,875,332
52-week high/low (won)	29,100 / 1,079
Foreign ownership (%)	2.20%
Dividend yield (%)	0.00%
Major shareholders	TFO Industry & others

Stock performance

(%)	1M	3M	12M
Absolute	56.0	(35.4)	1,133.5
Relative	36.8	(17.4)	1,079.1
Abs (US$)	62.1	(29.1)	1,154.5

The prepared seize the opportunity

The transition in CPO implementation from the conventional fiber-attach method to a detachable architecture is expected to accelerate optical fiber adoption. Even with CPO, fiber remains essential for inter-rack connectivity, providing justification for a valuation premium. We highlight Taihan Fiberoptics, as **AIDCs are driving not only growth in total fiber demand but also a simultaneous shift toward higher-fiber-count cables.**

Taihan Fiberoptics is Korea's only vertically integrated manufacturer capable of producing everything from optical preforms to finished optical cables in-house. It has also internalized the production of key materials, including silicon tetrachloride and helium gas used for rapid cooling during fiber drawing. This **provides a hedge against fluctuations in optical fiber ASPs, which can result in margin swings of approximately 200-300%p.** In addition, the company manufactures core preforms using the vapor axial deposition (VAD) method, which reduces gas-deposition losses and helps stabilize yields.

Its principal product lineup includes optical fiber (G.652D and G.657) and optical ground wire (OPGW). **Optical cable is the company's key growth driver.** Optical cables can be broadly divided into: 1) general-purpose cables; and 2) ultra-high-fiber-count cables, which are used in data centers. Previously, the company's most advanced product was 288-fiber ultra-high-fiber-count cable. **In 1Q26, however, it secured its first order for 864-fiber ultra-high-fiber-count cable. As this product contains approximately three times as many fiber cores as a 288-fiber cable, we expect the product mix to shift toward high-margin products, particularly when the technological premium is factored in.**

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	66	51.7	33.9	33.9	68
OP	6	TTB	566.0	566.0	5
Pre-tax net profit	7	TTB	79.3	79.3	
Net profit, CI	7	TTB	79.3	79.3	4
OPM (%)	9.7	TTB	+7.7 %pt	+7.7 %pt	7.9
NPM (%)	10.5	TTB	+2.7 %pt	+2.7 %pt	6.5

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	139	211	252	346
OP	-21	9	17	27
Net profit, CI	-28	9	13	21
P/E (x)	-4.6	232.1	153.7	96.5
P/B (x)	2.3	23.3	14.8	12.5
EV/EBITDA (x)	-14.1	143.0	107.5	71.5
ROE (%)	-52.1	11.2	11.8	14.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Demand in the optical fiber segment is particularly strong for low-loss fiber used in long-distance transmission. The export share of OPGW is also expected to increase. While the company's revenue previously centered on OPGW and power cables, demand from the US commercial AIDC market alone is now sufficient to support growth.

The company therefore warrants attention as Korea's AIDC market begins to take off. As the number of GPUs increases, parallel connection methods such as tensor parallelism (TP) and expert parallelism (EP) are becoming increasingly important. **There are concerns that wavelength-division multiplexing (WDM), which increases transmission capacity per fiber, could slow growth in optical cable volumes.** However, WDM increases capacity by using multiple wavelengths, while **current network demand is being driven by the need to connect GPUs in parallel**.

Unless DCI expands into links spanning thousands of kilometers, the number of optical cables should actually increase in Korea's AIDC environment, where inter-GPU connectivity is particularly important. In other words, **capacity expansion through WDM and growth in the number of connections through increased fiber counts will occur simultaneously**. **This makes 864-fiber ultra-high-fiber-count cable even more important. The relevant metric** is not the number of cables sold, but **the number of fiber cores supplied.** An 864-fiber cable provides approximately three times as much fiber as a 288-fiber cable. **Optical fiber prices are therefore directly linked to the company's revenue and serve as a key barometer of its earnings**.

Domestic sales provide the push, while North America provides the pull

The most notable aspect of the company's US order performance this year is whether **orders for 864-fiber ultra-high-fiber-count cable for the hyperscaler market translate into recurring business.** The company secured its first order for a US data center in February, followed by a second order in June. **These contracts are** particularly noteworthy because they are **long-term agreements (LTAs), rather than spot transactions. Investors should therefore watch whether the company's technological capabilities and track record translate into repeat orders.**

Excluding aluminum products, US exports accounted for approximately 30% of the company's revenue last year, and the company plans to raise this to 50% this year. **As of 2Q26, the order backlog of its telecom segment exceeded W70bn for the first time since 4Q19.** Meanwhile, Korea's optical fiber cable exports, a leading indicator, rose 14.4% MoM and 72.0% YoY in Jul 2026, indicating simultaneous improvements in demand and ASPs. According to CRU, rising demand for data center optical fiber in China has prompted Chinese manufacturers to repurpose general-purpose production lines for high-performance data center products. Chinese prices have surged from around $2.50 in November last year to more than $12 currently, the **steepest increase since Sep 30, 2019**.

Taihan's telecom cable division also supplies optical cables to Korea's three mobile carriers, who accounted for approximately one-third of its 2025 revenue, **and the company has maintained the largest share of Korea's telecom cable market by volume. With Korea's AIDC industry beginning to take off and ASPs also rising, we expect the company's benefits to become increasingly pronounced.**

All regions positive, an exceptional situation

While past profits were driven primarily by the US, we have confirmed that margins are now expanding across all regions, including the US. This is proven by the backlog trends of leading global optical communication firms. **As such, the company posted 2Q26 consolidated sales of W49.1bn (+17.8% YoY) and OP of W960mn (turning to profit YoY, OPM 2.0%)**. While spot transactions accounted for a high share of annual sales until last year, contract-based orders are expected to increase this year, which raises expectations for accelerating earnings growth. **The key focus is whether the YoY turnaround can be sustained into 2H26.**

Considering the three-four month lag between production and sales recognition upon delivery for export volumes, we expect the YoY turnround to continue, with steeper YoY profit growth in 2H26. Moreover, moving beyond orders for 864-core ultra-high-fiber-count cables in the power business, this year marks the start of a meaningful increase in the contribution of exports in the telecom division. Earnings visibility has increased given the firm's product mix centered on high-ASP products and favorable optical fiber selling prices.

Therefore, **we estimate consolidated sales at W65.7bn (+51.6% YoY) and OP at W6.37bn (turning to profit YoY, OPM 9.7%) for 3Q26, and consolidated sales at W210.6bn (+51.0% YoY) and OP at W9.14bn (turning to profit YoY, OPM 4.3%) for 2026**. Although valuation corrections persist across the optical communications sector, this is simply due to mass production timeline changes in CPO, and the direction of downstream demand remains unchanged. In the mid- to long term, the US Broadband Equity, Access, and Deployment (BEAD) program presents an additional profit source. We believe now is the time to focus on the company's solid fundamentals, backed by secured earnings visibility.

Taihan Fiberoptics: earnings and forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales		**25.4**	**41.6**	**43.3**	**29.1**	**34.3**	**49.1**	**65.7**	**61.7**	**139.5**	**210.6**	**252.2**
Telecom		**14.5**	**21.1**	**30.3**	**15.6**	**17.0**	**30.8**	**44.1**	**47.2**	**81.4**	**139.0**	**165.8**
	Exports	8.9	15.6	21.8	9.8	12.1	24.6	35.3	39.4	56.1	111.4	150.7
	Domestic	5.6	5.5	8.5	5.8	4.9	6.2	8.8	7.7	25.3	27.6	15.1
Power		**10.9**	**20.6**	**13.0**	**13.6**	**17.3**	**18.3**	**21.6**	**14.5**	**58.0**	**71.6**	**86.3**
	Exports	2.8	11.5	5.7	6.5	7.0	10.0	11.4	8.9	26.5	37.2	51.1
	Domestic	8.1	9.0	7.3	7.1	10.3	8.2	10.2	5.6	31.5	34.4	35.2
By region	Exports	**11.7**	**27.1**	**27.5**	**16.3**	**19.0**	**34.6**	**46.6**	**48.3**	**82.6**	**148.6**	**201.8**
	Domestic	**13.7**	**14.5**	**15.8**	**12.9**	**15.2**	**14.4**	**19.0**	**13.4**	**56.8**	**62.0**	**50.4**
% YoY		***-22.7%***	***3.7%***	***-1.4%***	***-18.6%***	***34.9%***	***17.8%***	***51.6%***	***111.8%***	***-8.7%***	***51.0%***	***19.7%***
Telecom		***-17.6%***	***-6.0%***	***34.9%***	***-30.9%***	***17.1%***	***46.1%***	***45.4%***	***203.3%***	***-4.2%***	***70.8%***	***19.3%***
	Exports	*14.1%*	*0.4%*	*77.3%*	*-27.5%*	*35.3%*	*57.9%*	*61.6%*	*303.1%*	*14.1%*	*98.5%*	*35.3%*
	Domestic	*-43.0%*	*-20.5%*	*-16.4%*	*-35.9%*	*-11.9%*	*12.5%*	*3.9%*	*34.2%*	*-29.3%*	*9.2%*	*-45.2%*
Power		***-28.4%***	***15.9%***	***-39.5%***	***2.0%***	***58.4%***	***-11.2%***	***66.1%***	***6.8%***	***-14.4%***	***23.4%***	***20.6%***
	Exports	*-38.9%*	*95.0%*	*-33.0%*	*81.3%*	*146.5%*	*-13.0%*	*99.8%*	*37.2%*	*17.3%*	*40.5%*	*37.2%*
	Domestic	*-23.9%*	*-23.6%*	*-43.8%*	*-27.0%*	*27.6%*	*-8.8%*	*39.9%*	*-21.0%*	*-30.2%*	*9.1%*	*2.5%*
By region	*Exports*	***-5.6%***	***26.5%***	***32.2%***	***-4.8%***	***62.1%***	***27.7%***	***69.5%***	***197.3%***	***15.1%***	***79.9%***	***35.8%***
	Domestic	***-33.0%***	***-22.5%***	***-31.7%***	***-31.3%***	***11.5%***	***-0.8%***	***20.5%***	***3.8%***	***-29.8%***	***9.1%***	***-18.8%***
Sales mix (%)												
Telecom		**57.0%**	**50.6%**	**70.0%**	**53.4%**	**49.5%**	**62.7%**	**67.1%**	**76.5%**	**58.4%**	**66.0%**	**65.8%**
	Exports	35.1%	37.4%	50.4%	33.6%	35.2%	50.2%	53.7%	64.0%	40.2%	52.9%	59.8%
	Domestic	21.9%	13.1%	19.6%	19.8%	14.3%	12.6%	13.4%	12.6%	18.1%	13.1%	6.0%
Power		**43.0%**	**49.4%**	**30.0%**	**46.6%**	**50.5%**	**37.3%**	**32.9%**	**23.5%**	**41.6%**	**34.0%**	**34.2%**
	Exports	11.1%	27.7%	13.2%	22.2%	20.4%	20.4%	17.3%	14.4%	19.0%	17.7%	20.3%
	Domestic	31.9%	21.7%	16.8%	24.4%	30.1%	16.8%	15.5%	9.1%	22.6%	16.3%	14.0%
By region	Exports	**46.2%**	**65.1%**	**63.5%**	**55.8%**	**55.6%**	**70.6%**	**71.0%**	**78.3%**	**59.3%**	**70.6%**	**80.0%**
	Domestic	**53.8%**	**34.9%**	**36.4%**	**44.2%**	**44.4%**	**29.4%**	**29.0%**	**21.7%**	**40.7%**	**29.4%**	**20.0%**
OP		**-6.9**	**-2.8**	**-6.7**	**-5.0**	**-4.0**	**1.0**	**6.4**	**5.8**	**-21.4**	**9.1**	**16.6**
% YoY		***RR***	***RR***	***LW***	***LN***	***LN***	***TTB***	***TTB***	***TTB***	***LN***	***TTB***	***81.7%***
% OPM		-27.3%	-6.7%	-15.5%	-17.2%	-11.6%	2.0%	9.7%	9.4%	-15.4%	4.3%	6.6%

Note: RR = remain red, LW = loss widened, LN = loss narrowed, TTB = turn to black; Source: Yuanta Securities

Optical fiber: low loss

ANYWAVE® LL

Low Loss Single Mode Fiber (VAD Process)



Source: company data, Yuanta Securities

Optical fiber: long-distance transmission

ANYWAVE® REACH

Non-Zero Dispersion Shifted Optical Fiber (VAD Process)



Source: company data, Yuanta Securities

Relationship between bandwidth and signal loss: Taihan's optical fiber products offer transmission capacity across the 1,285-1,625nm range

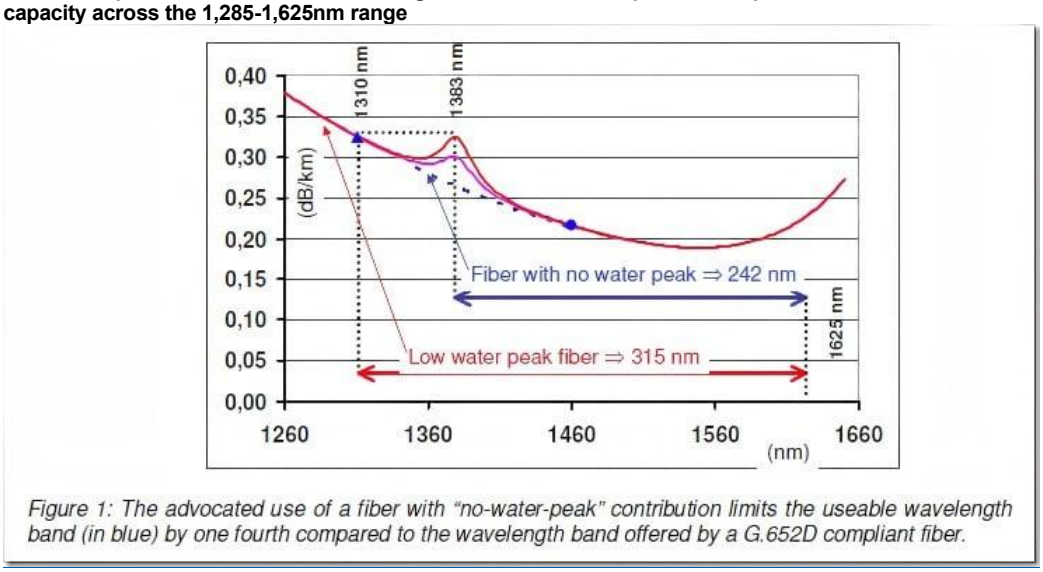
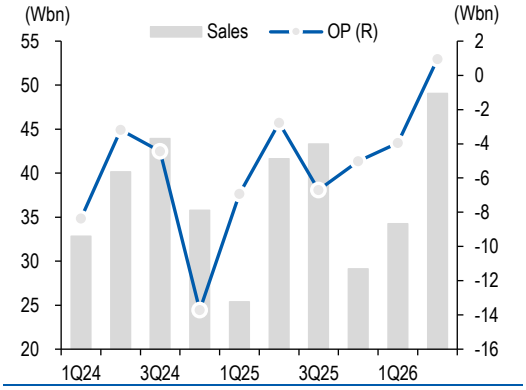


Figure 1: The advocated use of a fiber with "no-water-peak" contribution limits the useable wavelength band (in blue) by one fourth compared to the wavelength band offered by a G.652D compliant fiber.

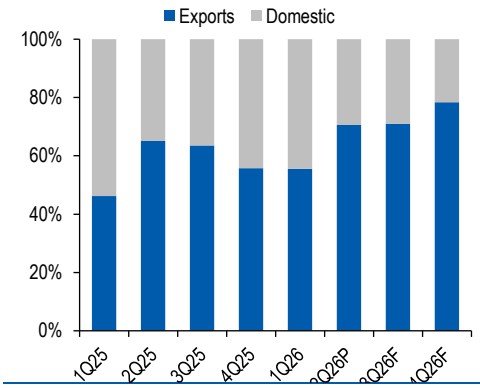
Source: Fibermall, Yuanta Securities

Quarterly sales and OP



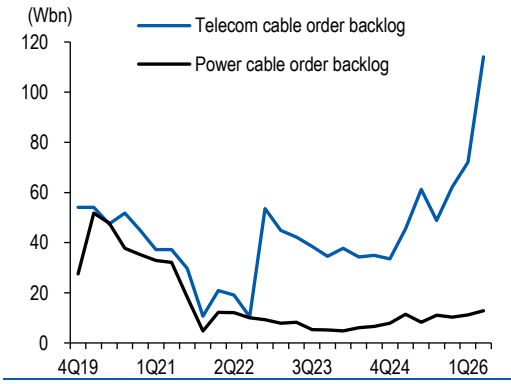
Source: Yuanta Securities

Quarterly sales mix



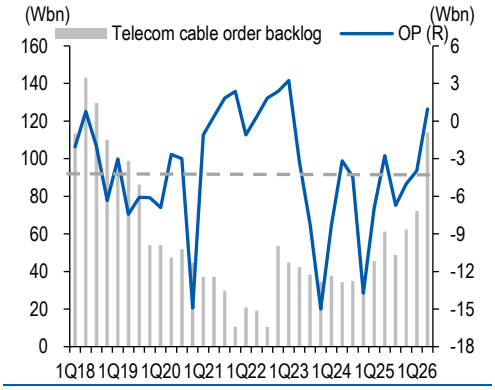
Source: Yuanta Securities

Quarterly order backlog by business



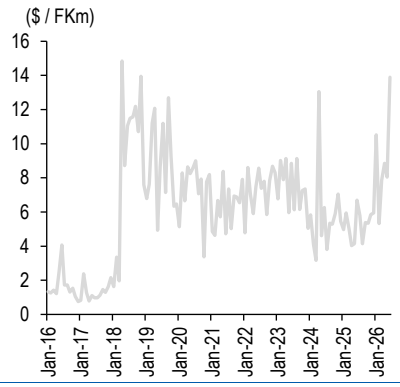
Source: company data, Yuanta Securities

Quarterly telecom cable order backlog and OP



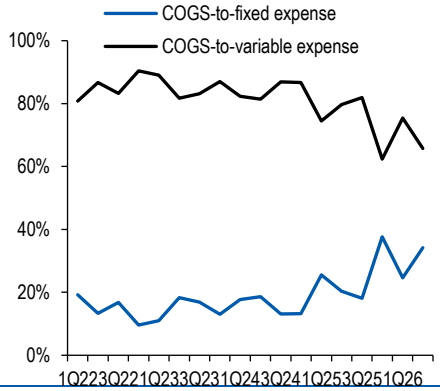
Source: company data, Yuanta Securities

CRU optical fiber price index



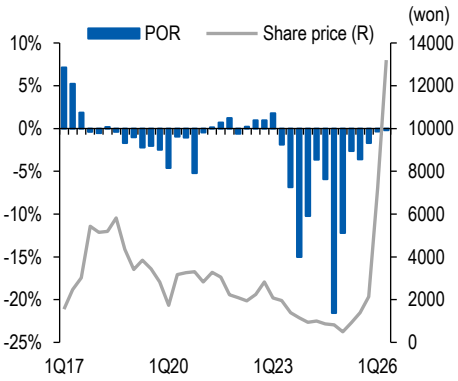
Source: WIND, Yuanta Securities

COGS-to-fixed expense is rising, creating potential for operating leverage



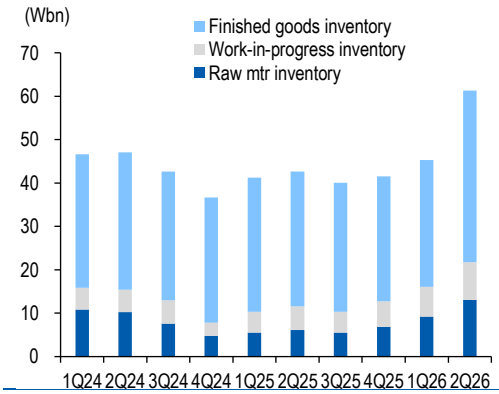
Source: company data, Yuanta Securities

Price-to-operating profit ratio (POR), share price



Source: FnGuide Quantiwise, Yuanta Securities

Quarterly inventory



Source: Bloomberg, Yuanta Securities

Taihan Fibeoptics: valuation table					(Wbn, $bn, EURmn, RMBmn)
		Taihan Fibreoptics	Corning	Prysmian	YOFC
Market cap		**2,007.0**	128.1	122.5	221.8
Sales	2025	**139.5**	15.6	19.7	14.3
	2026E	**210.6**	19.1	22.3	26.0
	2027E	**252.2**	22.8	24.8	34.0
	2028E	**346.5**	27.1	26.8	40.3
OP	2025	**-21.4**	2.3	1.9	1.6
	2026E	**9.1**	4.1	2.1	7.9
	2027E	**16.6**	5.3	2.6	11.6
	2028E	**26.7**	7.1	3.0	13.0
OPM	2025	**-15.4%**	14.6%	9.7%	11.0%
	2026E	**4.3%**	21.7%	9.6%	30.5%
	2027E	**6.6%**	23.3%	10.6%	34.1%
	2028E	**7.7%**	26.1%	11.4%	32.4%
Net profit, CI	2025	**-28.0**	1.6	1.3	0.8
	2026E	**6.3**	2.9	1.4	7.4
	2027E	**15.3**	3.8	1.8	10.8
	2028E	**4.4**	5.2	2.2	11.9
P/E (x)	2025	**-71.8**	80.9	19.5	43.4
	2026E	**318.8**	44.9	87.4	30.1
	2027E	**130.9**	33.5	67.3	20.6
	2028E	**458.6**	24.7	55.4	18.6
P/S (x)	2025	**14.4**	8.2	6.2	15.6
	2026E	**9.5**	6.7	5.5	8.5
	2027E	**8.0**	5.6	4.9	6.5
	2028E	**5.8**	4.7	4.6	5.5
SPS (won)	2025	**16,652.4**	19.3	68.5	17.3
	2026E	**15,510.2**	23.6	77.8	31.6
	2027E	**18,567.5**	28.2	86.6	41.4
	2028E	**25,513.8**	33.6	93.4	49.0

Note: market cap is based on Sep1, 2026 close prices; Source: Bloomberg, Yuanta Securities

Taihan Fiberoptics (010170 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**153**	**139**	**211**	**252**	**346**
Cost of sales	149	136	169	205	278
Gross profit	3	4	41	47	69
SG&A	33	25	32	31	42
Operating profit	**-30**	**-21**	**9**	**17**	**27**
EBITDA	-22	-16	15	20	30
Non-operating profit	-25	-6	-1	-2	-5
Forex gains	-2	1	5	4	0
Net interest income	-7	-6	-5	-5	-5
Equity-method gains	0	0	0	0	0
Other	-16	0	0	0	0
Net prof before income tax	-55	-27	8	15	22
Income tax	1	1	0	1	0
Net profit from continuing ops	-56	-28	9	13	21
Net profit from discontinued ops	0	0	0	0	0
Net profit	-56	-28	9	13	21
NP for controlling interest	**-56**	**-28**	**9**	**13**	**21**
Total comprehensive income	-35	-24	13	18	26
Total comprehensive income, CI	-35	-24	13	18	26

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**101**	**100**	**135**	**194**	**240**
Cash & cash equivalents	9	10	17	54	47
Accounts receivables & other	36	30	36	45	61
Inventory	41	45	68	82	112
Non-current assets	109	119	120	121	127
Tangible assets	101	103	97	94	91
Investment in affiliates	1	1	1	1	1
Other investment assets	5	15	21	25	34
Total assets	**210**	**219**	**255**	**315**	**367**
Current liabilities	145	130	139	140	157
Accounts payable & other	27	31	41	43	59
ST financial liabilities	88	84	84	84	84
Liquid LT liabilities	2	13	11	9	9
Non-current liabilities	24	22	27	35	44
LT financial liabilities	13	8	8	12	12
Debentures	0	0	0	0	0
Total liabilities	**169**	**152**	**167**	**175**	**201**
Equity, controlling interest	41	67	89	140	166
Paid-in capital	37	66	66	66	66
Capital surplus	35	20	20	20	20
Retained earnings	-53	-45	-28	19	40
Equity, non-controlling interest	0	0	0	0	0
Total equity	**41**	**67**	**89**	**140**	**166**
Net debt	**107**	**83**	**74**	**40**	**43**
Total debt	130	106	103	106	106

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-24**	**-12**	**-9**	**0**	**-9**
Net profit	-56	-28	9	13	21
Depreciation & amortization	8	6	6	3	3
Forex gains	0	0	0	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-3	9	-23	-15	-32
Other	27	1	-1	-1	-1
Investing cash flow	**16**	**-8**	**-13**	**-10**	**-20**
Investment	0	0	-7	-4	-9
Increase in tangible assets	-5	-1	0	0	0
Decrease in tangible assets	0	0	0	0	0
Other	21	-7	-6	-6	-11
Financing cash flow	**0**	**21**	**29**	**34**	**32**
ST financial liabilities	27	-16	0	0	0
Debenture/LT financial liabilities	-20	-9	-3	2	0
Equity	-32	14	0	0	0
Cash dividend	0	0	0	0	0
Other cash flow	25	32	32	32	32
Consolidation adj and other	0	0	-1	13	-10
Increase in cash & equivalents	**-8**	**1**	**7**	**37**	**-7**
Beginning cash & equivalents	16	9	10	17	54
Ending cash & equivalents	9	10	17	54	47
NOPLAT	-30	-22	**9**	**17**	**27**
FCF	**-29**	**-13**	**-9**	**0**	**-9**

Valuation

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-669	-242	57	87	138
BPS (won)	488	491	571	901	1,067
EBITDA/shr (won)	-264	-136	99	126	190
SPS (won)	1,824	1,209	1,390	1,622	2,228
DPS (won)	0	0	0	0	0
P/E (x)	**-1.4**	**-4.6**	**232.1**	**153.7**	**96.5**
P/B (x)	**1.9**	**2.3**	**23.3**	**14.8**	**12.5**
EV/EBITDA (x)	**-8.6**	**-14.1**	**143.0**	**107.5**	**71.5**
P/S (x)	**0.5**	**0.9**	**9.6**	**8.2**	**6.0**

Key financial data

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-15.3**	**-8.7**	**51.1**	**19.7**	**37.4**
Operating profit (%YoY)	**RR**	**RR**	**TTB**	**81.7**	**61.0**
Net profit, CI (%YoY)	**RR**	**RR**	**TTB**	**54.9**	**59.2**
Gross margin (%)	2.2	2.6	19.6	18.8	19.8
Operating margin (%)	**-19.5**	**-15.4**	**4.3**	**6.6**	**7.7**
Net margin, CI (%)	-36.7	-20.1	4.1	5.3	6.2
EBITDA margin (%)	-14.5	-11.2	7.1	7.8	8.5
ROIC (%)	-20.6	-14.8	9.0	10.4	16.8
ROA (%)	-25.2	-13.1	3.7	4.7	6.3
ROE (%)	**-95.9**	**-52.1**	**11.2**	**11.8**	**14.0**
Debt-to-equity (%)	413.5	228.6	187.7	124.9	121.3
Net debt-to-equity (%)	262.7	123.8	83.9	28.8	26.0
OP/financing cost (x)	-3.6	-3.1	1.5	2.7	4.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

OE Solutions (138080 KS)

Seung-woong Lee
Telecom Services/Holdco
seungwoong.lee@yuantakorea.com

The solution for AI connectivity

OE Solutions is a leading supplier of optoelectronic transceiver solutions for both broadband wireless and wireline markets. The two key markets that drive the firm's optical transceiver demand are: 1) DC ethernet; and 2) long-haul transmission (CWDM/DWDM). While demand fluctuates depending on the infrastructure investment cycle of the wireless fronthaul market, **we expect 2026 to be a preparatory phase for technologies such as 5G Advanced. Earnings used to fluctuate in line with the infrastructure investment cycle, but the firm is now achieving more earnings stability thanks to the rising sales share of long-haul transmission and wired products.** In particular, wired network business sales grew 11% YoY in 2025 as it secured Japan's NTT as a new client. We expect continued sales growth going forward.

The company posted 2Q26 consolidated sales of W19.7bn (+23.7% YoY) and operating loss of -W870mn (loss narrowed YoY). Top-line growth and product mix improvement drove a recovery to near-BEP levels. **Although profitability was inevitably undermined due to one-off inventory write-off losses, with the order backlog doubling HoH, we forecast a turnaround within 3Q26.**

Over the mid- to long term, the company should benefit from the modernization of US optical communications networks. OE Solutions is supplying low-end products capable of transmissions exceeding 80km. The "Datacom" segment corresponds to data center-bound sales, which accounted for 2% as of 2025. Given that related products were launched late last year, we expect visible results starting this year.

Not Rated (I)

Target price	- (I)
Previous target price	-
Current price (Sep 01)	W22,500
Upside potential	-

Market cap (Wbn)	279
Shares outstanding	12,377,758
Avg daily T/O (2M, Wbn)	7
Avg daily volume (2M, shrs)	285,378
52-week high/low (won)	54,000 / 9,250
Foreign ownership (%)	2.61%
Dividend yield (%)	0.00%
Major shareholders	Chan Park & others

Stock performance

(%)	1M	3M	12M
Absolute	43.3	(34.5)	143.0
Relative	25.6	(16.3)	132.3
Abs (US$)	48.9	(28.1)	147.1

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2022A	2023A	2024A	2025A
Sales	77	46	32	57
OP	-9	-31	-30	-16
Net profit, CI	-6	-34	-33	-27
P/E (x)	-42.8	-4.9	-3.8	-4.4
P/B (x)	1.7	1.5	1.6	1.9
EV/EBITDA (x)	-408.8	-6.9	-6.0	-12.4
ROE (%)	-3.9	-26.1	-35.7	-39.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

OE Solutions competitive edge lies in **operating both optical transceiver and laser businesses.** For low-end laser diodes (LD), the company is currently conducting mass production, external sales, and internalization simultaneously. It is also preparing external laser small form-factor pluggable (ELSFP; external laser source) samples and following up on tests for overseas customers. **Sample products are expected to be released in 3Q26, and they should exhibit improved performance compared to existing ones.**

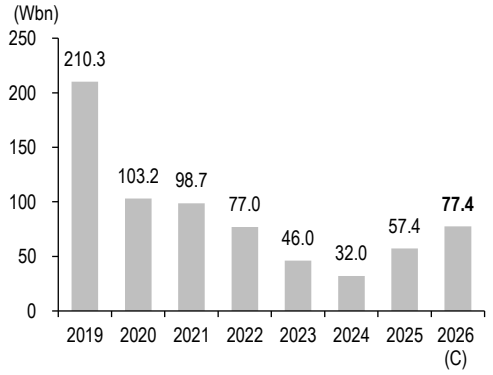
In particular, since securing laser sources is a prerequisite within the AIDC optical communication market, we believe OE Solutions is one of the few players that can meet this requirement and is therefore currently undervalued.

OE Solutions: earnings forecast **(Wbn)**

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2025	2026(C)
Sales	**8.1**	**7.5**	**7.3**	**9.1**	**14.1**	**15.9**	**13.1**	**14.4**	**18.0**	**19.7**	**57.4**	**77.4**
% YoY	*-47.7%*	*-25.0%*	*-34.8%*	*-1.8%*	*73.7%*	*112.0%*	*78.6%*	*57.6%*	*28.1%*	*23.7%*	*79.1%*	*34.9%*
OP	**-7.1**	**-8.4**	**-9.1**	**-5.7**	**-5.7**	**-4.0**	**-2.9**	**-3.4**	**-0.6**	**-0.9**	**-16.0**	**2.1**
% YoY	*TTR*	*5.1%*	*RR*	*RR*	*RR*	*RR*	*Loss expanded*	*Loss narrowed*	*Loss narrowed*	*Loss narrowed*	*Loss narrowed*	*TTB*
OPM (%)	-87.7%	-112.7%	-124.3%	-62.8%	-40.4%	-25.3%	-22.3%	-23.5%	-3.4%	-4.4%	-27.9%	2.7%

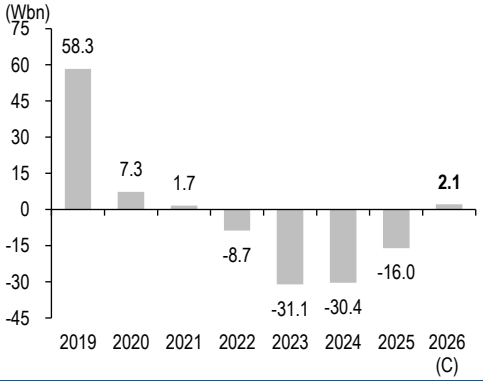
Note: TTR = turn to red, RR = remain in red, TTB =turn to black; estimates are from FnGuide Quantiwise
Source: Yuanta Securities

Annual sales



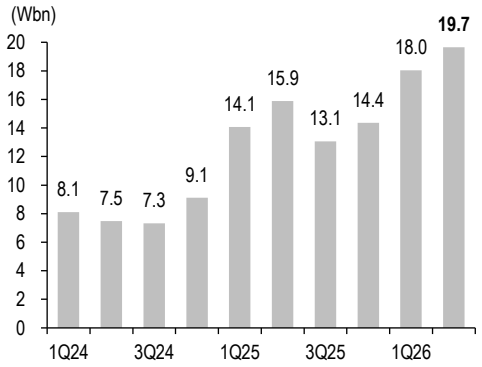
Source: company data, Yuanta Securities

Annual OP



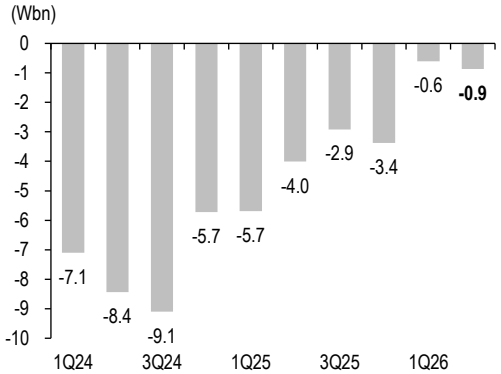
Source: company data, Yuanta Securities

Quarterly sales



Source: company data, Yuanta Securities

Quarterly OP



Source: company data, Yuanta Securities

OE Solutions (138080 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2021A	2022A	2023A	2024A	2025A
Sales	**99**	**77**	**46**	**32**	**57**
Cost of sales	62	53	47	37	51
Gross profit	36	24	-1	-5	6
SG&A	35	33	30	26	22
Operating profit	**2**	**-9**	**-31**	**-30**	**-16**
EBITDA	9	-1	-23	-24	-11
Non-operating profit	10	2	2	-2	-11
Forex gains	1	0	0	1	0
Net interest income	0	0	0	-2	-3
Equity-method gains	1	1	1	-2	0
Other	9	1	2	1	-8
Net prof before income tax	12	-6	-29	-32	-27
Income tax	-2	0	4	1	0
Net profit from continuing ops	14	-6	-34	-33	-27
Net profit from discontinued ops	0	0	0	0	0
Net profit	14	-6	-34	-33	-27
NP for controlling interest	**14**	**-6**	**-34**	**-33**	**-27**
Total comprehensive income	16	-5	-34	-32	-26
Total comprehensive income, CI	16	-5	-34	-32	-26

Statement of financial position

FY ends Dec (Wbn)	2021A	2022A	2023A	2024A	2025A
Current assets	**107**	**99**	**75**	**68**	**70**
Cash & cash equivalents	31	23	15	5	15
Accounts receivables & other	11	11	5	7	8
Inventory	33	38	28	27	26
Non-current assets	95	89	77	69	49
Tangible assets	40	38	29	26	20
Investment in affiliates	2	3	4	2	0
Other investment assets	47	40	41	38	27
Total assets	**202**	**188**	**152**	**137**	**120**
Current liabilities	41	39	39	53	46
Accounts payable & other	4	3	4	4	4
ST financial liabilities	34	34	34	30	28
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	2	1	1	9	9
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**43**	**40**	**41**	**63**	**55**
Equity, controlling interest	159	148	111	74	64
Paid-in capital	5	5	5	5	6
Capital surplus	52	52	52	52	68
Retained earnings	100	91	55	21	-5
Equity, non-controlling interest	0	0	0	0	0
Total equity	**159**	**148**	**111**	**74**	**64**
Net debt	**-27**	**-14**	**-6**	**20**	**13**
Total debt	35	35	35	52	46

Cash flow statement

FY ends Dec (Wbn)	2021A	2022A	2023A	2024A	2025A
Operating cash flow	**7**	**-8**	**-7**	**-25**	**-12**
Net profit	14	-6	-34	-33	-27
Depreciation & amortization	8	8	8	6	5
Forex gains	0	1	0	-1	0
Affiliate investment gains	-1	-1	0	0	0
Increase in net working cap	-17	-14	8	-8	-9
Other	2	5	10	11	19
Investing cash flow	**-11**	**7**	**2**	**0**	**25**
Investment	-1	12	5	1	25
Increase in tangible assets	-10	-5	-2	-2	-1
Decrease in tangible assets	0	0	0	0	0
Other	0	0	-2	2	1
Financing cash flow	**-6**	**-7**	**-3**	**15**	**-3**
ST financial liabilities	-2	0	0	-4	-2
Debenture/LT financial liabilities	0	0	0	25	0
Equity	0	0	0	0	0
Cash dividend	-3	-3	-2	-1	0
Other cash flow	0	-3	-1	-5	0
Consolidation adj and other	0	0	0	0	0
Increase in cash & equivalents	**-9**	**-8**	**-9**	**-10**	**10**
Beginning cash & equivalents	40	31	23	15	5
Ending cash & equivalents	31	23	15	5	15
NOPLAT	2	-9	**-36**	**-31**	**-16**
FCF	**-16**	**-20**	**-21**	**-36**	**-21**

Valuation

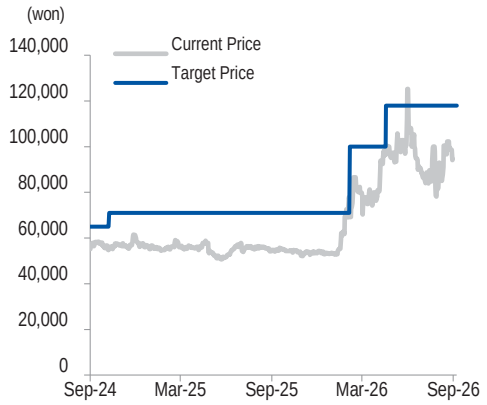
FY ends Dec	2021A	2022A	2023A	2024A	2025A
EPS (won)	1,163	1,353	-563	-3,183	-3,118
BPS (won)	13,846	15,007	14,050	10,634	7,353
EBITDA/shr (won)	125	89	-6	-216	-229
SPS (won)	971	929	724	433	301
DPS (won)	300	300	200	100	0
P/E (x)	**42.3**	**30.9**	**-42.8**	**-4.9**	**-3.8**
P/B (x)	**3.6**	**2.8**	**1.7**	**1.5**	**1.6**
EV/EBITDA (x)	**38.6**	**44.3**	**-408.8**	**-6.9**	**-6.0**
P/S (x)	**50.6**	**45.1**	**33.2**	**35.9**	**39.3**

Key financial data

FY ends Dec	2021A	2022A	2023A	2024A	2025A
Sales (% YoY)	**-4.4**	**-22.0**	**-40.2**	**-30.4**	**79.2**
Operating profit (%YoY)	**-77.4**	**TTR**	**RR**	**RR**	**RR**
Net profit, CI (%YoY)	**16.4**	**TTR**	**RR**	**RR**	**RR**
Gross margin (%)	36.7	31.4	-1.6	-15.2	10.5
Operating margin (%)	**1.7**	**-11.3**	**-67.6**	**-94.8**	**-27.9**
Net margin, CI (%)	14.6	-7.8	-73.5	-103.4	-47.1
EBITDA margin (%)	9.6	-0.8	-49.9	-76.0	-18.3
ROIC (%)	2.6	-10.6	-49.8	-54.4	-29.6
ROA (%)	7.2	-3.1	-19.9	-23.0	-21.1
ROE (%)	**9.4**	**-3.9**	**-26.1**	**-35.7**	**-39.1**
Debt-to-equity (%)	26.7	27.3	36.4	84.4	86.1
Net debt-to-equity (%)	-16.7	-9.4	-5.4	26.8	20.2
OP/financing cost (x)	3.1	-11.5	-19.1	-12.9	-5.1

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

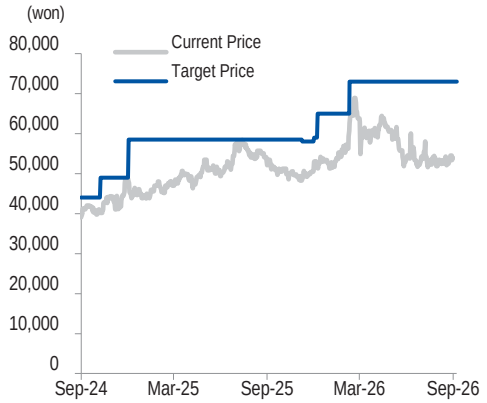
SKT (017670 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	118,000	1 yr		
2026/04/20	BUY	118,000	1 yr		
2026/02/06	BUY	100,000	1 yr	-18.85	-1.70
2025/10/10	After 1yr		1 yr	-21.04	9.72
2024/10/10	BUY	71,000	1 yr	-21.53	-13.38
2023/10/12	BUY	65,000	1 yr	-19.85	-10.15

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

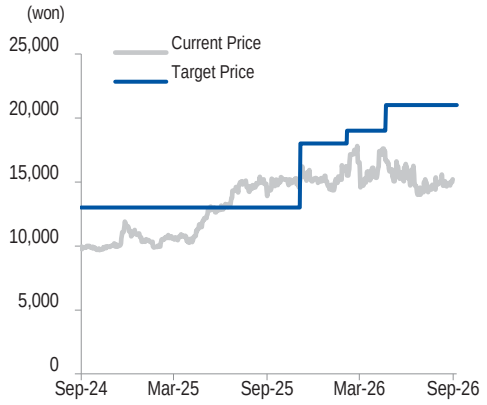
KT (030200 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	73,000	1 yr		
2026/02/11	BUY	73,000	1 yr		
2025/12/10	BUY	65,000	1 yr	-16.68	-6.62
2025/12/03	BUY	59,000	1 yr	-11.31	-10.00
2025/11/10	BUY	58,000	1 yr	-13.86	-12.59
2024/12/04	BUY	58,500	1 yr	-14.10	-0.17
2024/10/10	BUY	49,000	1 yr	-10.56	0.00
2024/08/12	BUY	44,000	1 yr	-8.70	-4.43

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

LG U+ (032640 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	21,000	1 yr		
2026/04/23	BUY	21,000	1 yr		
2026/02/06	BUY	19,000	1 yr	-14.88	-6.26
2025/11/06	BUY	18,000	1 yr	-14.97	-9.33
2024/10/12	After 1yr		1 yr	-4.78	18.46
2023/10/12	BUY	13,000	1 yr	-23.10	-19.23

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Taihan Fiberoptics (010170 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	Not Rated	-	1 yr		
2026/09/02	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

OE Solutions (138080 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	Not Rated	-	1 yr		
2026/09/02	Not Rated	-	1 yr		
	Analyst changed				
2026/04/03	Not Rated	-	1 yr		
	Analyst changed				
2026/01/06	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)